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OECD Economic Surveys: Malaysia 2026

July 2026

Volume 2026/22

OECD Economic Surveys: Malaysia 2026

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Please cite this publication as:
OECD (2026), *OECD Economic Surveys: Malaysia 2026*, OECD Publishing, Paris, https://doi.org/10.1787/9ab6b826-en.

ISBN 978-92-64-90122-3 (print)
ISBN 978-92-64-73410-4 (PDF)
ISBN 978-92-64-51012-8 (HTML)

OECD Economic Surveys
ISSN 0376-6438 (print)
ISSN 1609-7513 (online)

OECD Economic Surveys: Malaysia
ISSN 2959-4944 (print)
ISSN 2959-4952 (online)

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Foreword

This Economic Survey was prepared by Kazuyoshi Ohnuma, Randall Jones, Vincent Koen and Paula Adamczyk under the supervision of Jens Arnold. Research assistance was provided by Isabella Medina, administrative and editorial support by Sophie Jenkins and communication assistance by Francois Iglesias.

This Survey is published under the responsibility of the Economic Development and Review Committee of the OECD. The Committee discussed the draft survey on 17 June 2026 with participation of representatives of the Malaysian authorities. The draft report was then revised in light of the discussions. The report does not necessarily reflect the official views of the Malaysian government. The cut-off date for data used in the Survey is 17 July 2026.

Support from the government of Japan is gratefully acknowledged.

Information about this and previous Surveys and more information about how Surveys are prepared is available at https://www.oecd.org/en/topics/economic-surveys.html .

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Basic statistics of Malaysia, 2025

(Numbers in parentheses refer to the OECD average)

LAND, PEOPLE AND ELECTORAL CYCLE					
Population (million)	35.6		Population density per km²	108.2	(39.6)
Under 15 (%,)	21.8	(16.7)	Life expectancy at birth (years, 2023)	76.7	(80.2)
Over 65 (%)	7.7	(18.6)	Men (2023)	74.3	(77.6)
International migrant stock (% of population, 2024)	10.7	(15.7)	Women (2023)	79.4	(82.8)
Latest 5-year average growth (%)	1.2	(0.5)	Latest general election	November 2022	
ECONOMY					
Gross domestic product (GDP)			Value added shares (%,2025)		
In current prices (billion USD)	473.2		Agriculture, forestry and fishing	8.2	(2.6)
In current prices (billion MYR)	2025.4		Industry including construction	33.2	(26.0)
Latest 5-year average real growth (%)	5.2	(3.0)	Services	57.2	(71.4)
Per capita (thousand USD PPP)[1]	38.8	(62.1)			
GENERAL GOVERNMENT					
Expenditure (OECD: 2024)	23.9	(42.7)	Gross financial debt (OECD: 2024)	70.1	(112.5)
Revenue (OECD: 2024)	19.9	(37.9)			
EXTERNAL ACCOUNTS					
Exchange rate (MYR per USD)	4.28		Main exports (% of merchandise exports, 2024)		
PPP exchange rate (USA = 1, 2024)	1.40		Machinery and electronics	51.3	
In per cent of GDP			Fuels	11.1	
Exports of goods and services	72.2	(31.0)	Animal/vegetable fats, oils, waxes	5.7	
Imports of goods and services	66.8	(31.2)	Main imports (% of total merchandise imports, 2024)		
Current account balance (OECD: 2024)	1.6	(-0.3)	Machinery and electronics	47.8	
Net international investment position	-0.5		Fuels	12.0	
			Metals	7.0	
LABOUR MARKET, SKILLS AND INNOVATION					
Employment rate (aged 15 and over, %, 2024, OECD: 2024)	68.4	(59.8)	Unemployment rate, Labour Force Survey (aged 15 and over, %, 2024, OECD: 2024)	3.2	(4.8)
Men (2024, OECD: 2024)	80.5	(67.5)	Youth (aged 15-24, %, 2024, OECD: 2024)	10.3	(10.5)
Women (2024, OECD: 2024)	54.7	(52.6)	Long-term unemployed (1 year and over, %, 2024, OECD: 2024)	0.2	(1.0)
Participation rate (aged 15 and over, %, 2024, OECD: 2024)	70.6	(62.6)	Tertiary educational attainment (aged 25-64, %, 2022, OECD: 2024)²	23.3	(41.8)
Mean weekly hours worked (2024, OECD: 2024)	44.8	(36.8)	Gross domestic expenditure on R&D (% of GDP, 2022, OECD: 2022)	1.01	(3.0)
ENVIRONMENT					
Total primary energy supply per capita (toe, 2023, OECD: 2024)	3.0	(3.7)	CO_2 emissions from fuel combustion per capita (tonnes, 2023, OECD: 2024)	7.3	(7.5)
Exposure to air pollution (more than 10 µg/m³ of PM 2.5, % of population, 2020)	4.5	(13.1)	Renewable internal freshwater resources per capita (1 000 m³, 2022)	16.7	
Exposure to air pollution (more than 10 µg/m³ of PM 2.5, % of population, 2020)	99.2	(56.5)			
SOCIETY					
Income inequality (Gini coefficient, 2021, OECD: latest available)	0.407	(0.315)	Education outcomes (PISA 2022 score)		
Poverty gap at USD 6.85 a day (2017 PPP, %, 2021)	0.5		Reading	388	(476)
			Mathematics	409	(472)
Public and private spending (% of GDP)			Science	416	(485)
Health care (2022, OECD: 2024)	3.9	(9.3)	Share of women in parliament (%, 2024)	13.5	(33.3)
Education (public spending, % of GNI, 2021)	3.9	(4.4)			

Note: The year is indicated in parenthesis if it deviates from the year in the main title of this table. Where the OECD aggregate is not provided in the source database, a simple OECD average of latest available data is calculated where data exist for at least 80% of member countries.

1. OECD aggregate refers to weighted average. 2. For Malaysia, data refers to percentage of the population aged 25 and over. 3. OECD aggregate refers to weighted average.

Source: Calculations based on data extracted from databases of the following organisations: OECD, Labour Force Survey, (2024, DOSM), Malaysian Science and Technology Information Centre (MASTIC), International Energy Agency, International Labour Organisation, International Monetary Fund, United Nations, World Bank.

Executive summary

Key messages

Strong growth and resilience to shocks have helped Malaysia achieve sizeable improvements in material living standards. Further progress will now hinge on new policy approaches to boost productivity and provide better opportunities for wider parts of the population, including through reforms in the education system. Against this background, the key messages of this Survey are as follows:

- Fiscal consolidation should be stepped up to reduce Malaysia's vulnerability to economic shocks, including soaring energy prices due to the conflict in the Middle East, and anticipate rising spending pressures. This will require reducing fossil fuel subsidies and re-introducing a broad value-added tax while protecting low-income households with targeted transfers.
- The effects of climate change are becoming increasingly visible, calling for more coordinated adaptation efforts and further emission reductions.
- Boosting productivity will require stronger human-capital investment and regulations that are simpler and more conducive to dynamic firm entry and growth.
- Deteriorating education outcomes and skill mismatches require fundamental reforms of the education system, including more and better spending on pre-school, primary and secondary education, stronger incentives and more autonomy and accountability for educational institutions.

Malaysia is approaching high-income status

Strong growth and resilience to shocks have helped Malaysia achieve sizeable improvements in material living standards. Further progress will now hinge on new policy approaches to boost productivity and provide better public services and opportunities for wider parts of the population.

Since gaining independence in 1957, Malaysia's economy has undergone a profound structural transformation. Initially dependent on commodities such as rubber and tin, the country diversified into manufacturing from the 1970s onward, supported by rapid export expansion and strong inflows of foreign direct investment. Major reforms launched in the 1970s aimed to reduce poverty and address economic disparities, helping lift living standards and enabling the rise of a sizeable middle class.

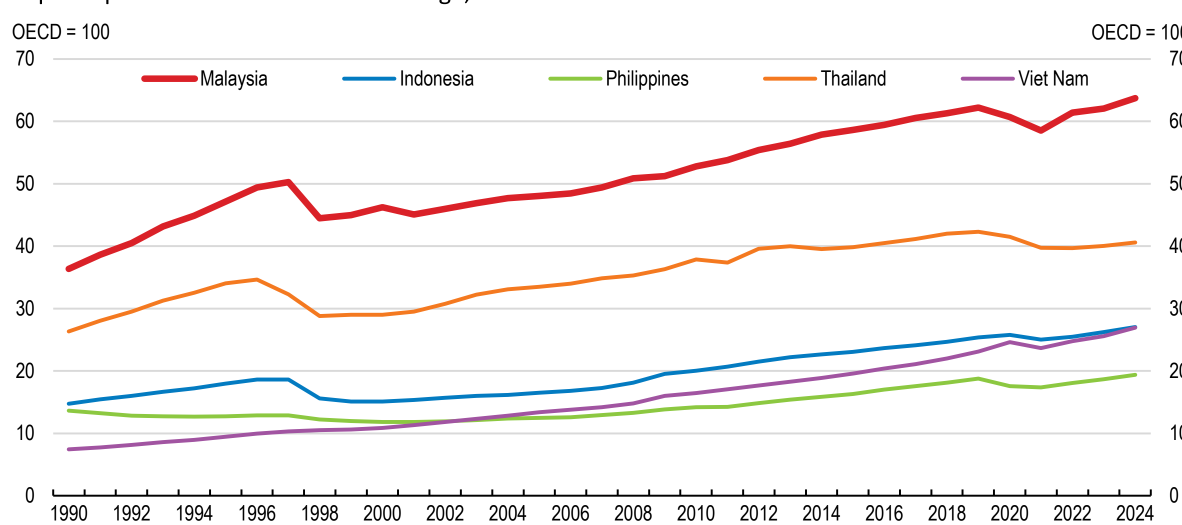
By the 1980s and 1990s, Malaysia had become an important hub in global value chains, particularly in the electrical and electronics sectors. The economy demonstrated resilience during shocks such as the 1997–98 Asian Financial Crisis and the Global Financial Crisis, and growth has held up well since (Figure 1). Amid external headwinds from the conflict in the Middle East and persistent structural challenges, including weakening productivity momentum and mismatches between skills and labour market needs, growth is set to moderate.

Malaysia is now at a critical juncture. After years of aspiring to high-income status, the country is on track to cross this threshold around 2028–2030. Yet fewer than half of Malaysians will earn above the high-income threshold at that point, and average household incomes would need to roughly double for most Malaysians to reach that level. Social protection systems remain underdeveloped, covering only a small share of the population and leaving many retirees without adequate old-age pensions. Education outcomes lag regional peers, constraining further gains in productivity and income.

Policies that have served Malaysia well in the past may not be the ones that the country needs going forward. Long-standing policy weaknesses will now need to be addressed more decisively to accelerate the shift from labour-intensive, low-cost manufacturing to innovation-driven growth. This will put improvements in education at the forefront of future policy reforms, while boosting productivity through greater competition, including in services sectors where state-owned enterprises have often played a dominant role in the past. A combination of more efficient spending and higher revenues will allow the public sector to provide better social safety nets and public services.

Figure 1. Malaysia has outperformed peers

GDP per capita relative to the OECD average, at PPP



Source: World Bank, World Development Indicators database.

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Growth will moderate but remain solid

Strong headwinds have tested the resilience of the Malaysian economy, including soaring global energy prices, disruptions in global energy and commodity supply and higher tariffs. Malaysia remains vulnerable to these external shocks, which could intensify and affect several key sectors of the economy. Stepping up fiscal consolidation should include raising spending efficiency but also mobilising additional revenue sources to finance improvements in social protection and education. Monetary policy should remain vigilant to rising price pressures.

The economy has remained resilient amid external shocks, but growth slowed temporarily in early 2026. Robust global demand for data centres and artificial intelligence has buoyed exports and led to a strong increase in foreign direct investment inflows into information and communications.

Growth is expected to remain solid at 4.9% in 2026 and 5.0% in 2027 (Table 1), amid downside risks from trade tensions, higher commodity prices and weaker global demand. The financial sector remains sound, though pockets of risks call for enhanced macroprudential tools and close supervisory monitoring. Cyber risks are increasing as digitalisation deepens.

Inflation has fallen to low levels and underlying pressures are limited, suggesting monetary policy can remain broadly neutral. Higher global commodity prices call for careful monitoring. Greater transparency, including publishing Monetary Policy Committee minutes, would strengthen central bank credibility and help anchor expectations.

Labour market conditions are tight and consumption is buoyant, but structural challenges such as skills mismatches and relatively low labour income shares underscore the need for productivity-enhancing reforms and continued human-capital investment.

Table 1. Real GDP growth will remain solid

	2023	2024	2025	2026	2027
Real GDP	3.6	5.2	5.2	4.9	5.0
Private consumption	4.6	4.8	5.3	4.5	4.6
Public consumption	3.4	4.6	5.3	4.2	5.1
Investment	5.4	12.1	9.6	5.7	5.8
Exports	-7.9	8.6	4.9	4.4	3.8
Imports	-6.8	8.7	6.3	3.5	4.2
Unemployment rate (% of labour force)	3.4	3.2	3.0	2.9	2.8
Inflation (CPI)	2.5	1.8	1.4	2.1	2.3
Government budget balance (% of GDP)	-5.0	-4.1	-3.7	-4.0	-3.8
Government debt (% of GDP)	64.3	64.5	65.2	65.0	64.3

Note: Annual growth rates in percent unless specified. Government figures refer to the federal government.
Source: OECD Economic Outlook 119 database and OECD Projections.

Fiscal consolidation has progressed but remains gradual. As subsidy spending has risen amid soaring energy prices since the onset of the conflict in the Middle East, concrete action will be needed to ensure compliance with the fiscal targets through to 2028. Large and weakly targeted energy subsidies should be phased out. A newly established social registry could support the move towards more targeted support. Boosting revenue will require a broad tax reform to bolster targeted social support, education and investment. Tax revenues below 13% of GDP make increasing government revenue a priority. Re-introducing a broad-based consumption tax would align Malaysia's tax policies with international best practice and provide a stable revenue base, while targeted transfers could help protect the purchasing power of vulnerable groups. This could go along with broadening the personal income tax base and further strengthening tax administration.

Long-term fiscal pressures from ageing and fragmented social protection require early action. Social safety nets are patchy, and less than 20% of older persons receive any kind of social benefit, calling for a wider coverage of means-tested social pensions. Strengthening fiscal governance through independent fiscal oversight and a broader coverage of the fiscal accounts could make it easier to tackle future fiscal challenges. Public debt is already higher than in regional peers and is projected to stay above 60% of GDP (Table 1).

Climate change calls for better preparedness and accelerated emission reductions

Climate change will continue to increase the frequency and intensity of floods and heatwaves and accelerate sea-level rise. The resulting serious economic damage can be mitigated by stepping up climate adaptation investments. With annual greenhouse gas emissions having doubled since 2000 amid rising energy demand, more renewable energy sources can help achieve net zero emissions by 2050 and enhance energy security.

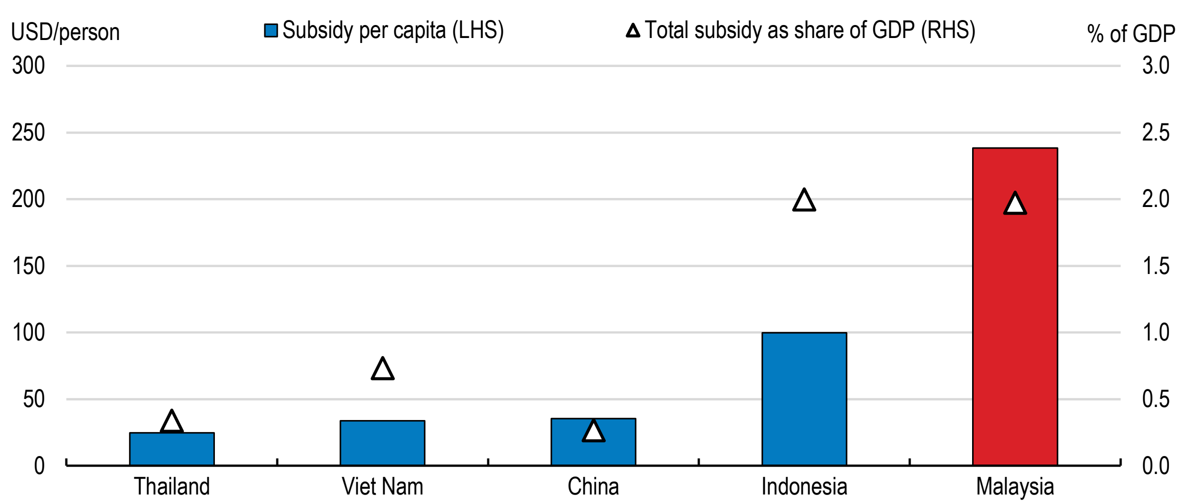
Adaptation policies are fragmented across various sectoral policies and ministries. Publishing and implementing a coherent economy-wide climate change adaptation strategy, currently under preparation, can address this fragmentation and allow better coordination.

Better climate risk data collection and dissemination are essential for private and public actors. Anticipating climate risks hinges on high-resolution flood risk maps and climate projections.

Insurance coverage against natural hazards is highly incomplete. Improving risk awareness and offering financial assistance to the most vulnerable groups for acquiring insurance against natural hazards would strengthen households' and businesses' financial resilience to climate risks.

Fossil fuels dominate the energy mix. Removing high fossil fuel subsidies (Figure 2) will be a precondition to introducing positive carbon pricing and aligning private and public incentives with climate objectives. Accelerating investments in renewable energy and electricity infrastructure could strengthen energy security and reduce emissions.

Figure 2. High fossil fuel subsidies run counter to carbon pricing effort



Source: IEA, Fossil fuel subsidies database

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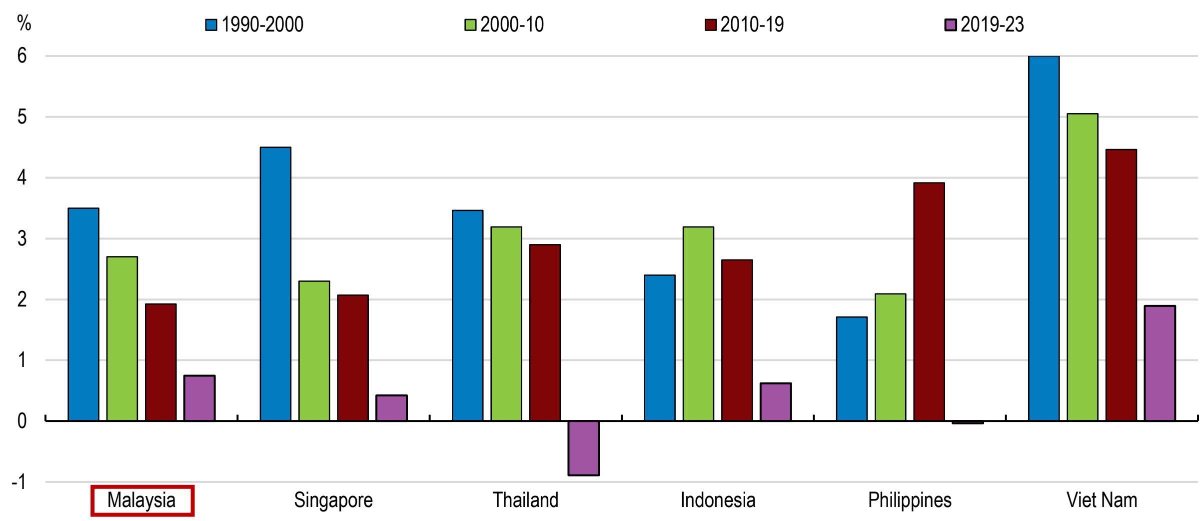
Productivity growth has slowed

Productivity growth has slowed (Figure 3) and, in recent years, has fallen short of Malaysia's own targets. Regulatory complexity and skills shortages continue to constrain firm performance and innovation, particularly for smaller firms. Stepping up efforts to streamline business regulation and reduce compliance costs would help to support technology adoption and scaling up of small firms to foster stronger productivity growth and a solid pace of living-standard gains amid ageing pressures.

Figure 3. Productivity growth has trended down



Note: Annual average growth rates. Labour productivity is defined as GDP per worker. The cut-off year for the latest decade is 2019 so as to minimise the distortion entailed by the 2020 COVID-19 shock.
Source: Asian Productivity Organisation, APO Productivity database 2025.

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Foreign investment and digital integration remain hindered by restrictive entry rules. These include foreign equity caps and burdensome requirements for cross-border digital services. Easing these barriers, while maintaining appropriate safeguards for genuinely strategic sectors, and simplifying data-transfer compliance would strengthen Malaysia's role in global value chains and boost competition and knowledge spillovers.

Competition in product markets is held back by weak policy settings, with OECD Product Market Regulation indicators suggesting a sizeable gap to best practice. A gradual phasing-out of blanket price controls in favour of targeted support, further easing of logistics regulation and more business-friendly insolvency procedures would improve resource reallocation.

Government-linked companies continue to dominate key sectors. State-owned enterprises often benefit from preferential treatment. Enforcing competitive neutrality, strengthening antitrust enforcement and improving governance standards, including merit-based board appointments and greater transparency, would foster a more level playing field for private firms.

Public support for micro, small and medium enterprises remains fragmented across numerous programmes and agencies. Consolidating schemes, strengthening performance evaluation and focusing assistance on innovation, digitalisation and export readiness would contribute to stronger productivity growth among small firms.

Digital transformation offers major scope to raise public-sector efficiency. Progress remains uneven and often siloed, requiring stronger central coordination, mandatory interoperability standards, outcome-based performance metrics and systematic independent evaluation of major digital investments, particularly in large sectors such as health.

Productivity and investor confidence could also benefit from addressing fragmented governance structures and integrity challenges. Rationalising ministries and agencies, strengthening project appraisal and procurement controls, enhancing asset-disclosure rules and ensuring the independence and effectiveness of anti-corruption and anti-money-laundering institutions would allow Malaysia to make further progress.

Building on progress in education reform will improve living standards and opportunities

The education system has helped Malaysia reach the threshold of high-income status. But education outcomes have deteriorated, and the labour market shows mismatches between workforce skills and those demanded by employers. Growing information and electronics sectors are likely to require a wider range of skills.

Learning outcomes in primary and secondary education have fallen behind. In the 2022 OECD PISA study, Malaysia's 15-year-olds ranked in the bottom third of approximately 75 participating countries in mathematics, reading and science. Between 2018 and 2022, Malaysia was among in the top six countries recording the largest declines across all three subjects. The share of low-performing students in Malaysia in the 2022 PISA was about double the OECD average in all three subjects (Figure 4). Only 58% of fifth-grade students had achieved proficiency in reading, compared to 82% in Viet Nam.

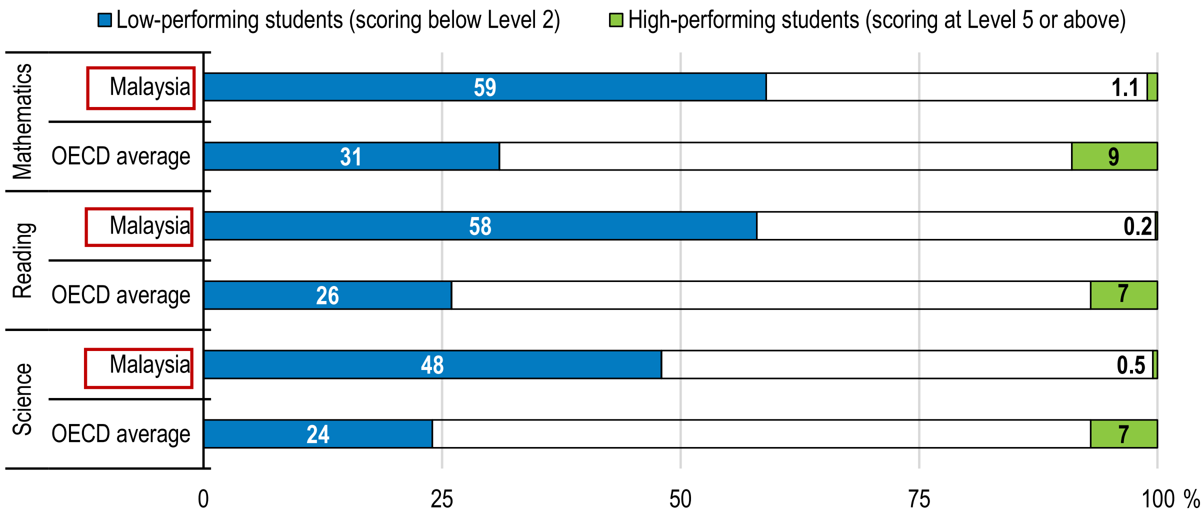
Early childhood education often lays the grounds for success later in life and reduces inequalities of opportunities. But the capacity of public and registered private childcare amounts to only 3.5% of children aged below 5. Preschool education has now been made compulsory for 5-year-olds, with almost full coverage targeted by 2030. Achieving this will hinge on making compulsory preschool free for families and should be complemented by later extending it to 3- and 4-year-olds, as in many OECD countries. This will require additional resources, as outlays per preschool student are around a quarter of spending on primary and secondary students. Reducing fragmentation of early childhood education and centralising the responsibility for childcare and preschool education in one ministry would facilitate coordination and quality improvements.

Better learning outcomes in primary and secondary education will require improving teachers' performance incentives by actively implementing the teacher assessment framework and reducing the amount of time they spend on administrative tasks. Granting schools more autonomy while holding them accountable for their performance could lead to better outcomes, especially when principals are selected according to capability rather than seniority.

Plans to place technical and vocational education and training (TVET) on par with academic pathways can help to equip students with relevant skills for the labour markets, especially when the private sector is consulted in curriculum design. A fragmented TVET system makes it hard for students to make the best choices. Policies to effectively rate the more than 1000 TVET institutions would lead to better options for students and employers.

More than one-third of tertiary graduates face skill-related underemployment. Tertiary enrolment has fallen in response to the difficulties encountered by recent graduates on the labour market. Reinforcing linkages between the business sector and higher education, including in curriculum design, is important to reduce skill mismatches. Public universities would benefit from greater autonomy and accountability, including with respect to choosing their own management.

Figure 4. Malaysia has a high share of low-performing students and few high-performing ones



Source: OECD, PISA 2022 database.

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MAIN FINDINGS	KEY RECOMMENDATIONS
Enhancing macroeconomic policies	
Headline inflation has undershot its long-term 2% average in 2025 but is projected to reach 2.1% in 2026 following the energy and commodity price shock associated with the conflict in the Middle East.	Maintain a data-dependent monetary policy stance and consider reversing last year's precautionary policy rate cut if signs emerge that core inflation is set to overshoot its long-term average.
Fiscal consolidation has been and is planned to remain very gradual, despite a high public debt ratio. It is now at risk amidst soaring global energy and commodity prices.	Take a set of spending and tax measures to ensure that the 3% of GDP 2028 deficit target is met, prioritising subsidy containment.
Fossil fuel subsidies weigh on public finances and reduce incentives for emission reductions. Despite some progress in subsidy rationalisation, the RON-95 petrol subsidy was raised in September 2025.	Limit and gradually phase out energy subsidies and use part of the savings for targeted cash transfers to low-income households.
Mounting spending needs in social protection and education call for strengthening the fiscal revenue base. The scope of the sales tax and the services tax has been expanded but it is not the most efficient way to collect taxes on goods and services. There is room to reduce tax expenditures and to tax more forms of personal income.	Mobilise additional tax revenues by: • Re-introducing the Goods and Services Tax while compensating low-income households with targeted transfers. • Broadening the personal income tax base by streamlining deductions, limiting exemptions and taxing a wider range of capital income. • Further enhancing tax administration.
Non-contributory pension coverage for the vulnerable remains narrow.	Expand the coverage of means-tested non-contributory pensions towards all those with no old-age pension from other sources, taking into account the need for fiscal sustainability.
Coping with climate change	
Climate adaptation policies remain fragmented across different sectoral strategies and institutions.	Finalise and publish the National Adaptation Plan (MyNAP), which will consolidate the governance of climate adaptation policies.
Climate risk information, hazard mapping and data availability remain uneven across regions and sectors, limiting the ability of businesses to anticipate climate risks.	Improve the availability and accessibility of climate risk data, including high-resolution flood risk maps and climate projections.
Natural disasters can generate large fiscal costs, while insurance coverage against climate risks remains limited among households and businesses.	Expand natural hazard insurance coverage by improving risk awareness and offering financial assistance to most vulnerable groups and sectors. Consider mandating property insurance policies to include natural hazard coverage.
Petrol prices continue to be subsidised, while the absence of a carbon pricing framework weakens incentives to reduce emissions.	Move from subsidising fossil fuels towards a carbon pricing strategy, while protecting vulnerable households through targeted transfers.
Boosting productivity	
Restrictions on foreign equity holdings are comparatively tight.	Relax foreign equity caps while maintaining appropriate safeguards for genuinely strategic sectors.
Price controls remain for a number of key goods, though they have been lifted for a few in 2025.	Continue to phase out price controls gradually, replacing them by targeted subsidies for vulnerable households.
State support for micro, small and medium-sized firms is delivered through a large number of ministries, agencies and programmes.	Streamline and consolidate public support for smaller firms.
Policymaking and administration remain highly fragmented.	Consolidate ministries and agencies, with a clear allocation of mandates and stronger centre-of-government steering capacity.
Further progress can be made to harness competition among different private and state-owned enterprise bidders in public procurement.	Introduce new mechanisms to detect bid-rigging and cartel behaviour in procurement.
There is no comprehensive, mandatory asset disclosure regime for ministers and Members of Parliament.	Legislate mandatory and regular asset disclosures for all high-level members of the executive and for legislators.
Improving skills, education and training	
The government has made preschool compulsory for 5-year-olds and aims to raise the enrolment rate to 98% by 2030.	Make compulsory preschool education free for families and consider extending it to 3- and 4-year-olds.
Students' scores in PISA and other international tests have fallen significantly and lag behind other countries with similar income levels.	Establish a professional framework to specify what is expected of teachers and define a path for career progression.
Malaysia's fragmented TVET sector comprises 683 federal public, 28 state public and 697 private institutions, but in the absence of evaluations of TVET institutions, funding allocations are not systematically related to performance.	Use the new TVET rating system to evaluate institutions based on graduate employability, wage levels and coordination with the private sector.
Skills mismatches have become increasingly evident on the labour market. Skill-related underemployment among tertiary graduates was 35.6% in 2025. Tertiary enrolment fell from 45% of youth in 2016 to 39% in 2024.	Reinforce linkages between the business sector and higher education, including in curriculum design.


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GABENOR
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BANK NEGARA MALAYSIA
WANG INI SAH DIPERLAKUKAN DENGAN NILAI
20

1 Macroeconomic resilience and policies

Vincent Koen

Kazuyoshi Ohnuma

Malaysia's economy displayed resilience in 2025 amid heightened global uncertainty and major external shocks. Growth held up well, supported by the upswing in the global technology cycle, strong investment in data centres and a rebound in tourism. Trade flows were volatile as exporters adjusted to higher US tariffs, but exemptions mitigated their impact. Domestic demand remained robust, underpinned by strong labour market conditions and rising wages, while inflation eased to low levels. In early 2026, growth stalled temporarily in the first quarter, before regaining strong momentum in the second quarter, while inflation has remained broadly contained. Monetary policy has stayed broadly neutral, with exchange-rate flexibility continuing to act as a key shock absorber. Financial system soundness is supported by ample capital and liquidity buffers, although pockets of vulnerability warrant monitoring. Fiscal consolidation progressed gradually, but subsidies, notably for energy, continue to weigh on public finances and complicate medium-term planning. Looking ahead, growth is projected to remain solid, albeit slightly lower than in 2025, and inflation will see a small increase, while demographic ageing and climate objectives underscore the urgency of structural reforms to boost productivity and strengthen fiscal sustainability.

1.1. Growth held up in the face of shocks but has begun to slow

The Malaysian economy displayed remarkable resilience in the face of recent adversity, before eventually starting to show signs of weakening. GDP grew at 5.2% during 2025 despite a set of major tariff shocks, similar to the robust outcome recorded in 2024 (Figure 1.1). However, on a quarter-on-quarter basis, growth slowed in late 2025 and more sharply in the first quarter of 2026 before re-accelerating in the second quarter of 2026, despite the backdrop of surging global commodity prices and heightened geopolitical tensions.

As an economy deeply integrated in global value chains though with a fairly diversified export structure (Figure 1.2), many observers expected that Malaysia would be badly hit by the rise in US tariffs. This diversification has helped cushion the impact of external shocks by spreading risks across products and markets, reducing reliance on any single trading partner. However, deepening trade diversification, including through new export markets and more complex products, would further enhance resilience and mitigate risks.

Malaysian exporters faced a major set of tariff shocks in 2025 as the United States, one of Malaysia's top export markets, raised import duties. An initial 24% ad valorem rate on Malaysian goods was announced in early April, but formal negotiations led to a tariff on Malaysian exports to 19% effective 1 August, a rate broadly aligned with that applying to regional peers. Exemptions were provisionally maintained for over 1700 lines accounting for around three quarters of Malaysia's exports to the United States (including electrical and electronic products, which form the bulk of those exports). In late October 2025, a US-Malaysia agreement confirmed the 19% headline rate, expanded zero tariff/non-trade-barriers facilitation lists for US exports to Malaysia, and set out some cooperation tracks, notably on agricultural market access and critical minerals. The exemptions remain subject to potential revision, and the authorities have been focused on mitigation through leveraging Malaysia's free trade agreements, accelerating the execution of the New Industrial Master Plan (Box 1.1) and National Semiconductor Strategy, and providing firm-level support to help exporters adapt to the new tariff baseline. In February 2026, the US Supreme Court invalidated the tariffs imposed under the International Emergency Economic Powers Act (IEEPA). In the wake of this decision, the US Administration introduced a temporary 10% tariff for five months under Section 122 of the US Trade Act. A review under Section 301 was also initiated, which might affect certain sectors. While tariffs are now lower, uncertainty remains significant.

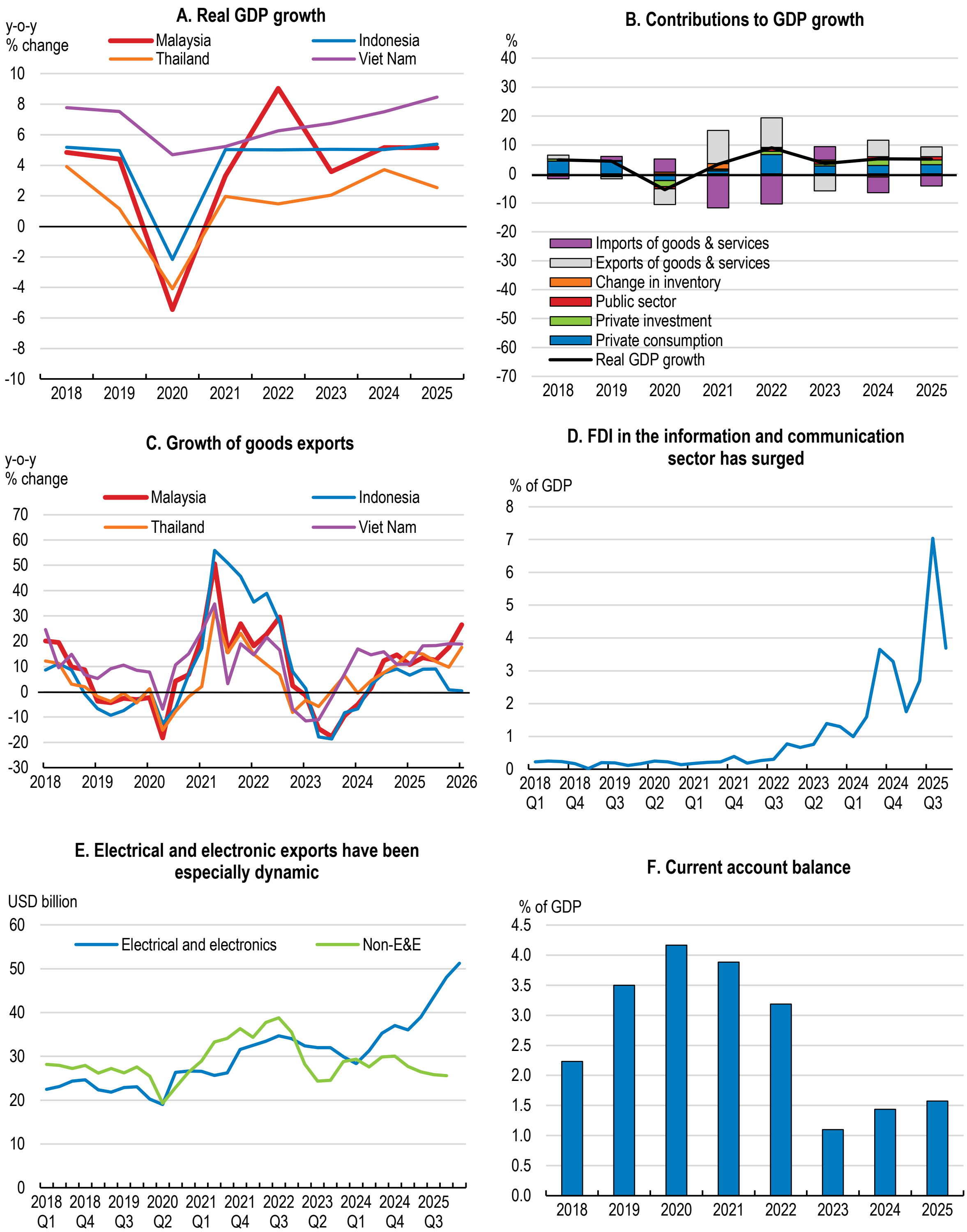
Box 1.1. Malaysia's New Industrial Master Plan

Malaysia's New Industrial Master Plan 2030, launched in 2023, sets an ambitious agenda to move manufacturing up the value chain, raise domestic linkages, and deepen participation in global value chains. It targets more high-value jobs, stronger clusters, and improved environmental, social and governance performance, supported by mission-based projects in areas such as smart factories and electric vehicles.

The strategy is aligned with the need to diversify industrial growth and strengthen resilience amid supply-chain disruptions and technological change. It recognises that industrial upgrading now depends less on low-cost labour and more on innovation, digitalisation, and firm-level capabilities. The main challenge lies in implementation. The plan spans multiple missions, strategies, and action plans, making effective coordination across agencies essential. A mid-term review is scheduled for end-2026 to assess progress and recalibrate the plan if needed. Predictable regulation, and sustained investment in human capital will be critical to ensure that the plan translates into productivity gains (see chapter 3).

Source: MITI (2023).

Figure 1.1. Growth has been supported by the buoyancy of the tech cycle



Note: In Panel B, the public sector includes government consumption and public investment.
Source: CEIC; Department of Statistics Malaysia; and OECD calculations.

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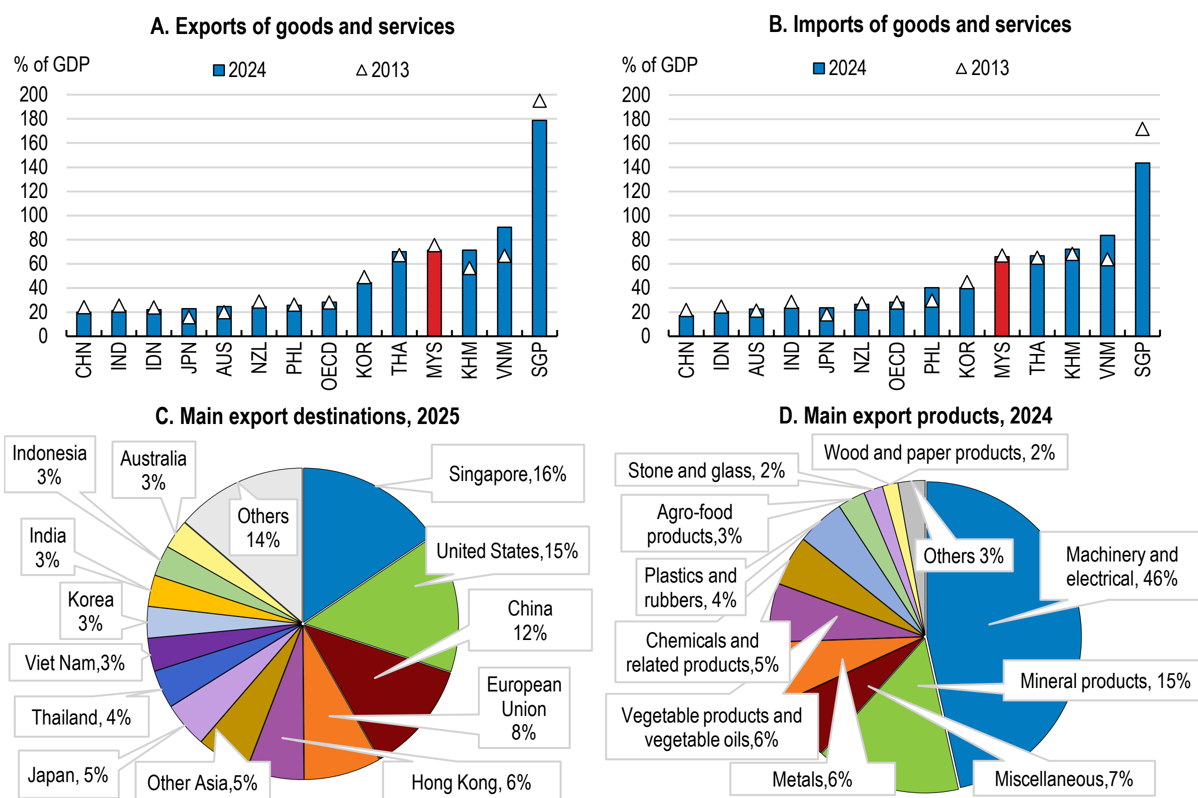
Against this backdrop, Malaysia's trade flows have been marked by volatility (Figure 1.1, Panel C), reflecting shifting global demand conditions and anticipatory behaviour ahead of trade policy changes. After frontloading of shipments to the United States in early 2025 ahead of the expected imposition of higher tariffs, they eased back as these effects unwound but picked up late in the year. Exports to the rest of Asia gained momentum through the year, with particularly strong growth to Chinese Taipei, supported by sustained demand for electrical and electronic products and intermediate inputs linked to regional semiconductor and data-centre investment (Panel E). Inbound tourism has also picked up substantially. Imports also fluctuated, with investment-related demand for capital goods and intermediate inputs a major driver. Imports from China were up by some 19% over the year as a whole, mostly on account of electrical and electronic products, machinery and equipment, and chemical products. As a result, the trade surplus narrowed somewhat compared with previous years, though it remained positive, helping to keep the current account balance in surplus (Panel F). Malaysia's net international investment position stood at -3.3% of GDP at the end of the first quarter of 2026.

Figure 1.2. Malaysia trades actively with the rest of the world



Source: World Development Indicators; ASEAN Stats; UN Comtrade database; and OECD calculations.

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Trans-shipment activity has been an important driver of Malaysia's headline export performance. Re-exports, which largely proxy goods trans-shipped through Malaysia's ports with limited domestic transformation, surged and accounted for circa 20-25% of total exports during 2025, cushioning the impact of weak global demand, tariff uncertainty and supply-chain reconfiguration linked to geopolitical tensions. In the process, Malaysia's major ports, notably Port Klang and Tanjung Pelepas, have benefited from China+1 strategies and trade rerouting, reinforcing the country's role as a regional logistics hub. However, the domestic value added from trans-shipment remains limited, while heightened scrutiny of certificates of origin underscores the need to monitor compliance to avoid reputational risks.

Resilient growth owed much to the global tech cycle, with capital investment in Malaysia turbocharged by the rapid buildout of data centres (Figure 1.1, Panel D), an activity where Malaysia enjoys distinct comparative advantages (Box 1.2). This buildout supports the construction sector but creates only a limited number of jobs. It also strains the existing grid and water supply in certain areas (Loo, 2025). Furthermore, heavy reliance on fossil generation could make it more difficult to achieve 2050 net zero targets absent accelerated renewable integration (see Chapter 2).

Box 1.2. Leveraging the global data centre boom and Malaysia's resource endowments

Rapid digitalisation, cloud adoption and soaring AI compute demand have triggered a worldwide surge in data-centre investment. Malaysia has rapidly emerged as a major hub for such investment in Southeast Asia, with Johor as the epicentre. Between 2021 and 2024, the country attracted approximately USD 44 billion in data centre-related projects, with total digital investments reaching USD 65 billion during the same period. In 2025 alone, approved investments in the digital services industry reached USD 35 billion, driven by global hyperscalers. The latter's investments in Malaysia reflect several factors. Singapore's land and power constraints have pushed hyperscalers to look for alternative sites nearby: Johor, just across the border, offers low latency and direct fibre links to Singapore. Also, a number of major international cables land in Malaysia, ensuring high-speed global connectivity. Moreover, Malaysia offers cheaper land and competitive electricity tariffs compared to Singapore and Hong Kong, tax breaks, investment allowances, streamlined approvals under Malaysia Digital and special economic zones, as well as good intellectual property protection. In addition to these advantages, Malaysia's substantial rare earth reserves (notably neodymium, dysprosium and praseodymium) provide a complementary strategic asset. These elements are critical inputs for high-performance magnets used in servers, data-centre equipment and renewable energy systems. The authorities are seeking to leverage these endowments through a dedicated rare earth strategy focused on downstream processing, value-chain development and reduced reliance on raw exports. If effectively implemented, this could enhance Malaysia's position in critical mineral supply chains while supporting the domestic digital and energy transitions.

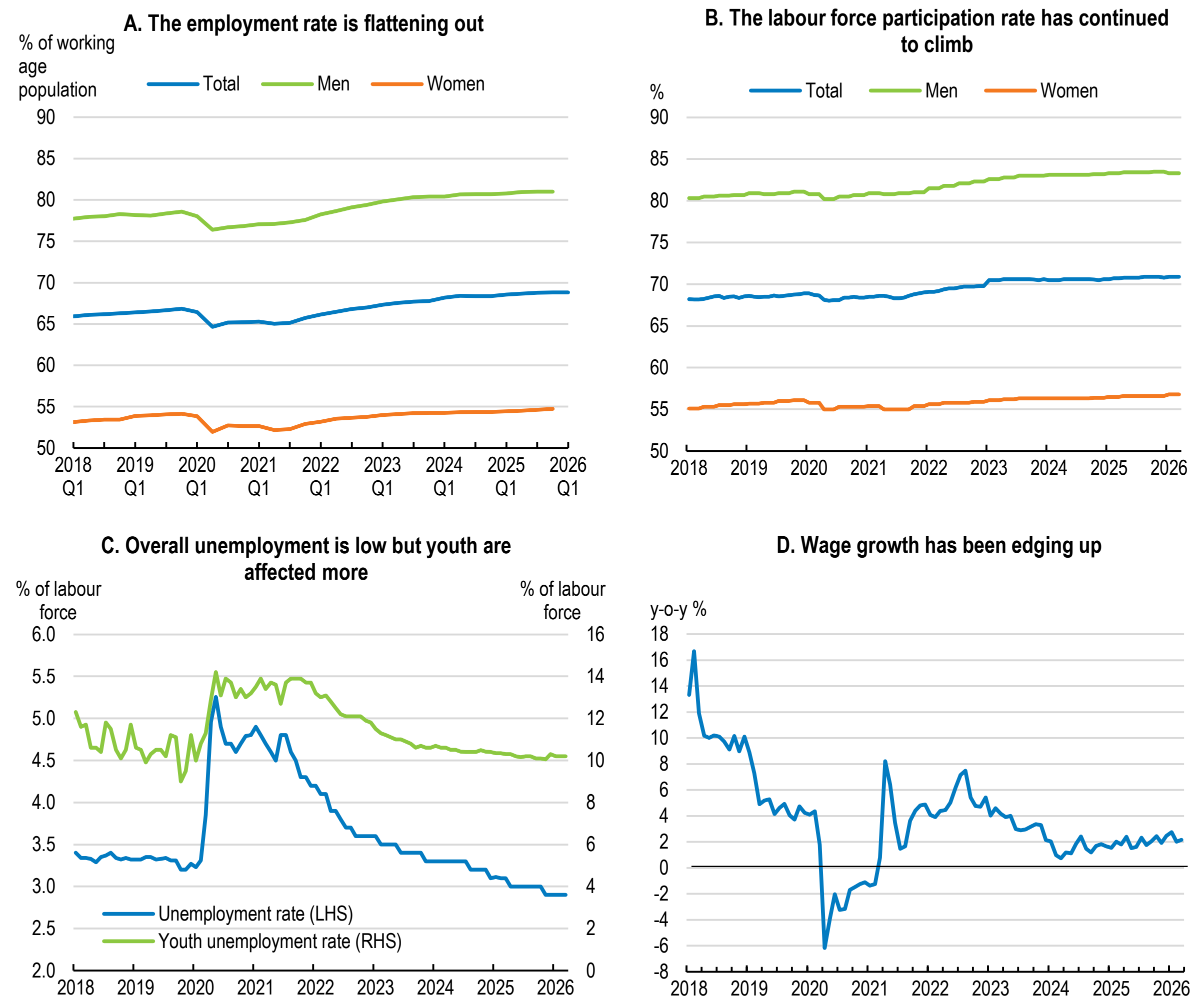
Malaysia attempts to harness the data-centre boom as part of a broader digitalisation effort to create high-skilled jobs in engineering, cybersecurity, and data management; stimulate demand in construction, energy, and telecommunications; and support the development of local supplier ecosystems, including equipment maintenance, software services, and facility management. Increased demand for reliable power is also accelerating investments in grid infrastructure and renewable energy, with potential positive spillovers for the wider economy.

The expansion of data-centre capacity also aligns with Malaysia's broader AI strategy to position the country as a regional AI hub. Greater availability of domestic computing infrastructure lowers barriers to AI adoption by local firms, supports the growth of AI start-ups, and enables public-sector use cases in areas such as smart cities, healthcare, and digital governance (see chapter 3). By integrating data-centre development with its AI roadmap, national AI frameworks, and investments in digital skills, Malaysia aims to capture higher value-added activities across the AI value chain.

Source: Cox et al. (2025), DNA (2025), Market Research Malaysia (2025), MIDA (2024).

The labour market tightened continuously during 2025 and early 2026, amid robust job creation across services and manufacturing (Figure 1.3, Panel A). The employment rate continued to rise, with the share of those employed for less than 30 hours per weeks trending down. The unemployment rate fell to 2.9% by November 2025, its lowest level in a decade (Panel C). The recently unemployed (less than three months) account for close to two-thirds of the pool of unemployed, and long-term unemployment (over one year) for around 5%. The youth unemployment rate for the 15 to 24-year-olds edged down but still exceeded 10% in March 2026. The labour force participation rate rose further, to a historical high of close to 71% (Panel B), reflecting higher female participation and continued absorption of older workers. Nominal wage growth was reinforced by minimum wage adjustments and a two-step public sector wage catch-up in 2025-26, although wage gains varied across sectors amid lingering cost pressures (Panel D). Despite the tight market, the labour share of income remains below pre-pandemic levels in many industries and comparatively low relative to peers, reflecting long-standing skills mismatches, limited collective bargaining coverage and reliance on lower-skilled labour. The Thirteenth Malaysia Plan reiterates the objective of raising the labour share, albeit with a lower target than in the previous Plan, through a combination of minimum wage increases and upskilling initiatives (see Chapter 4), underscoring that cyclical strength in the labour market has yet to translate fully into broad-based productivity-linked wage gains.

Figure 1.3. Labour market conditions have improved



Source: Department of Statistics Malaysia; CEIC; and OECD calculations.

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Buoyed by the strong labour market, household consumption recorded a vigorous expansion in 2025, with 5.3% growth at constant prices, before temporarily slowing in the first quarter of 2026. The slowdown in household consumption in early 2026 was largely due to a sharp drop in motor vehicle sales associated with the expiration of electric vehicle import duty waivers, and therefore probably temporary. However, household consumption of non-durables continued to benefit from policy support measures, including cash transfers and public wage adjustments, as well as festive spending and resilient labour market conditions. Retail sales showed sustained momentum, including during the first five months of 2026.

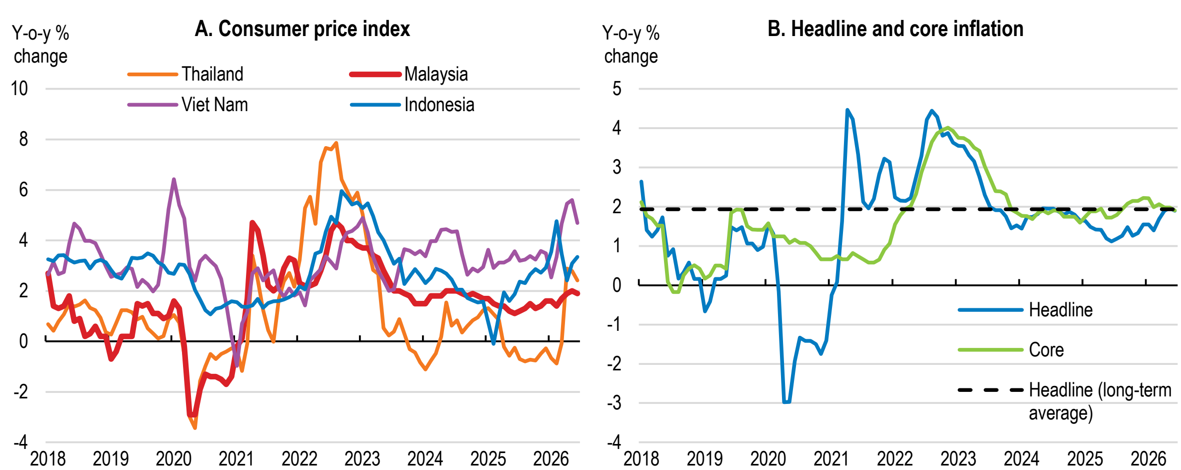
The evolving conflict in the Middle East that erupted in February 2026 is leaving its mark on the economy, but Malaysia's status as a net energy exporter has so far cushioned the conflict's economic fallout more than in regional peers. In sequential terms, the economy stalled in the first quarter of 2026, even though real GDP was still up by 5.4% over a year earlier. On the supply side, the pace of expansion in manufacturing held up, sustained by the tech sector, but weakened in other sectors, including agriculture and construction. Domestic demand softened, with an outsized negative contribution from stockbuilding. The Middle East conflict has begun to affect selected input supplies, with tighter global availability and higher prices for fertilisers, petrochemical feedstocks and certain industrial gases (notably helium, used in semiconductor manufacturing) adding to cost pressures in agriculture and some manufacturing segments. In the second quarter of 2026, growth recovered strong and broad-based momentum, rising to 5.8% over a year earlier, notably sustained by the tech sector and petroleum, chemicals, rubber and plastics products.

Exports remained buoyant in the first five months of 2026, still pulled by sales of electrical and electronic products benefiting from the global tech cycle. Strong demand for artificial intelligence and automotive electronics lifted electrical and electronics shipments to an all-time high in May. Imports of intermediate goods weakened substantially in April before rebounding strongly in May, in part related to the disruptions caused by the ongoing blockade of the Strait of Hormuz. Net export values of LNG, crude oil and petroleum products together more than doubled between February and March 2026, then declined amid a temporary surge in imports of petroleum products in April and finally rebounded in May 2026, the latest reading, with exports exceeding imports by around a third in May. This mostly reflects Malaysia's strong exports of liquified natural gas, while for crude oil and refined petroleum products together, Malaysia's exports and imports were close to balanced, with net exports negative for crude oil and positive for refined petroleum products.

1.2. Inflation came down from its 2022 peak

Headline consumer price inflation declined to low levels in 2025, fluctuating between 1.1% and 2.0% during the year and through the June 2026 reading of 1.9% (Figure 1.4), with some high-frequency volatility due inter alia to energy, telecommunications, and streaming prices. The surge in global energy prices following the onset of the conflict in the Middle East has pushed up headline consumer price inflation but far less than in most other countries as the price of petrol has been kept fixed (see below). The associated core measure (excluding fresh food items and administered prices set or regulated by the government) stood at 1.9% in June of 2026. This compares with a longer-run average rate of 2% since 2010 for headline inflation. Inflation is also lower than in regional peers such as Singapore, the Philippines, Viet Nam, and Indonesia. Service price inflation has been running somewhat faster, pulled up inter alia by dining, accommodation, personal care and financial services.

Figure 1.4. CPI inflation has been subdued since 2024



Note: In Panel B, headline inflation refers to the year-on-year percentage change in the consumer price index (CPI). Core inflation excludes the most volatile components of the CPI basket, notably food and energy prices, to better capture underlying price pressures. The long-term average corresponds to the simple average of headline inflation over the period 2010-25.
Source: CEIC; OECD calculations.

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1.3. Growth is projected to remain solid

Despite the backdrop of soaring global energy and other commodity prices following the onset of the conflict in the Middle East and of enduring international trade frictions, real GDP growth is projected to remain solid at 4.9% in 2026 and 5.0% in 2027 (Table 1.1). The projected small slowdown in 2026 partly reflects the strong carryover from the stalling of GDP in the first quarter of the year, which was followed by strong growth in the second quarter. The economy's underlying momentum is less dented by the latest energy price shock than in most neighbouring countries as Malaysia is a net energy exporter (Box 1.3). Even so, on balance growth is likely to be reduced and inflation to be higher than foreseen earlier on. As to the impact of higher US tariffs on Malaysia, IMF estimates suggested in early 2026 that, after exemptions and trade reallocation, they may reduce GDP by around 0.2%, though sectoral and firm-level effects could be more pronounced (IMF, 2026). Tech-related goods (notably semiconductors) should continue to underpin exports, keeping the current account in surplus. The Visit Malaysia 2026 campaign and incentives are expected to lift arrivals and tourism receipts, providing some offset to goods-trade headwinds.

On the domestic side, private consumption is poised to recover after a temporary slowdown early in the year notwithstanding the squeeze imparted by the pick-up in inflation, supported by a tight labour market and wage growth. Budget 2026 measures, including higher allocations for *Sumbangan Tunai Rahmah* and *Sumbangan Asas Rahmah* cash assistance to households, as well as sectoral tourism initiatives, will bolster disposable incomes for lower- and middle-income households and reinforce urban services activity. Private investment also slowed in early 2026 but is set to regain momentum in technology-intensive sectors (semiconductors, data centres, green energy), while public investment is supported by multi-year infrastructure pipelines and national master plans including the installation of extra gas-related energy capacity. Together, these forces should sustain demand even as external conditions remain uncertain.

Table 1.1. Macroeconomic indicators and projections

Per cent changes from previous year unless specified

	2023	2024	2025	2026	2027
Output and demand					
Real GDP	3.6	5.2	5.2	4.9	5.0
Private Consumption	4.6	4.8	5.3	4.5	4.6
Public Consumption	4.3	4.6	5.3	4.2	5.1
Gross fixed investment	5.4	12.1	9.6	5.7	5.8
Exports of goods and services	-7.9	8.6	4.9	4.4	3.8
Imports of goods and services	-6.8	8.7	6.3	3.5	4.2
Net exports (contribution to GDP growth, % point)	-1.2	0.3	-0.6	0.7	-0.1
Inflation					
Consumer price inflation	2.5	1.8	1.4	2.1	2.3
Core consumer price inflation	3.0	1.8	2.0	2.1	2.3
Unemployment (% of labour force)	3.4	3.2	3.0	2.9	2.8
Public finances (% of GDP)					
Federal government fiscal balance	-5.0	-4.1	-3.7	-4.0	-3.8
Expenditures	22.3	21.0	20.4	20.3	19.8
Revenues	17.3	16.8	16.6	16.2	15.9
Federal government debt	64.2	64.5	65.2	65.0	64.3
External sector and memorandum items					
Current account balance (% of GDP)	1.1	1.4	1.6	1.6	1.8

Note: The underlying oil price assumption is that the quarterly average Brent price peaks at USD 102 in 2026Q2 and declines thereafter to USD 78 by 2027Q4, in line with the futures curve observed in late May. The price of natural gas is also assumed to evolve in line with the futures curve.
Source: OECD Economic Outlook 119 database and OECD projections.

Headline inflation is projected to move up further from its low 2025 readings, converging with core inflation, on the back of higher global energy and commodity prices, wage increases, and the mid-2025 sales tax and services tax expansion (see below), though a stronger ringgit should temper pass-through via import prices. In the near term at least, higher global oil prices will only partly be reflected in consumer prices given that the authorities maintain a fixed price for RON-95 fuel for most buyers (see below). However, diesel and fertiliser prices have already started to rise substantially, and electricity bills have drifted upward even without a formal tariff hike. Estimates, including the central bank's, suggest that aggregate demand was slightly exceeding potential output in 2025, and unemployment only slightly below its structural level. With growth having slowed since, cyclical inflationary pressure is limited.

Malaysia's near-term outlook is clouded by uncertainties, with risks skewed to the downside (Table 1.2). As a highly open economy, Malaysia remains vulnerable to external shocks, including prolonged supply disruptions, commodity prices staying high for longer and a sharper slowdown in global demand due to the evolving conflict in the Middle East, the potential emergence of new chokepoints in addition to the Hormuz strait, or a re-escalation of trade tensions and trade barriers. Malaysia's large electrical and electronics and semiconductor industries face heightened supply-chain vulnerabilities from the conflict in the Middle East, reflecting their deep integration into global input markets. The disruption to LNG facilities in Qatar, one of the world's main helium producers, constrains global helium supply, a critical input for wafer cooling, plasma etching and other precision processes in semiconductor manufacturing. While Malaysian chipmakers have so far avoided production interruptions thanks to inventory buffers and diversified sourcing, prolonged supply constraints could raise costs and delay production, underscoring the sector's exposure to geopolitical shocks in upstream gas and industrial-gas markets. Agriculture, which contributes over 8% to Malaysia's GDP, with palm oil alone accounting for 4.4%, makes the economy sensitive to movements in global fertiliser and commodity prices. Malaysia imports around 61% of its annual fertiliser use and sectors that are vulnerable to potential supply shortages include palm oil, paddy or rice, fruits and vegetables and food production. Lower-than-projected prices, particularly for palm oil and other key exports, could weaken export performance and fiscal revenues. Financial market volatility and a potential correction in technology-related sectors, particularly if the current AI-driven investment cycle falters, could weigh on exports and investment. Renewed weakness in China would amplify these pressures. Since the subsidy bill has risen sharply in the face of higher global oil prices, fiscal sustainability risks have also risen, reinforcing the need for timely policy action to safeguard fiscal credibility and resilience. On the upside, a stronger-than-foreseen semiconductor upcycle, breakthroughs in trade negotiations, stronger-than-expected tourism flows under Visit Malaysia 2026, and faster progress on structural reforms could bolster confidence and external receipts.

Table 1.2. Low-probability events that could lead to major changes to the outlook

Event	Potential impacts
New protectionist measures.	Higher tariffs applying to heretofore exempted sectors could reduce exports considerably.
An abrupt reversal of the global tech cycle.	With over 40% of Malaysia's goods exports consisting of electrical and electronics, manufacturing and employment would be hit hard.
A sharp slowdown in the Chinese economy.	With China being Malaysia's largest trading partner, second largest source of tourist arrivals and fifth largest source of FDI, Malaysia's exports, investment inflows and tourism activity would be affected.
Climate-related disaster.	Extreme weather events, such as floods or unusually high temperatures linked to El Niño, could lead to higher global commodity prices and power cuts and cause significant economic disruption.

Domestic risks are less stark but still present. Inflation could rise more than anticipated due to a larger-than-expected pass-through of the global energy and commodity price shock into domestic prices, which would erode purchasing power and complicate monetary policy. Slower-than-expected implementation of infrastructure projects or private investment plans could dampen growth momentum, while fiscal consolidation challenges may constrain policy space. Conversely, upside growth surprises could stem from accelerated execution of energy and industrial projects, stronger private investment in high-tech and green sectors, and sustained consumer spending supported by targeted cash transfers and a resilient labour market.

Box 1.3. Malaysia’s exposure to the global energy price shock

Malaysia’s macroeconomic exposure to the recent surge in global oil and gas prices is moderated by its role as an exporter of hydrocarbons. Higher international prices are expected to strengthen export receipts for crude oil and natural gas, partly offsetting adverse external spillovers from the conflict affecting energy markets. Moreover, the authorities’ decision to maintain a capped retail price for RON-95 petrol at MYR 1.99 per litre is likely to dampen the pass-through of higher fuel costs to consumer price inflation in the near term.

At the same time, Malaysia’s energy trade structure creates specific vulnerabilities. The country remains dependent on imported crude from the Persian Gulf and on petroleum products supplied through regional trading hubs. In 2025, exports of petroleum (crude plus petroleum products) reached MYR 123 billion while imports amounted to MYR 150 billion. Domestic production is skewed towards higher-quality sweet crude, which is largely shipped to advanced regional markets, whereas local refineries process a substantial share of imported Middle Eastern oil. A sustained disruption to shipping routes in the Gulf region would therefore require refineries in Malaysia and elsewhere in Asia to adjust sourcing strategies and secure alternative grades of crude.

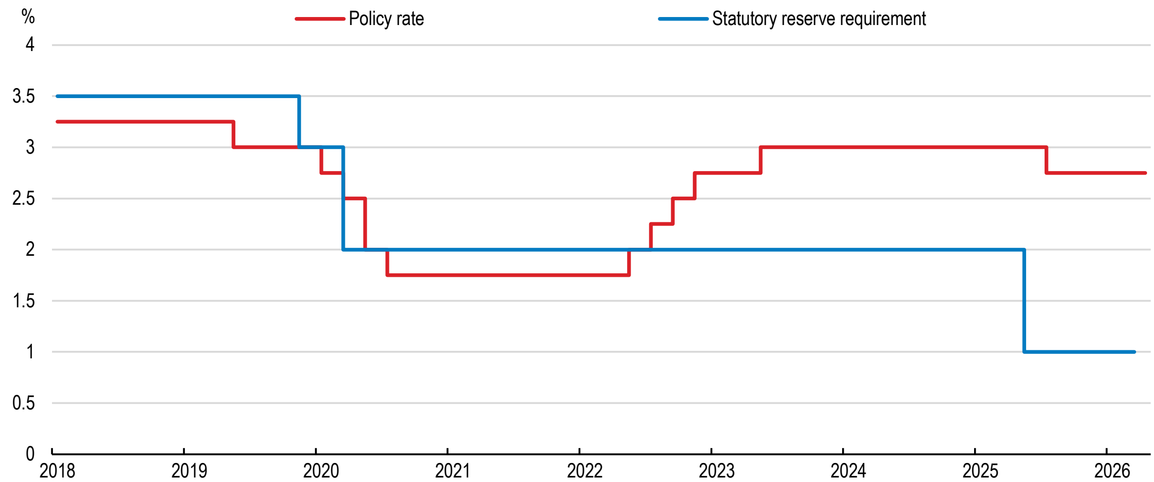
Although domestic crude output falls short of total consumption, Malaysia remains a net energy exporter once natural gas and petroleum products are taken into account. In the final quarter of 2025, outbound shipments of energy products exceeded imports by nearly MYR 5.5 billion.

Elevated oil prices also carry fiscal implications. The government has committed to maintaining fuel subsidies for RON-95, but reduced the associated monthly quota from 300 to 200 litres (which still covers the needs of around 90% of households). If global prices were to stay around USD 100 for Brent crude, monthly subsidies for RON-95 and diesel (which remains subsidised separately in Sabah and Sarawak) could reach MYR 3 billion (1.8% of GDP), eroding fiscal space. Over a longer horizon, stronger hydrocarbon revenues are expected to boost dividend payments from the national oil company Petronas, helping offset the fiscal burden of higher subsidies, but such transfers typically materialise with a lag.

1.4. The monetary stance is broadly neutral and the exchange rate has appreciated

The largely independent central bank, Bank Negara Malaysia (BNM), has navigated post-pandemic normalisation with a pragmatic, data-dependent approach within a flexible exchange-rate regime and without an explicit numerical inflation target, a framework that has nevertheless delivered comparatively low and stable inflation outcomes. After cutting the overnight policy rate from 3% to 1.75% in the first part of 2020, to cushion the COVID-19 shock, BNM raised it in 2022-23 back to 3%. It made a 25 basis points cut to 2.75% in July 2025 to insure against prevailing uncertainties surrounding global trade and geopolitical developments that posed risks to Malaysia's growth outlook (Figure 1.5). BNM indicated that the move was a risk-management adjustment rather than a shift to outright easing. The combination of a credible reaction function and continued exchange-rate flexibility has helped keep inflation expectations stable. The current policy rate is probably close to neutrality insofar as it is slightly below its longer-term average, with inflation also slightly below but set to head higher.

Figure 1.5. The policy interest rate has remained close to 3% over the past three years



Source: CEIC.

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Alongside the overnight policy rate, the statutory reserve requirement (SRR) is used by BNM as a liquidity management instrument. The SRR was reduced from 3 to 2% in March 2020 (Figure 1.5), with temporary flexibility to recognise government securities for compliance, injecting roughly RM30 billion into the system but without signalling a change in the monetary policy stance. It was cut further to 1%, in May 2025 amid financial market volatility to ensure sufficient liquidity in the banking system and help banks better manage liquidity in a more uncertain environment. Current BNM guidance retains the SRR as a non-signal tool to support smooth transmission of policy rates to retail lending and deposit rates. The framework is underpinned by well-developed money market operations, including daily tenders via the FAST platform.

Besides, BNM has introduced a MYR 5 billion SME Stabilisation Relief Facility to support SMEs affected by disruptions stemming from the ongoing Middle East conflict. The facility aims to alleviate short-term liquidity constraints and sustain viable businesses facing operational and cash flow pressures, providing working capital financing of up to MYR 750 000 per firm for a tenure of up to five years at a concessional rate capped at 3.75% per annum. To enhance access, particularly for firms lacking collateral, financing will be backed by guarantees of up to 80% from Credit Guarantee Corporation Malaysia and Syarikat Jaminan Pembiayaan Perniagaan. The time-bound facility, available from mid-May to end-2026 or until full utilisation, is complemented by supervisory guidance encouraging early borrower–lender engagement and supported by advisory and debt resolution services provided by Agensi Kaunseling dan Pengurusan Kredit.

Since 2024 the ringgit has appreciated from what, as documented in the previous OECD *Economic Survey of Malaysia* (OECD, 2024), was widely seen as a weak level, aided by narrowing interest-rate differentials with the United States and improving domestic fundamentals (Figure 1.6). On a bilateral basis, it lost only 2% against the US dollar during the two months to end-April, following an appreciation on the order of 20% over the previous two years. The authorities underline that the exchange rate will continue to act as a shock absorber, supported by ongoing efforts to encourage more balanced two-way flows and deepen the forex market (IMF, 2026). BNM's Financial Markets Investor Portal reported daily forex turnover in the USD 20 billion range in the onshore market in 2025, stressing the central bank's role in ensuring orderly market conditions rather than targeting a level. Retaining a flexible regime remains appropriate given Malaysia's openness and diversified trade links.

Figure 1.6. The real effective exchange rate has appreciated since 2024

Note: The real broad effective exchange rate is calculated as weighted average of bilateral exchange rates adjusted by relative consumer prices. An increase in the index denotes an appreciation of the currency in real terms, implying a decline in external price competitiveness. Index 2020 = 100. Monthly data, not seasonally adjusted.
Source: Bank for International Settlements.

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The monetary stance has been appropriate so far, helping preserve growth while continuing to anchor expectations. However, with both headline and core inflation projected by the OECD to rise to 2.1% on an annual average basis in 2026, consideration may need to be given to reversing last year's precautionary cut if signs emerge that the energy and commodity price shock is passing through into core inflation and implies an overshoot of the current 1.5-2.5% BNM inflation projection. The distortions that fuel subsidies impose on price-wage dynamics, for example, may be an additional indirect channel why core inflation could rise after some lag. In any event, policy should stay nimble amid heightened global uncertainty. If growth slows more than expected or if external shocks intensify, the established toolkit (including liquidity operations and, if needed, SRR flexibility) can complement the overnight policy rate, while continued exchange-rate floating limits the need for large rate adjustments to counter imported shocks. The recent global energy price shock may be a challenging test.

The previous OECD *Economic Survey of Malaysia* (OECD, 2024) welcomed Malaysia's progress on macro policy frameworks and recommended further enhancements to monetary policy communication (Table 1.3 further down). Publishing Monetary Policy Committee minutes, even if only in summary form, could strengthen accountability, clarify the distribution of views, and help anchor expectations, particularly in a setting without an explicit inflation target. Such a step would align Malaysia with practices in many inflation-targeting and flexible-exchange-rate peers and would complement BNM's already detailed Monetary Policy Statements.

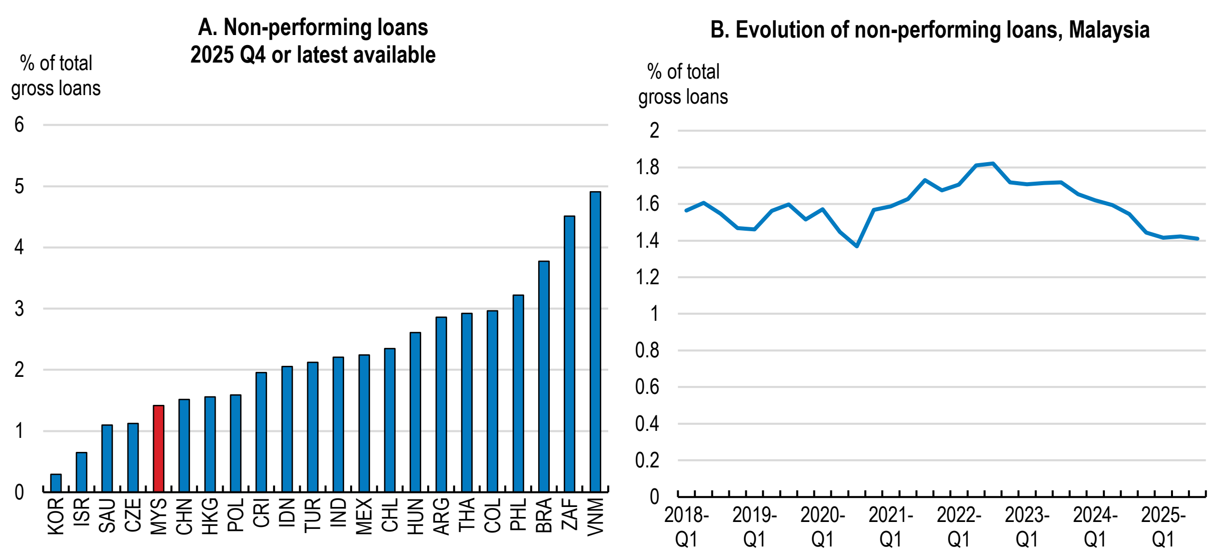
1.5. Financial sector risks seem to be contained

The Malaysian financial system exhibits strong capitalisation, ample liquidity buffers and generally healthy private sector balance sheets. BNM and IMF assessments concur that systemic risks are contained, despite an uncertain global environment (BNM, 2026; IMF, 2026). Aggregate capital ratios stay comfortably above regulatory minima, with the total capital ratio of the banking system rising to close to 18% by late 2025, broadly comparable to Singapore and well above Basel III requirements, though lower than in some regional peers such as Indonesia. The system-wide liquidity coverage ratio stood at just over 160% at the end of 2024 and remained elevated in 2025, providing a substantial buffer against funding stress. BNM's regular stress tests suggest that banks would remain resilient under severe macro-financial shocks, reflecting prudent underwriting standards and conservative provisioning. Furthermore, the authorities have recently finalised a

Consumer Credit Bill that tightens supervision of previously unregulated non-bank lenders, notably buy-now-pay-later providers.

Overall, asset quality does not appear to be a source of concern (BNM, 2026; IMF 2026). Non-performing loan ratios remain low and stable (Figure 1.7), supported by steady employment and wage growth and broadly favourable corporate earnings. Household balance sheets are healthy overall, but vulnerabilities persist among a subset of highly leveraged borrowers. In particular, loans to households with debt-service ratios above 60% remain a focus of supervisory attention, as these borrowers are more sensitive to interest rate shocks and income volatility. While this segment mostly includes middle-to-high-income borrowers, and delinquency rates are contained, continued vigilance is warranted. Unlike in a number of OECD countries, housing price growth has not outstripped income growth in recent years, implying less of a risk of a generalised correction affecting mortgage portfolios.

Figure 1.7. The share of non-performing loans has remained low



Source: IMF, Financial Soundness Indicators.

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Macroprudential tools can help fine-tune emerging risks in household loan portfolios. Malaysia already has a comprehensive toolkit, including loan-to-value caps for the third and subsequent housing loans to individuals and loan tenure caps for personal financing (10 years) and housing (35 years). Applying loan-to-value caps for first and second properties and introducing debt-service-to-income limits for new mortgage borrowers, like in Singapore, could mitigate pockets of vulnerability without unduly constraining credit to first-time buyers or productive investment. Such measures could complement existing supervisory guidance and borrower-based tools, particularly if household leverage were to rise or housing market conditions to become less balanced.

Exposures to commercial real estate and to firms facing sector-specific headwinds warrant close monitoring. Occupancy rates remain structurally weak for offices, at around 72%, and only middling for retail, at around 79% in early 2025 (NAPIC, 2025). Lending related to commercial real estate remains manageable, but stress could emerge if office vacancies worsen or if refinancing conditions were to tighten. Firms affected by external trade developments, including higher US tariffs, may face financial stress.

At the same time, linkages between banks and non-bank financial institutions have continued to deepen, reflecting the growing role of investment funds and insurers in credit intermediation. Non-bank finance provides useful diversification of funding sources and is subject to the supervision of the government (in the case of pension funds), the Securities Commission and sectoral regulators, as well as to BNM stress-testing for systemic non-banks (which suggests that they hold sufficient liquid assets to withstand shocks). Even so, strengthened BNM monitoring, including of emerging alternative credit providers, would help limit contagion risks and regulatory arbitrage.

Islamic finance continues to be a source of innovation and strength for the financial system (IFSB, 2025). Recent innovations include the launch of the world's first CNY 200 million (USD 17 million) climate sukuk, digital tokenisation and carbon credit monetisation, as well as the announced introduction of a cash waqf (charitable endowment) sukuk to fund initiatives with significant social impact. Islamic banks remain well capitalised and liquid, benefiting from prudent balance sheet structures and a strong domestic deposit base. Asset quality in Islamic banking has broadly mirrored that of conventional banks, with low impairment ratios and limited exposure to higher-risk segments. The sector's promotion of risk-sharing and asset-backed financing contributes to resilience, although concentration in certain segments, such as property-related financing, underscores the importance of consistent stress testing and prudential oversight. Moreover, as the world's largest sukuk issuer, Malaysia has continued to strengthen its sukuk market through regular issuances of Malaysian Government Investment Issues that serve as benchmarks across major maturities, resulting in secondary market activity comparable to conventional bonds. These sukuk serve as long-term funding tools, including for green transition-related activities.

Finally, cyber risks have become more prominent as digitalisation deepens across finance (Box 1.4). While BNM has strengthened its technology and cyber risk management capabilities, continued investment in operational resilience and coordinated incident response will be essential to safeguard confidence in the financial system amid rising global cyber threats.

Table 1.3. Past recommendations on monetary and financial policies and actions taken

Recommendations in the previous *Survey* (August 2024)	Actions taken since
Maintain the current monetary policy stance in the short term and adjust rates as appropriate.	The BNM cut the overnight policy rate by 25 basis points in July 2025, against the backdrop of moderate inflation and concerns that higher tariffs may weaken growth prospects.
Ensure effective communication by the central bank in part by publishing the minutes of monetary policy committee meetings.	No action taken.
Continue to rely on the flexible exchange rate as a shock absorber of first resort.	This has remained official policy.
Further deregulate and deepen the foreign exchange market to reduce exchange rate volatility.	In November 2024, BNM eased forex controls by allowing multilateral development banks and qualified non-resident development financial institutions to issue ringgit-denominated debt in the onshore market and lend ringgit to Malaysian residents. The forex market has continued to deepen.
Consider broadening the use of macroprudential tools, such as loan-to-value regulations.	No action taken.

1.6. The need to press ahead with fiscal consolidation

Malaysia's fiscal position continued to improve in 2025, supported by steady economic growth and ongoing, albeit cautious, consolidation efforts. The federal government deficit narrowed to 3.7% of GDP, faster than foreseen in Budget 2025 and in line with previous OECD recommendations (Table 1.4), reflecting overall expenditure restraint and robust revenues (Figure 1.8). Government revenue performance in 2025 was underpinned by firm nominal growth, strong corporate profitability and improvements in tax administration, notably via e-invoicing. Public debt remained elevated but broadly stable as a share of GDP, staying above pre-pandemic levels and above the 60% medium-term target under the Public Finance and Fiscal Responsibility Act (FRA), though without triggering any adverse market reaction. Malaysia's deficit and debt ratios remain significantly higher than in peer countries such as Indonesia, Thailand the Philippines or Viet Nam. Consolidation has proceeded gradually, without undermining growth, although buffers remain thinner than before the pandemic.

Box 1.4. Cyber risks facing Malaysia's economy and financial system

Malaysia's rapid digitalisation of banking, payments, commerce and public services has brought substantial efficiency gains but has also increased exposure to cyber risks. The expansion of online and mobile banking, fintech platforms and internet-based services has enlarged the attack surface of the financial system, with fraud and ransomware emerging as prevalent threats. Reported ransomware incidents rose sharply in 2024, while financial institutions experienced a high incidence of attempted intrusions. Beyond finance, cyber incidents have affected a wide range of economic actors, with Malaysia ranking among the most affected economies in Southeast Asia in terms of compromised user accounts. Vulnerabilities linked to the rapid deployment of connected devices in manufacturing, healthcare and other critical services, as well as the growing use of artificial intelligence by attackers, heighten the risk of operational disruptions, data losses and erosion of trust. Large-scale cyber incidents could disrupt payment systems, undermine investor confidence and generate spillovers across supply chains and essential services.

Policy efforts to mitigate cyber risks have intensified. The Cyber Security Act 2024 establishes a comprehensive legal framework for critical information infrastructure sectors, including banking and finance, strengthening the mandate of the National Cyber Security Agency and introducing requirements for risk assessments, audits and incident reporting. The Malaysia Cyber Security Strategy provides a medium-term roadmap built around governance, ecosystem development, skills, research and international cooperation. In the financial sector, BNM is active through its risk management in technology and electronic banking guidelines, requiring stronger governance, real-time fraud monitoring and enhanced resilience of critical systems, complemented by the National Scam Response Centre. Budgetary allocations have been increased to support cybersecurity capabilities, while Bursa Malaysia has issued recommendations for brokers and trading systems to raise cyber resilience.

Further progress may call for a more proactive and system-wide approach to cyber resilience. Strengthening threat intelligence, digital forensics and cross-border information sharing would help address sophisticated and potentially state-linked attacks. Deeper public-private partnerships could improve early detection and coordinated responses, particularly in the financial system and other critical sectors. Addressing shortages of cyber security professionals through targeted training, certification and the use of automation and artificial intelligence would enhance defensive capacity. Expanding cyber hygiene and awareness programmes, especially for MSMEs, would reduce economy-wide vulnerabilities. Finally, regular stress testing and resilience audits of critical infrastructure, combined with closer cross-border cooperation, would help ensure that Malaysia's digital transformation is supported by robust and credible cyber defences.

Source: Fintech News Malaysia (2024), Lee et al. (2024), Cheng et al. (2025), Malaysian Re Foresights (2025).

Going forward, the government in late 2025 reaffirmed its medium-term fiscal consolidation path, planning to bring the federal deficit down further to 3.5% of GDP in 2026 and 3% by 2028. Budget 2026, the fourth budget under the MADANI administration and the first aligned with the Thirteenth Malaysia Plan, sought to strike a balance between consolidation and social support through targeted cash assistance programmes. At the same time, development expenditure, conceptually similar to capital expenditure, was revised down reflecting the pace of project execution and reprioritisation. Budget 2026 also implemented the second and final phase of civil servant wage adjustments (+7% for employees after +8% in 2025, +3% for top management after +4% in 2025). This meant to address longstanding public sector pay compression but adds to recurrent spending pressure. More structural challenges include the need to improve spending efficiency (Chapter 3), especially by accelerating subsidy rationalisation, and to mobilise more stable and growth-friendly revenues. In this context, more systematic and regular spending reviews across major expenditure categories could help identify savings, reallocate resources towards higher-impact programmes and strengthen expenditure control. Embedding such reviews within the budget process would also support programme evaluation and prioritisation, thereby complementing broader fiscal consolidation efforts. Given the unexpected sharp increase in fuel subsidies in recent months (see below), achieving the consolidation targets for 2026 and 2027 enshrined in Budget 2026 will require significant new fiscal measures. Indeed, on current policies the deficit is projected by the OECD to widen to 4.0% of GDP in 2026 and to reach 3.8% of GDP in 2027.

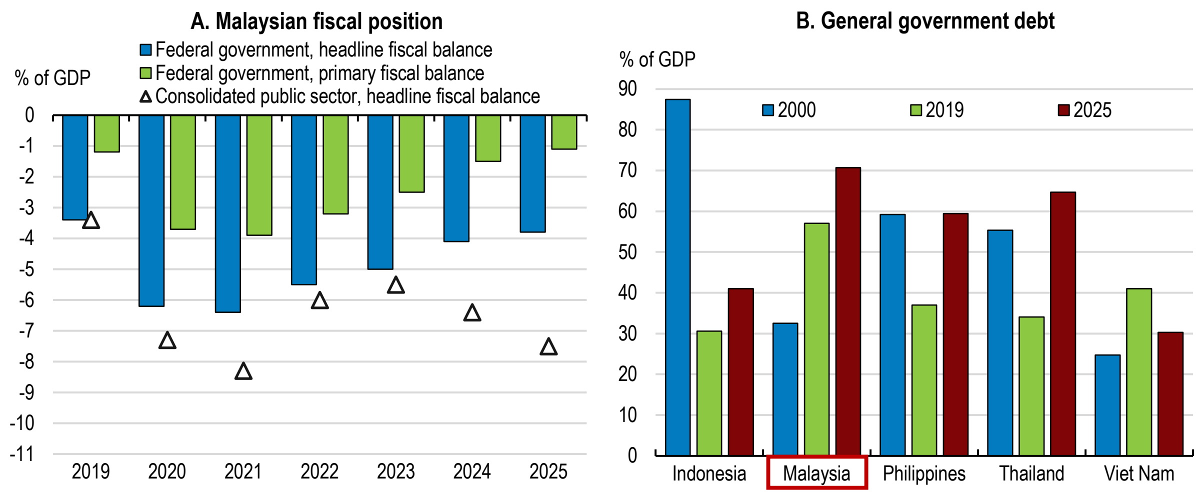
Table 1.4. Past recommendations on fiscal policy and actions taken

Recommendations in the previous *Survey* (August 2024)	Actions taken since
Accelerate the pace of fiscal consolidation to reduce Malaysia's vulnerability to economic shocks and spending pressures.	The federal government fiscal deficit declined from 5% of GDP in 2023 to 4.1% in 2024 and 3.7% in 2025.
Expand the fiscal framework to cover the consolidated public sector and contingent liabilities.	In progress. Malaysia is strengthening fiscal analysis towards broader public sector coverage and improving identification of contingent liabilities, supported by IMF technical assistance. The definition of contingent liabilities has been broadened with a statutory ceiling of 25% of GDP.
Establish an independent fiscal council to provide ex-ante and ex-post monitoring of compliance with the fiscal framework.	No action taken.
Reduce energy subsidies and use part of the savings for targeted cash transfers to low-income households.	In September 2025, the regulated price of RON-95 petrol was lowered from MYR 2.05 to 1.99 with the provision that henceforth only Malaysian nationals can purchase it at this price, and with a monthly cap of 300 litres that was subsequently revised to 200 litres in April 2026.
Phase out price controls gradually to improve resource allocation and avoid shortages.	Price controls on eggs were phased out in 2025.
Re-introduce the Goods and Services Tax at a low rate while compensating low-income households with targeted transfers.	This has not been done but the scope of the sales tax and services tax has been expanded from July 2025.
Broaden the tax base of personal income taxes, reduce thresholds from which higher tax rates are applied.	Budget 2025 and Budget 2026 expanded various tax reliefs but also introduced a 2% tax on dividends and on profits received on account of limited liability partnerships.
Further improve tax administration and enforcement.	Introduction of mandatory e-filing, tougher penalties, and a self-assessment system for stamp duty in 2025. Budget 2026 foresaw a full e-invoicing rollout (since postponed to end 2027 for businesses with annual sales of MYR 1-5 million), digital tax stamps, and enhanced multi-agency enforcement.

A broader view of public finances that includes statutory bodies, extra-budgetary entities and government-linked companies suggests a larger public sector footprint than reflected in the federal accounts alone, as well as a larger deficit, with the consolidated public sector deficit estimated at 7.5% of GDP in 2025, compared with 6.4% in 2024. Government-linked investment companies continue to play a central role in the economy and create complex fiscal interlinkages (see Chapter 3). Government guarantees as defined in the FRA amounted to 22% of GDP at the end of 2025 and remain commonly used for infrastructure projects and public enterprises. While most guaranteed entities seem to be financially sound, the scale of contingent liabilities points to the importance of transparent reporting and prudent risk management across the consolidated public sector.

Looking ahead, population ageing and relatedly rising social protection needs will place increasing pressure on public finances (Figure 1.9). In particular, as recommended in this Survey, the social safety nets will need to be strengthened to adequately protect the population against old-age poverty, which will significantly increase pension spending (Table 1.5). At the same time, productivity-enhancing investments (Chapter 3) and climate adaptation (Chapter 2) will require additional fiscal resources. This underscores the need to firmly adhere to the Public Finance and Fiscal Responsibility Act 2023 through further efforts on both the expenditure and the revenue sides of government accounts, to ensure public debt sustainability (Figure 1.10). Failure to do so would intensify fiscal pressures over time and limit the capacity to respond to future shocks. The illustrative quantification presented in Table 1.5 suggests that the recommendations presented in this Survey – insofar as they fiscal impact can be gauged – can serve to plug the fiscal gap and ensure compliance with the Fiscal Responsibility Act.

Figure 1.8. Some fiscal consolidation has taken place but public debt is high



Note: Consolidated public sector consists of general government and non-financial public corporations. In Panel B, 2025 data for Thailand and Viet Nam are IMF projections.
Source: Ministry of Finance, Fiscal Outlook and Federal Government Revenue Estimates 2026; IMF, World Economic Outlook database.

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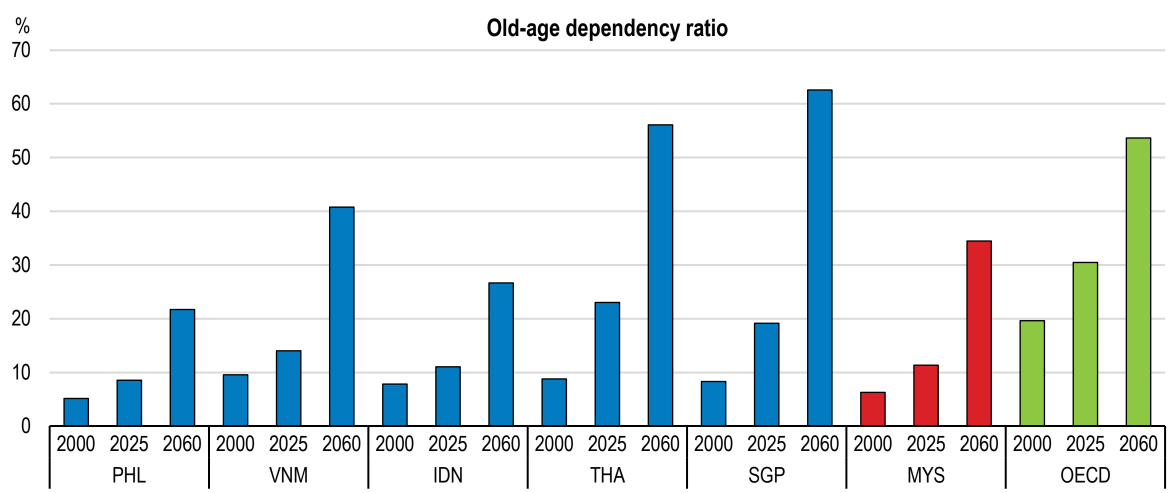
Figure 1.9. Demographic headwinds loom



Note: The old-age dependency ratio is defined as the number of persons aged 65 and over relative to the population aged 15 to 64. For Malaysia, the data includes Sabah and Sarawak (states in East Malaysia).
Source: United Nations, Department of Economic and Social Affairs, Population Division (2024), World Population Prospects 2024.

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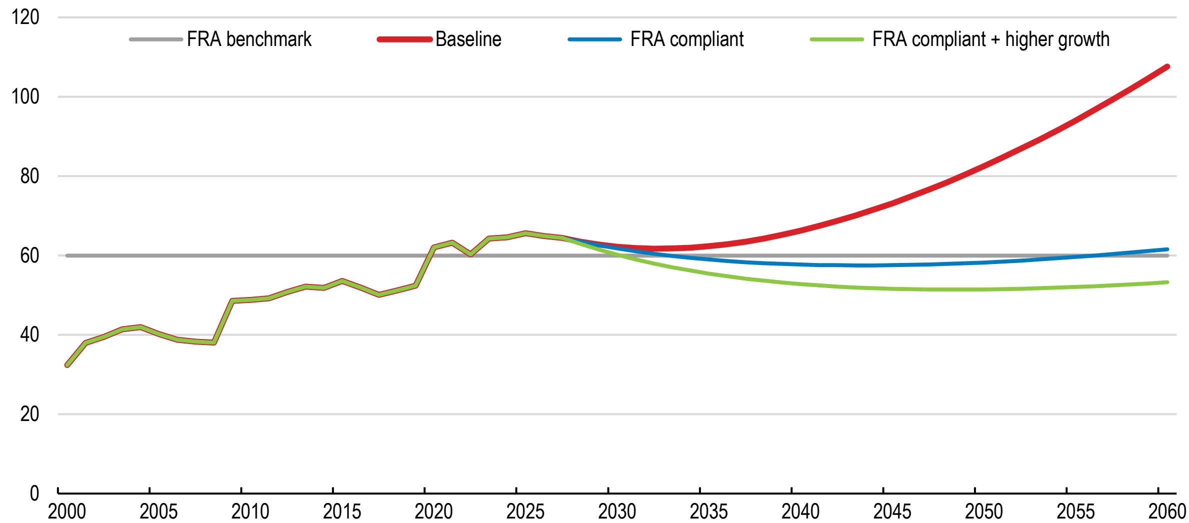
Figure 1.10. Ageing pressures will call for spending and revenue measures

Gross federal government debt scenarios, in per cent of GDP



Note: All three scenarios are based on OECD Economic Outlook projections for 2026-27 and assume that thereafter social and education spending will rise gradually by 2060 in line with Table 1.5. Defence spending is assumed to remain roughly constant as a share of GDP. The baseline scenario (red line) contains no compensating measures to maintain a constant fiscal deficit. The second scenario (blue line) assumes that the headline deficit remains constant at 3% of GDP, the Public Finance and Fiscal Responsibility Act (FRA) cap, as rising spending is compensated by the revenue measures, lower subsidies and other expenditures recommended in this Survey (Table 1.5). The first two scenarios assume that annual real GDP growth is 4.2% between 2028 and 2030 before declining gradually to a rate of 2.2% between 2030 and 2060. The third scenario (green line) rests on a stronger growth trajectory as from 2028 due to the implementation of growth-enhancing structural reforms, with growth 1 percentage point higher than in the baseline (and thus close to the mid-point of the 4.5-5.5% range contemplated in Malaysia's Budget 2026 debt sustainability analysis for 2026-30). In all scenarios, the GDP deflator grows at a constant 2% per year from 2028 and the interest rate on public debt is maintained at 4% (as against 10-year government bond yields of around 3.6% in late March 2026).
Source: OECD estimates.

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Table 1.5. Indicative fiscal revenues and costs

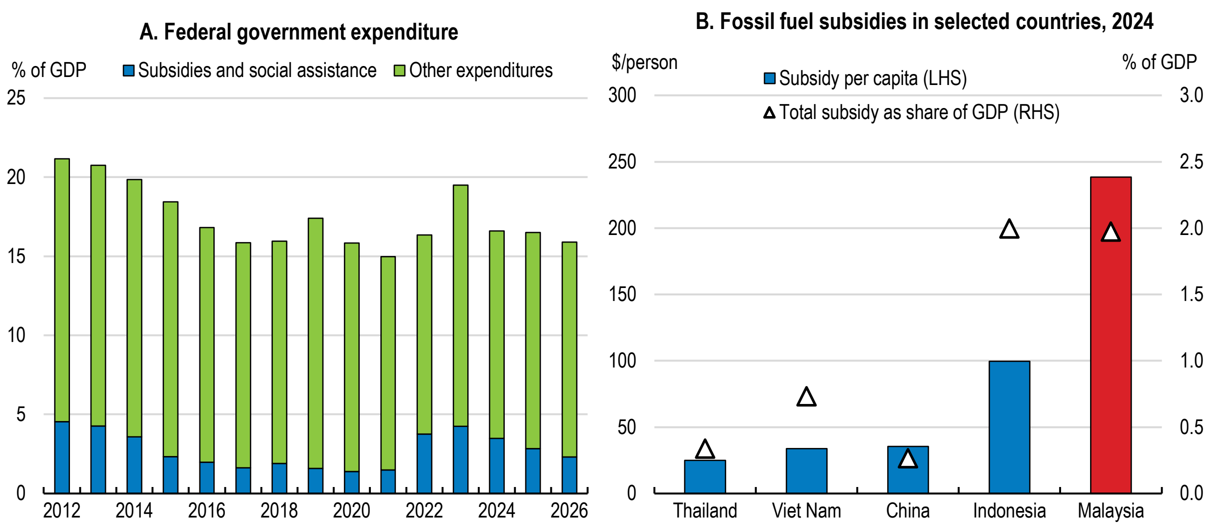
Estimated potential long-run impact on the fiscal balance

	% of GDP
Revenue measures	**+3.5**
Re-introduce the Goods and Services Tax and gradually raise its rate	+2.0
Broaden the tax base of personal income taxes, tax personal capital income and further improve tax administration and enforcement	+1.0
Introduce carbon pricing while compensating low-income households with targeted transfers	+0.5
Spending measures	**-1.9**
Gradually phase out energy subsidies	+3.0
Raise social spending including non-contributory pensions and cash transfers	-4.0
Streamline and consolidate MSME programmes	+0.1
Increase education spending	-1.0
Total fiscal impact	**+1.6**

Note: The fiscal impact of other recommendations in this Survey is not readily quantifiable so not estimated here.
Source: OECD estimates.

Reform priorities on the expenditure side of federal government accounts include subsidies, which continued to absorb a sizeable share of federal spending in 2025, even before their recent surge, remaining high by regional standards (Figure 1.11) and above the levels prevailing during the late 2010s. Energy subsidies, in particular, accounted for one sixth of current expenditure in 2025, crowding out fiscal space for social and development spending. The government has made progress in rationalising certain subsidies, notably for electricity and selected food items, but the pace has been uneven. While these reforms have reduced fiscal leakages and improved targeting in some areas, overall subsidy spending remains sensitive to global commodity prices and policy reversals, as vividly illustrated by the sharp increase in the fuel subsidy bill following the onset of the conflict in the Middle East. Besides, the distribution of MYR100 cash vouchers to all Malaysians aged 18 and above in August 2025, to cope with rising living costs, could have been targeted to those in need.

Figure 1.11. A comparatively large share of public spending takes the form of subsidies



Note: In Panel A, data for 2025 and 2026 are government estimates based on the Budget bills.
Source: Ministry of Finance, Fiscal Outlook and Budget 2026; IEA, Fossil Fuel Subsidies database.

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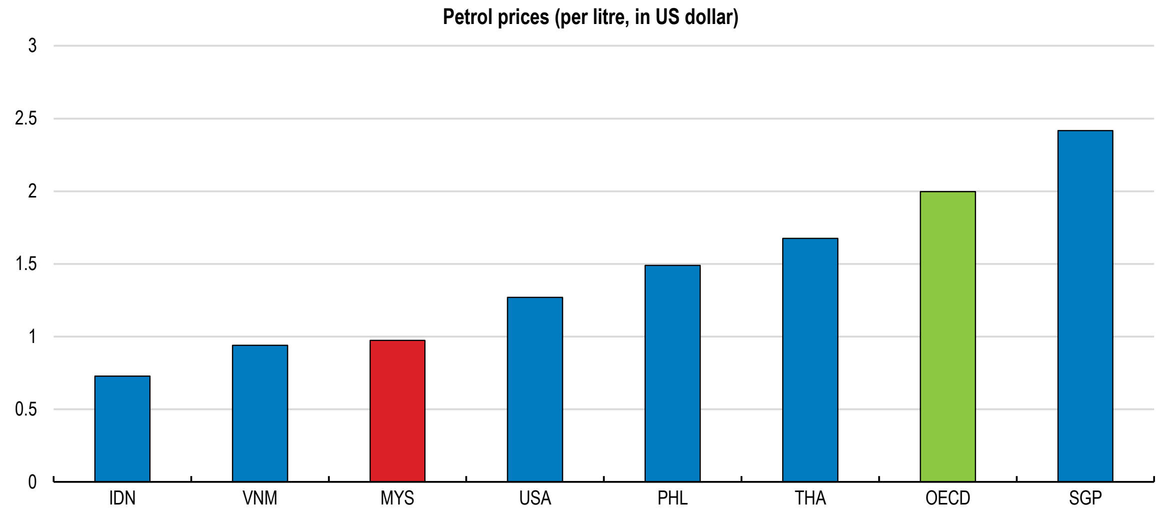
Energy subsidy reform underwent a partial reversal in late 2025. While petrol prices were already low in Malaysia in international comparison (Figure 1.12), the government reduced the RON-95 petrol price for citizens from MYR 2.05 (around USD 0.50) to MYR 1.99 per litre as from end September, while maintaining market pricing (then at around MYR 2.60 per litre) for non-citizens through MyKaD (identity card) verification at fuel pumps. With a cap at 300 litres per month, the fuel purchases of the vast majority of households were fully covered by the subsidy. Budget 2026 maintained the RON-95 subsidy framework, postponing earlier plans featuring notably in Budget 2025 to exclude higher-income households, which could have been facilitated by a more active use of the PADU national socio-economic database (Box 1.5). However, in the face of a mounting subsidy bill, the monthly RON-95 quota was reduced to 200 litres starting in April 2026. Going forward, and bearing in mind the lessons from the 2022 energy price shock (Box 1.6), it will be important to gradually phase out this subsidy.

As highlighted in the 2024 OECD *Economic Survey of Malaysia* (OECD, 2024), Malaysia's social protection system including old-age pensions remains in its infancy, and political demand for better social protection is likely to rise, not least as the population ages. Access to and coverage of Malaysia's fragmented old-age retirement schemes remains low. Overall pension coverage is below 40% of the population aged 15 to 64. When comparing the coverage of those who are already in pension age, Malaysia stands out at the lower end of the spectrum (Figure 1.13).

Figure 1.12. Petrol prices are very low in Malaysia



Source: Global petrol prices dataset, data as of 18 May 2026, available at https://www.globalpetrolprices.com/.

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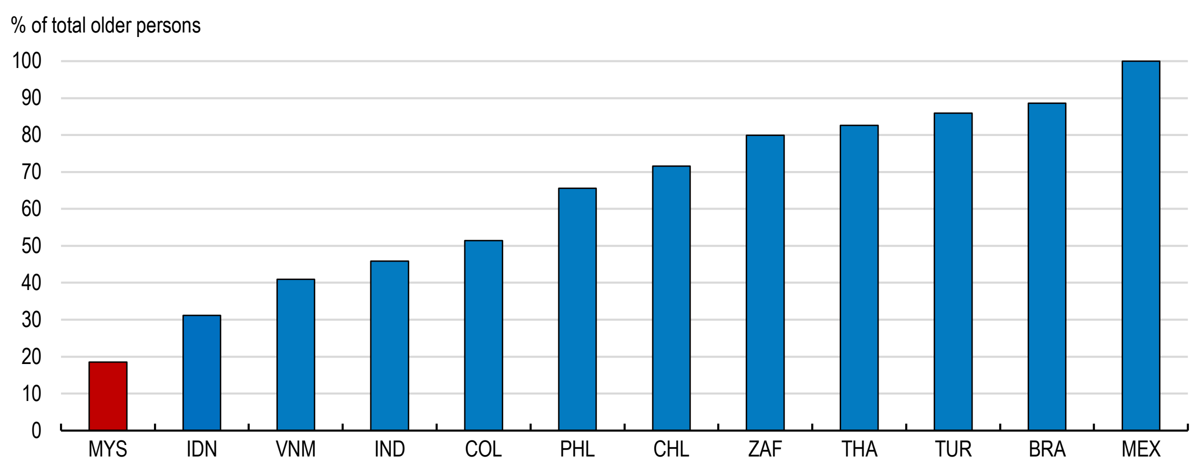
Figure 1.13. Coverage of pension schemes is low

People protected by social protection systems including floors - older persons



Source: ILO World Social Protection Data Dashboards, available at https://www.social-protection.org/gimi/WSPDB.action?id=16

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Moreover, the current contributory pension system, to which only close to 40% of the working-age population contributes, faces significant sustainability challenges. Early withdrawals (allowed starting at age 55) from the Employees Provident Fund (EPF), the main scheme for those working in the private sector, for non-pensionable civil servants and for non-Malaysian employees, and a low statutory retirement age reduce the accumulation of retirement savings, leaving many individuals exposed to longevity risk and inadequate income in old age. These features shorten contribution periods and accelerate drawdowns, undermining the system's ability to provide sufficient coverage as life expectancy rises. To ensure future retirement income adequacy, the retirement age should be gradually increased in line with demographic trends, which would bring it closer to that in regional peers. At the same time, rules allowing early lump-sum withdrawals should be tightened to preserve savings for retirement, as recommended in the 2024 OECD *Economic Survey* (Table 1.6). Complementary measures could include expanding voluntary top-ups and improving financial literacy to encourage longer working lives and higher contributions. Budget 2026 contains subsidies to incentivise the enrolment of gig workers in the EPF, but the take-up of such voluntary schemes has been low in the past (OECD, 2024).

For the majority of the current working-age population that are currently not covered by any pension scheme, including informal, self-employed or unemployed workers, expanding the coverage of non-contributory pension schemes could help address these gaps. Thailand and Viet Nam have made significant progress in rolling out basic non-contributory pensions, allowing them to move towards universal pension coverage of the current working-age population (OECD 2025a, OECD 2025b).

Expanding non-contributory pensions also holds strong potential to improve the incentives for formal job creation. Labour informality is a multi-faceted challenge that Malaysia shares with many regional and emerging-market peers. Formal workers are typically defined as those that have access to at least one social insurance scheme or employment benefit, which are directly tied to contributions and/or a declared employer-employee relationship (World Bank, 2024). Based on this definition 26.8% of total employment in Malaysia was informal in 2022, down from 38.2% in 2009 (World Bank, 2024). If the agriculture sector is excluded, the share drops to 23.3%. Informal employment is more frequent among older persons and those with less education and informal workers are more concentrated at the bottom of the income distribution.

Table 1.6. Past recommendations on social policies and actions taken

Recommendations in the previous *Survey* (August 2024)	Actions taken since
Exempt low-wage workers from mandatory contributions to the EPF after expanding non-contributory old-age pensions to prevent old-age poverty.	No action taken.
Improve access to affordable childcare by expanding public childcare facilities, strengthening public support for childcare costs and expanding incentive schemes for employer-provided childcare facilities.	Budgets 2025 and Budget 2026 enhanced tax relief for childcare expenses and maintained incentives for employer-provided childcare facilities but did not significantly expand public childcare infrastructure.
Unify fragmented social protection programmes and improve their targeting, while phasing out subsidies.	Budgets 2025 and Budget 2026 emphasised improving targeting of social assistance programmes like *Sumbangan Tunai Rahmah* (STR) and *Sumbangan Asas Rahmah* (SARA) and announced plans to transition from blanket subsidies toward more targeted aid, particularly for fuel and food items. However, social protection schemes remain fragmented, and a comprehensive consolidation strategy has not been rolled out.
Raise social spending once additional revenues have been mobilised.	No action taken. Notwithstanding the expansion of STR and SARA, budgets 2025 and Budget 2026 indicate that any significant increase in social expenditure will depend on future revenue gains from tax reforms and improved compliance.
Assign a strong coordinating role for social protection policies to a single institution.	No action taken.
Limit possibilities for early withdrawals from the EPF pension fund and raise the withdrawal and retirement age to 65 years.	No action taken but some changes to withdrawal rules are under discussion.
Consider converting EPF savings into an annuity with monthly payments.	No action taken but the Thirteenth Malaysia Plan proposes a dual-component EPF system featuring a lump-sum withdrawal portion, and a monthly pension payout portion, similar to an annuity. This would be automatic for new members but subject to a voluntary opt-in for existing contributors.
Phase out the civil servant pension scheme and enrol new civil servants in the general private-sector scheme EPF.	Under the New Public Service Remuneration Scheme that started in 2025, newly-hired civil servants are to be enrolled in the EPF in the future.
Expand the coverage of means-tested non-contributory pensions towards all those with no old-age pension from other sources.	No action taken.

High non-wage labour costs can be one factor making it more convenient for businesses to hire informally rather than creating formal jobs, especially in a context of limited enforcement. Non-wage labour costs include the mandatory 25% of wages in contributions to the social security fund EPF, which are paid jointly by businesses and workers. One reform to consider would be to exempt low salaries in the vicinity of the minimum wage from mandatory contributions to the EPF, which currently fails to provide adequate protection against old-age poverty for most low-income workers in any case (OECD, 2024). Instead, these workers could be covered by tax-financed non-contributory pension benefits, which would have to be expanded significantly.

Malaysia has a means-tested, tax-financed allowance for older individuals, known as Bantuan Warga Emas (BWE), but it covers only around 4% of the total population aged over 60 with a benefit of MYR 600 (USD 150) per month. Its current fiscal cost is approximately 0.05% of GDP (Khalid and Mansor, 2025). With this low coverage, BWE currently fails to provide consistent minimum protection for poor and vulnerable households, but the scheme could provide the basis for a gradual expansion towards universal coverage of all those aged 65 and above with no pension or income from other sources. Building on the BWE as a basic universal but means-tested first pillar of the pension system for low-income earners may be one way to fight old-age poverty while reducing non-wage labour costs and promoting formalisation. International evidence, including experience in Latin America (OECD, 2025c), suggests that a gradual expansion of non-contributory social pensions can help to improve social protection outcomes, but clear targeting is essential to contain long-term costs. Such targeting can build on further improvements in social registries (Box 1.5) although progress towards efficient targeting of social benefits remains work in progress (Table 1.6). Expanding social protection coverage would require identifying additional fiscal space from expenditure savings or revenue mobilisation, and careful design to balance fiscal sustainability with adequacy (O'Keefe and G. Rongen, 2025).

Box 1.5. Leveraging PADU to improve targeting of social assistance and support fiscal consolidation

The national socio-economic database PADU (*Pangkalan Data Utama*) has the potential to become a cornerstone of Malaysia's move from broad-based subsidies towards more targeted and fiscally sustainable social assistance. This is an important priority given that around one third of social assistance accrued to households with income above the 40th percentile in 2022 (World Bank, 2025).

Launched in early 2024, PADU consolidates socio-economic information on 30.7 million citizens and permanent residents aged 18 and above, drawing on data from over 200 government agencies and self-declared household profiles. The national identification number (MyKad) serves as the single unique identifier. In principle, this enables the consolidation of citizen records across agencies into a consistent, non-duplicated and interoperable data ecosystem. PADU's stated objectives – improving targeting and reducing leakages – are well aligned with the government's fiscal consolidation agenda and may at the same time facilitate an expansion of the current narrow social protection coverage. Since 2025, the authorities have deployed a Data-as-a-Service model through PADU to support beneficiary targeting and inform policy design, including fuel subsidy reform, with 25 inter-agency data-sharing requests approved by April 2026. Building on this, the planned introduction of Analytics-as-a-Service is intended to expand access to granular socio-economic data.

Even so, progress has so far remained behind what has been achieved elsewhere, for example in Brazil which has built up a comprehensive social registry called *cadastro único* (OECD, 2025c, Chapter 5). PADU could play a greater role in the targeting of major spending items such as fuel subsidies and cash transfers, potentially yielding substantial fiscal savings while preserving support for vulnerable groups. Cash transfers to those in working age amount to around 1% of GDP and are fragmented across over 150 programmes at the federal level alone, which can lead to overlaps, leakages and benefit duplication. With 78% of Malaysians receiving some sort of social assistance benefit, their targeting has significant scope for improvement (OECD, 2024). For example, if PADU-enabled reforms reduced leakages and coverage of higher-income households by 15-20% for major subsidy programmes, annual savings could plausibly amount to around 0.5-1% of GDP, depending on energy prices and programme design. Realising these gains will require further automatic integration with authoritative administrative datasets (tax, social security, pensions, education and health), reducing incentives and scope for misreporting. Making PADU registration a prerequisite for access to key benefits would strengthen coverage, while targeted outreach, through mobile registration units, local governments and civil society, could improve inclusion of informal workers and rural households. Used effectively, PADU could become a powerful tool to support subsidy rationalisation, improve equity and deliver durable fiscal consolidation without undermining social protection objectives.

Source: Castle et al. (2023), Jalli (2024), Leng and Liew (2024), Leite et al. (2022).

Box 1.6. Aiming support better in the face of energy price shocks

Policy responses to the 2021-22 global energy shock were rapid but often weakly targeted, fiscally costly and, in many cases, curtailed incentives to reduce energy consumption. Across countries, a large share of support took the form of price caps, tax cuts and universal transfers, with only limited targeting to vulnerable households. This raised fiscal costs while slowing the reallocation away from fossil fuels.

Malaysia's experience reflects these global patterns. In 2022, the government undertook one of the largest subsidy efforts in its history to shield households and firms from rising global energy prices. Blanket subsidies were used to freeze retail fuel and electricity prices, including keeping RON-95 petrol, diesel and LPG prices unchanged despite crude oil exceeding USD 100 per barrel. The government also maintained electricity rebates for households and businesses and provided an additional RM4 billion electricity subsidy for the second half of the year to avoid tariff increases. Altogether, consumption subsidies on fuel, cooking oil, electricity and other essentials reached RM67.4 billion (3.8% of GDP) in 2022. This broad support, including to higher-income groups, placed substantial pressure on public finances.

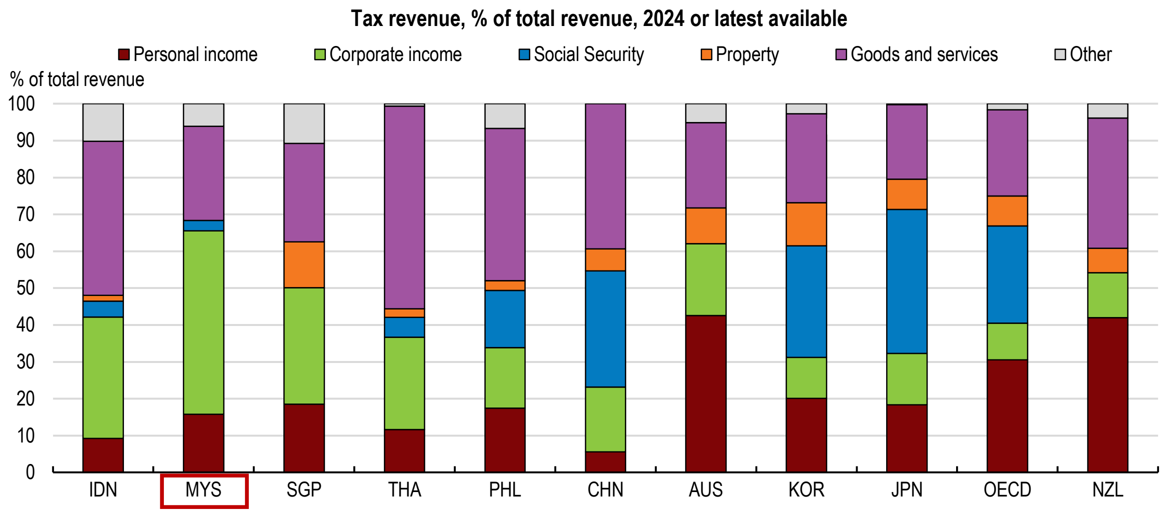
Three main lessons can be drawn from this cross-country experience. First, support should be temporary and targeted on vulnerable groups. Second, preserving price signals is crucial to incentivise energy savings and efficiency. Third, administrative capacity (especially digital tools) matters for delivering timely and well targeted transfers. Complementary investment in energy diversification and the green transition reduces exposure to future shocks. These lessons are directly relevant in 2026 amid renewed energy price pressures linked to the conflict in the Middle East. Governments should prioritise income support for vulnerable households and viable firms, avoid generalised price caps, and embed automatic sunset clauses. Measures should be designed to maintain incentives to curb energy demand and accelerate clean energy investment, while safeguarding fiscal sustainability.

Source: Ministry of Finance (2022); Hemmerlé et al. (2023); OECD (2026).

Government tax revenue is low at only 12.6% of GDP, which is not sufficient to cover medium-term spending needs and enhance social safety nets. The tax mix is characterised by a very large share of corporate income tax receipts, reflecting Malaysia's narrow personal income tax base and the absence of a broad-based value-added tax (Figure 1.14). This tax structure heightens revenue volatility and exposes fiscal outcomes to global and domestic business-cycle fluctuations, particularly in an economy where profits in key sectors such as commodities, electronics, and logistics, are highly sensitive to external demand conditions.

In the realm of consumption taxes, an increase in the sales tax and the service tax (SST) rate from 6% to 8% except for telecommunication, food and beverages as of March 2024, and the broadening of its coverage to rental, construction, financial, healthcare and education services from July 2025, contributed substantially to higher revenue. As a result, SST revenue increased to 2.8% of GDP in 2025. Even so, the SST remains structurally limited: its single-stage nature distorts production chains, and its numerous exemptions leave significant gaps. As a result, it is less effective, less neutral, and less predictable than a modern value-added tax. By contrast, a broad-based VAT, similar to the Goods and Services Tax (GST) introduced in 2015 but abandoned in 2018, would rest on a more resilient and diversified revenue base, reducing reliance on volatile profit-based taxes and distributing the tax burden more evenly across the economy, while also creating less distortions in the productive sector and being more growth-friendly. The ongoing rollout of generalised e-invoicing strengthens the case for re-introducing such a tax, as it will significantly reduce evasion and fraud, lower administrative costs for government and compliance costs for businesses and help address the implementation challenges that contributed to the GST's earlier withdrawal. Reinstating a broad-based consumption tax with appropriate compensatory measures to reduce the burden on low-income families would significantly strengthen revenue capacity and reduce the volatility of overall tax receipts and support a more sustainable fiscal position over the medium term. Evidence from regional and international experience suggests that well-designed consumption taxes can support development objectives while preserving equity (Myoda et al., 2024).

Figure 1.14. Corporate income tax accounts for a large share of total tax revenue



Source: OECD Global Revenue Statistics Database 2025.

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Other potential revenue measures to help address fiscal pressures include widening the personal income tax base by recalibrating existing reliefs and allowances, which are currently extensive and tend to favour individuals with higher earnings. Taxpayers may claim a large number of deductions (covering medical bills, parental support, childcare, education, retirement contributions and more), which narrows the effective base and limits revenue collection. Streamlining these provisions and focusing them on clearly defined policy goals would improve both efficiency and equity. Additional revenue could be mobilised by bringing more forms of personal income into the tax net. At present, various types of returns, including interest from deposits, gains from financial investments, private pensions, distributions from shares, and other capital-related earnings, are exempt at the individual level. Malaysia could consider taxing capital income separately from wages under a dual-income structure or alternatively integrating all forms of earnings within a unified personal tax schedule. Over the longer term, the introduction of a well-designed capital gains tax could also be explored. Coupled with continued enhancements in tax administration and compliance, these measures would reinforce the fairness of the system, reduce distortions between different forms of income, and create a more resilient revenue base capable of supporting Malaysia's long-term fiscal needs.

Though it has a motor vehicle tax, Malaysia has no carbon tax, no fuel tax and no mandatory emissions trading system, and subsidies have tended to push up energy consumption and emissions. Budget 2026 proposed to introduce a carbon tax, starting with the iron, steel and energy sectors, but implementation is likely to take some time, especially in the context of much higher global energy prices. A gradual introduction of carbon pricing could be complemented by more stringent regulations, while targeted transfers could cushion the social impact and facilitate political support (see Chapter 2 for a more detailed discussion).

Malaysia's fiscal governance framework has been strengthened in recent years, most significantly with the adoption of the Public Finance and Fiscal Responsibility Act in 2023 and of the Government Procurement Act in 2025. The 2023 law enshrines a medium-term deficit target of 3% of GDP or less; a medium-term overall government debt limit of 60% of GDP; a 25% of GDP limit for government guarantees; a 3% of GDP floor for development expenditure; and reporting requirements including a mandatory annual fiscal outlook, a mid-year performance report, and a fiscal risk statement. It does allow for temporary deviations under certain conditions, subject to corrective plans. The flexibility to invoke temporary deviations increases the risk that these limits become non-binding. Experience across OECD countries shows that escape clauses should be tightly circumscribed, time-bound and independently monitored to ensure credibility. Strengthening these elements, rather than eliminating flexibility altogether, would help Malaysia reinforce fiscal discipline while preserving the ability to respond to shocks. Notwithstanding the transformation in late 2023 of the Special Select Committee on Budget into a Parliamentary Select Committee on Finance and Economy with a broader mandate, the absence of a fully independent fiscal council, in contrast with most OECD countries and with most regional peers (OECD/ADB, 2025), limits external scrutiny of fiscal assumptions, compliance and long-term sustainability. An independent institution could strengthen credibility, especially as fiscal consolidation becomes more politically challenging. Further improvements in reporting on contingent liabilities and the broader public sector would also enhance fiscal risk management. The 2025 law codifies procurement rules into law, replacing the previous reliance on Treasury circulars and enhancing legal certainty and governance. It mandates open and competitive tendering, the creation of a Procurement Appeal Tribunal and review panel, and strict conflict-of-interest and disclosure rules. Enforcement is being strengthened with punitive measures (fines, imprisonment, delisting of firms in graft cases) and enhanced multi-agency oversight.

1.7. Strengthening long-term growth prospects through reforms

Looking further out, Malaysia's potential growth rate is set to decline amid population ageing (Figure 1.9). Compensating these demographic headwinds would require boosting productivity growth, for which Malaysia has significant potential (Chapter 3). Reforms recommended in this Survey, many of which overlap with those spelled out in the Thirteenth Malaysia Plan, will need to be legislated and implemented. As the illustrative calculations presented in Table 1.7 show, these reforms hold significant potential to boost growth and living standards.

Table 1.7. Illustrative impact of selected structural reforms on GDP per capita

Policy area	Policy actions	Cumulative effect on GDP per capita by 2060:
Improve economic governance and integrity (Chapter 3).	Consolidate ministries and agencies, improved cartel detection and risk-assessment frameworks, strengthen budget predictability, enhance transparency of leadership appointments for the MACC, mandatory asset disclosures of officials and legislators.	8.3%
Ease regulatory burdens to strengthen competition (Chapter 3).	Relax foreign equity caps, ease entry and licensing requirements, phase out price controls, digitalise approval processes, streamline SME support.	9.0%
Level the playing field for state-owned enterprises (Chapter 3).	Align treatment of SOEs and private firms, improve SOE governance.	4.1%
Education and training reforms (Chapter 4).	Extend free compulsory preschool education to ages 3-4, strengthen teacher performance incentives, reduce administrative tasks for teachers, evaluate TVET programmes, reinforce business sector role in curriculum design.	6.7%

Source: Égert and Gal (2016); Égert (2017); Égert, de la Maisonneuve and Turner (2022) ; OECD (2025d); OECD calculations.

Table 1.8. Macroeconomic policy recommendations

MAIN FINDINGS	RECOMMENDATIONS (Key ones in bold)
Monetary and financial policies	
Headline inflation has undershot its long-term 2% average in 2025 but is projected to reach 2.1% in 2026 following the energy and commodity price shock associated with the conflict in the Middle East.	**Maintain a data-dependent monetary policy stance and consider reversing last year's precautionary policy rate cut if inflation is set to overshoot its long-term average.**
The BNM does not publish any Monetary Policy Committee minutes. Doing so could strengthen accountability and help anchor expectations, in a setting without an explicit inflation target.	Publish the minutes of Monetary Policy Committee meetings, at a minimum in summary form.
The macroprudential toolkit includes loan-to-value caps for the third and subsequent housing loans to individuals, but there are no debt-service-to-income limits.	Consider introducing loan-to-value caps for first and second properties and debt-service-to-income limits.
Linkages between banks and non-bank financial institutions have continued to deepen.	Strengthen BNM monitoring of non-bank financial institutions.
Cyber threats have become more prevalent in the economy at large and in the financial sector.	Further improve cyber intelligence sharing, workforce training, MSME awareness and resilience testing.
Fiscal and tax policies	
Fiscal consolidation has been and is planned to remain very gradual, despite a high public debt ratio. It is now off course amidst soaring global energy and commodity prices.	**Take a set of spending and tax measures to ensure that the 3% of GDP 2028 deficit target is met, prioritising subsidy containment.**
Fossil fuel subsidies weigh on public finances and reduce incentives for emission reductions. Despite some progress in subsidy rationalisation, the RON-95 petrol subsidy was raised in September 2025.	**Limit and gradually phase out energy subsidies, and use part of the savings for targeted cash transfers to low-income households.**
There remains considerable room to better target subsidies and social assistance.	Leverage the social registry PADU national socio-economic database to better target subsidies and social assistance.
Mounting spending needs in social protection and education call for strengthening the fiscal revenue base. The scope of the sales tax and the services tax has been expanded but it is not the most efficient way to collect taxes on goods and services. There is room to reduce tax expenditures and to tax more forms of personal income.	**Mobilise additional tax revenues by:** • **Re-introducing the Goods and Services Tax while compensating low-income households with targeted transfers.** • **Broadening the personal income tax base by streamlining deductions, limiting exemptions and taxing a wider range of capital income.** • **Further enhancing tax administration.**
The fiscal framework has been enhanced with the 2023 Fiscal Responsibility Act and the 2025 Government Procurement Act but some gaps remain.	Continue to expand the fiscal framework to cover the consolidated public sector. Tighten the conditionality associated with the escape clause allowing deviations from the fiscal rules. Establish an independent fiscal council to provide ex-ante and ex-post monitoring of compliance with the fiscal framework.
Non-contributory pension coverage for the vulnerable remains narrow.	**Expand the coverage of means-tested non-contributory pensions towards all those with no old-age pension from other sources, taking into account the need for fiscal sustainability.**
Allowing lump-sum pension fund withdrawals at age 55 can undermine long-term retirement income adequacy and expose retirees to longevity risk. Malaysia's normal pension age of 55 is well below that of peer countries and contributes to a low effective retirement age.	Limit possibilities for early withdrawals from the EPF pension fund and raise the withdrawal and retirement age to 65 years.

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2 Coping with Climate Change

Paula Adamczyk

Malaysia is exposed to significant climate-related risks, including floods, heatwaves and rising sea levels. Floods have historically been the most frequent and costly natural disaster, and climate change is projected to exacerbate these risks, with significant implications for economic activity and public finances. While progress has been made in strengthening climate mitigation policies, adaptation efforts will need to be bolstered. Strengthening climate resilience will require a comprehensive national adaptation strategy, improved climate risk data, expanded natural hazard insurance coverage and mobilising private sector investment for adaptation. At the same time, climate mitigation efforts will need to be enhanced for Malaysia to achieve net zero greenhouse gas emissions by 2050. Accelerating the transition to renewable energy, removing fossil fuel subsidies and introducing carbon pricing will be critical to align incentives with climate objectives. A more integrated approach to adaptation and mitigation would support sustainable and resilient economic growth.

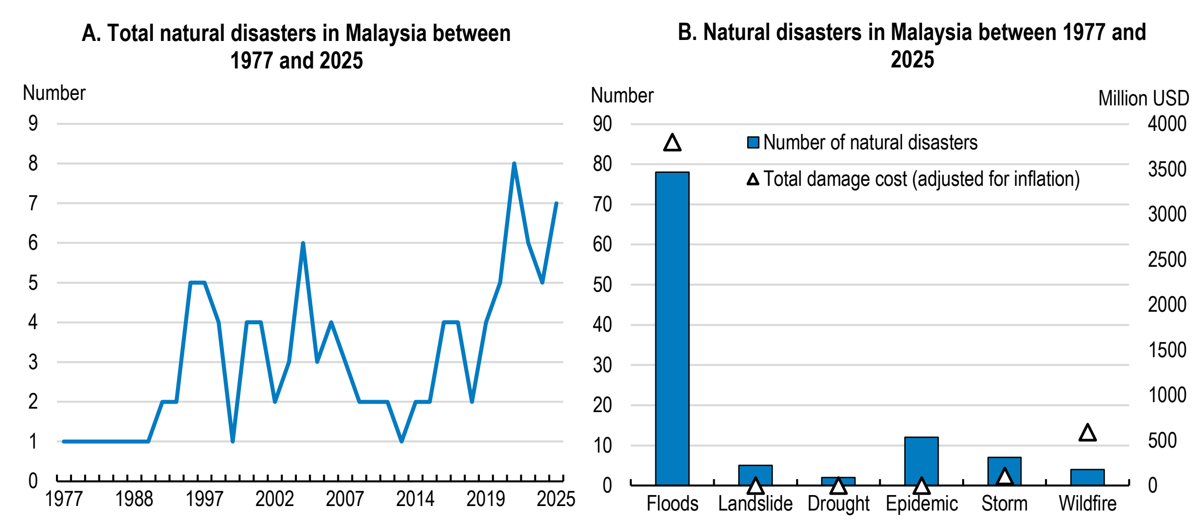
2.1. Malaysia is exposed to significant climate-related hazards

Malaysia is increasingly exposed to climate-related risks, including floods, landslides, heatwaves and rising sea levels (World Bank and Bank Negara Malaysia (BNM), 2024[1]). These hazards threaten infrastructure, economic activity and livelihoods, particularly in low-lying coastal and riverine areas and rapidly urbanising regions (OECD, 2025[2]). Climate change is expected to increase both the frequency and severity of extreme weather events, raising the importance of strengthening climate resilience (IPCCC, 2023[3]). Nearly two-thirds of all disasters recorded since 1975 in Malaysia occurred during the past two decades (Figure 2.1, panel A).

Climate-related disasters can have substantial macroeconomic and fiscal consequences. In addition to human losses and damage to infrastructure, disasters can disrupt economic activity through multiple channels. Physical damages to housing, infrastructure and productive assets generate immediate fiscal costs related to emergency response and reconstruction. At the same time, there are also indirect costs as disasters may reduce tax revenues and weaken economic growth through lower consumption, investment and productivity. Disruptions to transport networks and supply chains can affect production across sectors, while damages to agricultural land and natural resources may have longer-lasting impacts on food security and rural livelihoods (OECD, 2024[4]).

Floods have been by far the most frequent and costly natural disaster in Malaysia, accounting for over 70% recorded natural disasters in the past fifty years, and 85% of disaster-related damage costs since 1970s (Figure 2.1, panel B). Flood risks in Malaysia are closely linked to seasonal monsoon rainfall. The country experiences two monsoon seasons: the Southwest Monsoon from April to September and the Northeast Monsoon from October to March. The latter typically brings heavier rainfall, particularly to the east coast of Peninsular Malaysia and parts of Sabah and Sarawak (World Bank Group and Asian Development Bank, 2021[5]). Flooding occurs frequently in low-lying river basins and coastal plains, where dense populations and inadequate flood mitigation infrastructure increase exposure to flood risks (OECD, 2024[6]).

Figure 2.1. Floods are frequent and costly



Source: EM-DAT: The International Disaster Database

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Since 2000, Malaysia has experienced on average one to two major flood events each year, with particularly severe flooding occurring approximately once every seven years. Although flood events occur frequently, their economic impact has historically been smaller than in some neighbouring countries such as the Philippines, Thailand and Viet Nam, partly reflecting differences in exposure and disaster preparedness (World Bank and

Bank Negara Malaysia (BNM), 2024[1]). However, extreme flood events have become more frequent in recent years, leading to significant economic losses. In December 2021, Malaysia experienced record rainfall leading to floods across 11 states and forcing more than 400 000 people to evacuate. The damage cost of this event was estimated at MYR 6.1 billion, equivalent to about 0.4% of GDP (OECD, 2024[7]). More recently, in 2024 and 2023, flood-related damages amounted to around 0.05% of GDP annually with significant damages to public infrastructure, living quarters, agriculture, and business premises (Department of Statistics Malaysia, 2025[8]).

Rising temperatures and changes in precipitation patterns will likely increase flood risks and the likelihood of landslides in mountainous areas, intensify droughts during dry periods and raise sea levels. Climate projections indicate that annual rainfall patterns may become more uneven, with heavier precipitation during monsoon periods and longer dry spells in other seasons. By 2035–2044, the population affected by extreme river floods could increase by approximately 100,000 people, representing a 140% rise from the population exposed to extreme flooding between 1971–2004 (World Bank Group and Asian Development Bank, 2021[5]). Flood-prone areas are expected to expand, while some northern regions could experience rainfall reductions of more than 20% by 2050 (UNFCCC, 2025[9]).

Landslides represent an important but often under-reported hazard. In Malaysia's mountainous terrain, intense rainfall and land-use changes such as deforestation and urban expansion increase the risk of slope failures and landslides, particularly in rapidly developing areas (OECD, 2024). Landslides can cause significant damages to infrastructure, transport networks and housing, especially in hillside urban developments (OECD, 2024[6]).

In addition to floods, Malaysia is increasingly facing the impacts of prolonged dry spells and extreme heat. Malaysia's average surface temperature has increased by approximately 0.14–0.25°C per decade since 1970, and average temperatures could increase by up to 1.6°C by the mid-21st century depending on global emission scenarios (World Bank Group and Asian Development Bank, 2021[5]). Potential El Niño-related weather conditions will intensify water demand and heat stress. Higher temperatures will also affect freshwater supply and the yield of crops, increase energy demand for cooling, reduce labour productivity and exacerbate health risks. Moreover, rising temperatures are also increasing the frequency and intensity of heatwaves. Dry spells have already affected farmers and smallholders, disrupted agricultural supply chains and raised concerns over food security. During the first half of 2026, dry spells have lowered paddy yields in areas such as Kedah, Perlis and Perak by more than 60% compared to normal conditions, with significant losses. The commodity sector has also experienced water stress, while declining reservoir levels have affected water supply and increased treatment costs.

Coastal areas are also highly vulnerable to climate change. Sea levels along Malaysian coastlines have risen by between 3.3 mm and 5.0 mm per year since the early 1990s and could increase by another 40-70 centimetres by 2100 (World Bank Group and Asian Development Bank, 2021[5]). Rising sea levels could potentially inundate up to 80% of coastal areas by 2100 (UNFCCC, 2025[9]). Coastal flooding threatens key economic sectors including tourism, fisheries and agriculture. Approximately 6% of palm-oil production and 4% of rubber production are currently located in areas exposed to sea-level rise (OECD, 2024[7]).

Climate change also has important distributional implications. Low-income households, rural communities and small farmers may be disproportionately exposed to climate hazards, reflecting their higher dependence on climate-sensitive sectors such as agriculture and fishery. Climate-related disasters therefore risk widening existing inequalities.

Natural hazards can also create significant fiscal risks. Governments often bear a substantial share of disaster costs through emergency relief, reconstruction spending and support to affected households and firms. These expenditures can place pressure on public budgets, particularly following large-scale disasters. In addition, disasters may reduce tax revenues through lower economic activity and damage to productive assets, creating additional fiscal challenges (IMF, 2022).

2.2. Adapting to climate change

As climate damages intensify, strengthening climate resilience through a well-designed climate adaptation framework will become increasingly important. While mitigation efforts remain essential to limit global warming, many climate impacts are already inevitable due to past emissions. Improving disaster risk management, investing in climate-resilient infrastructure and other adaptation policies can therefore play a key role in reducing economic losses and protecting vulnerable populations.

2.2.1. Developing a national climate change adaptation strategy

In Malaysia, like in many Southeast Asian countries, the approach to disaster risk management has relied disproportionately on ex-post responses rather than on proactive ex-ante adaptation policies in the past (OECD, 2024[6]). More recently, Malaysia has made some progress in moving from mainly ex-post response to a more balanced approach with both ex-ante and ex-post measures. The economic and social costs of natural disasters, in particular floods, can be significantly reduced through effective public and private climate adaptation efforts. The wider benefits of adaptation actions far outweigh the costs of financing in the long-term, in addition to reducing the financial burden of disaster response. Some estimates show that every dollar invested in climate adaptation can generate up to 10 dollars in economic, social, and environmental benefits (Brandon et al., 2025[10]).

Designing and implementing effective climate adaptation policies is inherently complex. Climate risks affect multiple sectors, including water management, agriculture, transport, urban development and public health, and require coordination across different levels of government. Effective adaptation policies therefore require a whole-of-government approach supported by strong institutional coordination (OECD, 2024[11]).

Climate change adaptation efforts comprise different strategies, including improving disaster risk management frameworks, mobilising physical infrastructure investments to mitigate natural disaster risks, supporting businesses in their efforts for climate change adaptation, and strengthening financial resilience to climate risks. As climate risks and their impacts vary significantly across regions, local governments should play a crucial role in disaster risk reduction and other adaptation policies. Malaysia has recently made progress in strengthening its disaster risk management framework, organised under the National Disaster Management Agency (NADMA). Adopted in late 2024, the National Disaster Risk Reduction Policy 2030 aims to decentralise risk management to state and district levels and mainstream resilience into national budgetary processes. However, human and financial capital shortages at the local level often hinder effective implementation, requiring a strengthening of local-level disaster management capacities (OECD, 2024[6]).

Recognising the urgency of strengthening Malaysia's national response to its climate change vulnerabilities and risks, climate policies are being mainstreamed through specific policy frameworks. Adopted in 2024, the National Climate Change Policy 2.0 provides the main strategic framework and guidance for integration and alignment of climate change mitigation and adaptation into national development. It also serves as a basis for coordinating and implementing climate-specific policies and strategies. The Thirteenth Malaysia Plan for 2026-2030 also highlights the need for increased efforts to improve climate resilience and sustainability. A number of important sector-specific frameworks flesh out Malaysia's envisaged path towards a more resilient low-carbon economy. Energy transition is guided under the National Energy Transition Roadmap (NETR) while climate risks are integrated into sectoral planning such as for water management, agriculture, and urban development.

Despite the ongoing policy initiatives, developing a coherent economy-wide climate change adaptation strategy has proven challenging so far. Adaptation policies are currently fragmented across various sectoral policies and ministries (World Bank and Bank Negara Malaysia (BNM), 2024[1]). The national government is still working on developing a National Adaptation Plan (MyNAP) which will provide a framework to assess, prioritise, and implement adaptation actions across five priority sectors: water and coastal resources, agriculture and food security, forestry and biodiversity, infrastructure and cities, and public health. MyNAP is currently under development and will also incorporate risk assessment, vulnerability mapping, and climate-proofing of policies and investments. A more coherent adaptation strategy would help prioritise investments, clarify institutional responsibilities and reduce policy uncertainties for the private sector. Developing regular sectoral risk assessments as well as their interlinkages will be essential to design tailored adaptation policies across different policy areas and should be part of MyNAP. Malaysia can draw example from other countries which developed comprehensive NAPs with clear monitoring and evaluation frameworks. For example, Chile's National Climate Change Adaptation Plan is supported by sectoral adaptation plans that are monitored on a yearly basis by the Ministry of Environment (OECD, 2024[12]). The Philippines have also recently put in place a National Adaptation strategy.

As Malaysia experiences frequent flooding, policies related to water management should be central in the forthcoming MyNAP. As flood risks in Malaysia are increasing nationwide across many regions, integrating climate risks into urban planning and investing in improved drainage infrastructure could help reduce vulnerability to floods across the country. Strengthening flood management systems, including river basin management, drainage infrastructure and early-warning systems will be essential to reduce disaster risks and improve flood resilience.

Revising land use plans and tightening construction permits in high-risk areas will help to prevent development in flood-prone areas. Increasing public awareness and education on flood preparedness, especially in rural areas, would also support the effectiveness of flood mitigation strategies. Communities that actively participated in improving flood preparedness and resilience, such as through development of nature-based solutions, have shown greater resilience in responding to flood events (Abid et al., 2024[13]).

2.2.2. Improving climate risk information and data

Effective climate adaptation policies require reliable, timely and accessible information on climate risks. Understanding how climate-related hazards are likely to evolve over time is essential for identifying vulnerabilities, prioritising adaptation investments and designing effective disaster risk management strategies. Regular climate risk assessments provide the backbone for adaptation policies by combining information on hazards, exposure and vulnerability (OECD, 2024[6]).

Malaysia has made progress in strengthening its climate and disaster information systems. Several government agencies contribute to climate monitoring and risk assessment, including the Malaysian Meteorological Department, the Department of Irrigation and Drainage, the National Disaster Management Agency (NADMA), and the Department of Statistics Malaysia (DOSM). These institutions provide meteorological observations, flood monitoring systems and early-warning services that support disaster preparedness and response. Flood forecasting systems have improved significantly in recent years, including the development of real-time hydrological monitoring networks and early-warning mechanisms. These systems help authorities issue alerts ahead of extreme rainfall events and allow emergency services and local communities to prepare for potential flooding. The government has also expanded flood forecasting infrastructure in several river basins, including those in the Klang Valley and eastern Peninsular Malaysia, which are particularly vulnerable to severe flooding. However, further improvements in forecasting accuracy and dissemination of warnings could strengthen preparedness, particularly in high-risk regions.

Malaysia could draw example from other countries in the region faced with similar challenges. For instance, the Philippines has recently upgraded its disaster risk framework, integrating granular data supported by advanced satellite and telecommunications technologies. Launched in partnership with major telecom providers, the system delivers hazard warnings to all mobile phones in the areas where the warning is issued, regardless of subscription status, ensuring that alerts reach millions of citizens in seconds. Complementing this legal and technological advancement is the country's involvement in CopPhil (National Copernicus Capacity Support Action Programme) which is a multi-agency collaboration with the European Union's Copernicus programme in the Philippines. This co-operation enables high-resolution satellite-based monitoring for floods, landslides, and other environmental hazards (OECD, 2025[14]).

Despite the improvements in Malaysia, important gaps remain in the availability and accessibility of climate risk information, especially related to floods. In some cases, risk information remains fragmented across institutions or is not easily accessible to local governments, businesses and households (World Bank and Bank Negara Malaysia (BNM), 2024[1]). Making high-resolution flood risks maps publicly accessible could significantly strengthen private sector adaptation planning, especially among SMEs who often have more limited awareness of their risk exposure. Open data platforms that integrate climate projections, hazard maps and socioeconomic exposure data can help policymakers, researchers and private actors better understand climate risks. Expanding access to such information would also support better land-use planning, infrastructure investments and private investment decisions. It would also strengthen the capacity of financial institutions to provide financing and insurance for households and businesses. Digital technologies and advanced modelling tools can also play an increasing role in climate risk assessment. Satellite data, geospatial analytics and machine learning techniques can improve monitoring of extreme weather events and help identify vulnerable areas. All of these tools can support more accurate disaster risk modelling and help authorities prioritise adaptation investments where they are most needed.

Strengthening monitoring and evaluation frameworks in Malaysia is another priority. Weak data governance and non-standardised monitoring frameworks limit the ability of governments to assess disaster risks and allocate resources effectively (OECD, 2025[2]). Systematic monitoring of climate hazards and adaptation outcomes can help policymakers track progress and adjust policies as new information becomes available. Integrating climate risk indicators into national development planning and public investment management systems could therefore improve the effectiveness of climate adaptation policies.

2.2.3. Strengthening financial resilience to climate risks

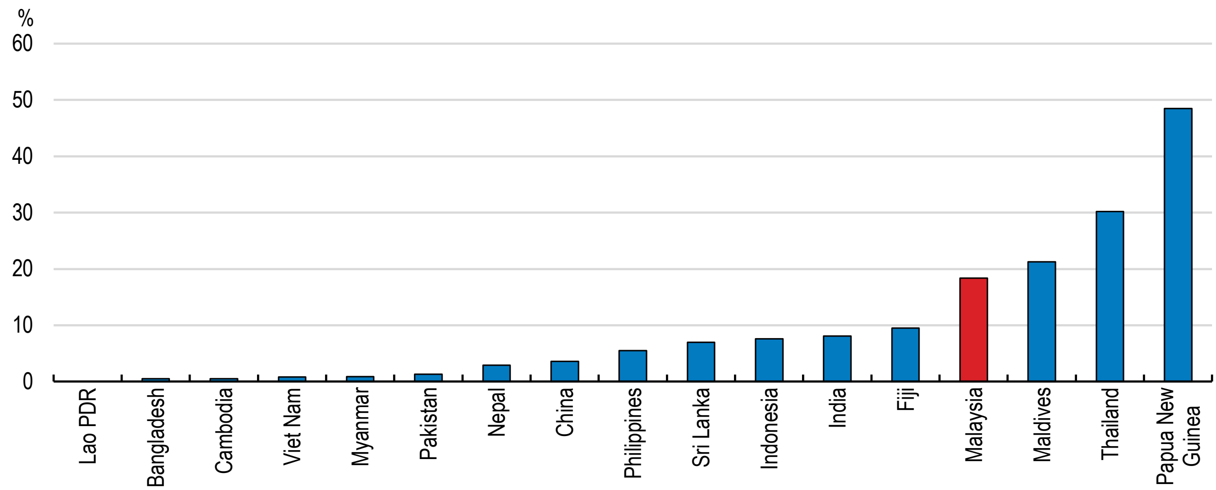
Climate-related disasters can impose substantial financial costs on households, businesses and governments. Insurance mechanisms can play an important role in strengthening financial resilience to climate risks by providing compensation after disasters occur and reducing the fiscal burden on governments. However, insurance coverage against natural disasters remains limited in many countries, including Malaysia. Many Malaysian households and businesses are not at all or not sufficiently insured against climate-related hazards, and many floods result in significant protection gaps between insured and uninsured losses (World Bank and Bank Negara Malaysia (BNM), 2024[1]).

The significant financial impacts of natural disasters call for strengthening financial resilience to climate risks and developing comprehensive disaster risk finance (DRF) frameworks. This includes both ex-post financing in the aftermath of a natural disaster and insurance solutions for ex-ante financial protection. Since no single policy is effective in mitigating financial risks, a comprehensive DRF framework should incorporate a range of instruments combining risk retention and risk transfer to maximise disaster preparedness in a sustainable, fair and effective manner (OECD, 2025[2]).

In Malaysia, the DRF strategy relies primarily on ex-post financing, mobilised to support recovery and reconstruction once floods or landslides have occurred (OECD, 2025[2]). Combining these ex-post measures with ex-ante financing solutions will be key to strengthening Malaysia's disaster risk financing framework and increasing businesses and households' financial resilience. Ex-ante financing tools, such as insurance, help to pool risks and increase businesses and households' financial resilience. Although insurance is more widespread in Malaysia compared to other countries in Southeast Asia, it remains relatively low, especially among vulnerable households. Over 80% of overall economic losses incurred from natural hazards between 2000 and 2023 were not insured, reflecting large insurance protection gaps (Figure 2.2).

Figure 2.2. Insurance penetration for natural hazards is very low across Asia and the Pacific

Share of insured economic losses due to natural hazards, 2000-2023 average



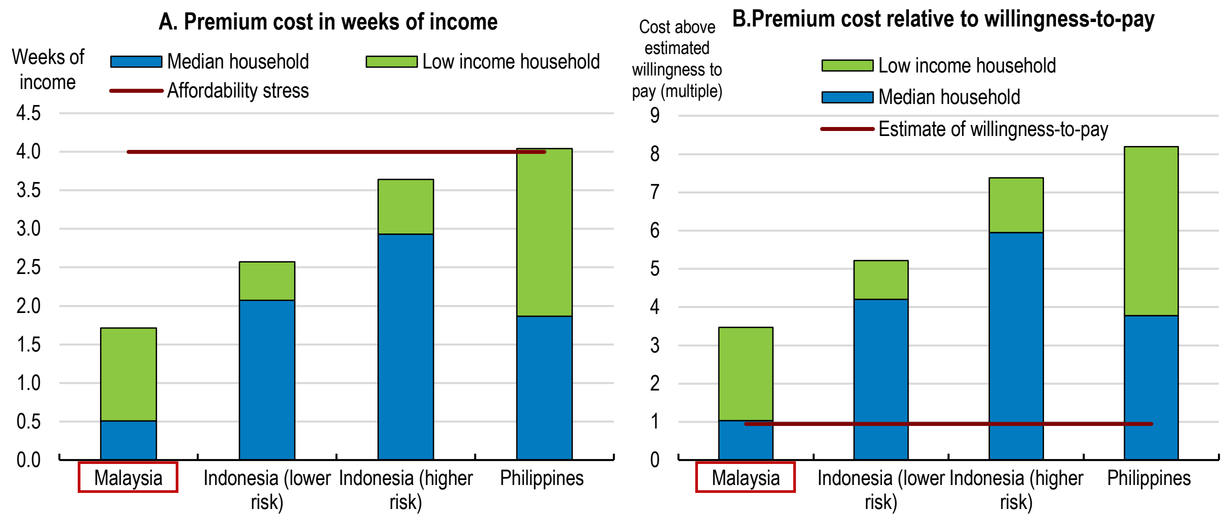
Source: (OECD, 2025[15]) based on Swiss Re, sigma database.

StatLink https://stat.link/q1frcv

Affordability and awareness are the main reasons behind limited insurance demand in Malaysia. Higher awareness of risks and the potential losses is usually correlated with higher uptake of insurance coverage and greater willingness to pay for it (OECD, 2025[15]). Households and businesses are often not fully aware of their exposure to climate risks and the potential damage that they could face, especially in case of risk events with low frequency but strong impact (OECD, 2024[6]). A survey of residents of the Klang Valley, in the Greater Kuala Lumpur metropolitan area, found that 68% of them would be willing to acquire flood insurance if available (Khairunisia, 2023). Insurance uptake might also be related to trust in financial institutions. For example, a study in Indonesia found that although 62% of people surveyed understood the benefits of insurance coverage, only 10% had confidence in the insurance sector (OECD, 2025[15]).

Limited willingness to pay is another significant factor behind low demand for insurance coverage, especially for low-income households and SMEs. Households and businesses located in high-risk areas or poorly constructed buildings may face higher costs of insurance premiums, leading to insurance coverage being unaffordable (OECD, 2025[15]). In Malaysia, some evidence shows that affordability is less of an issue compared to neighbouring countries (Figure 2.3, panel A). Estimated premium costs for an average Malaysian household are equivalent to half a week of income, significantly less than in Indonesia or the Philippines. For the lowest 20% income group, they amount to one and half weeks on average, which is still largely below the estimated affordability stress level. Despite insurance being broadly affordable, the willingness-to-pay for the coverage is quite low, which might be reflected by the underestimation of the exposure to climate risks. This is particularly true for the low-income households for whom insurance costs come with trade-offs to other spending demands, and when insurance coverage for natural hazards is offered as an optional add-on (Figure 2.3, panel B). In Malaysia, around half of the households with property insurance chose to purchase the optional coverage for natural hazard risks (OECD, 2025[15]). Individuals and businesses might also be less prone to taking up insurance coverage if they expect to be compensated by the government in case of disaster (World Bank and Bank Negara Malaysia (BNM), 2024[1]). Promoting the benefits of insurance coverage and requiring the coverage of natural hazards in property insurance contracts would improve financial protection while reducing the financial pressure on public finances in case of a natural disaster. Subsidising insurance for low-income households could also be considered for the most vulnerable households.

Figure 2.3. Insurance is more affordable than in peers but challenging for low-income earners



Source: (OECD, 2025[8]) based on Swiss Re, sigma database.

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Limited uptake of insurance coverage may also be due to supply side factors. Insurers may be reluctant to provide insurance products if they face difficulties pricing disaster risks, particularly when climate risks are increasing or uncertain (World Bank and Bank Negara Malaysia (BNM), 2024[1]). Limited availability of detailed hazard data and catastrophe risk models can complicate risk pricing and lead to high premiums (OECD, 2025[2]). Moreover, financial markets for flood risk management remain relatively small, limiting flood risk diversification for financial institutions (World Bank and Bank Negara Malaysia (BNM), 2024[1]). Flood risks can be also highly concentrated geographically, which may lead insurers to restrict coverage in high-risk areas.

An increasing number of OECD countries have been establishing public-private insurance programmes that provide compensation, insurance coverage or reinsurance for floods and other natural hazard risks. For example, the Danish Natural Hazards Council covers storm surge and flood losses, funded by a surcharge on property insurance policies. In Spain, the public-private insurance system is managed by the *Consorcio de Compensación de Seguros* (CCS), a state-owned insurer, which ensures insurance coverage where private insurability is limited and facilitates universal coverage by substantially reducing insurance costs. It is funded through a mandatory surcharge on all property, life, and accident insurance policies issued by private insurers, which results in high coverage, with around 75% of Spanish properties insured (OECD, 2026[16], OECD, 2025[17]).

Innovative financing tools can help bridge the insurance protection gap. For example, the use of parametric insurance has been gradually increasing in disaster risk financing frameworks. Unlike traditional indemnity insurance that compensates for actual losses incurred, parametric insurance pays out a fixed pre-agreed amount once an event meets or exceeds a pre-defined threshold, such as a specific water level, wind speed, precipitation amount or earthquake magnitude (OECD, 2025[2]). As no lengthy damage assessment is necessary and administrative burdens are reduced, it offers faster claims processing and pay out, and greater affordability. Moreover, parametric insurance products are typically fully customisable to fit policyholder's needs and budget. They can be therefore more attractive to people with limited financial knowledge by offering a more predictable and transparent coverage. This type of insurance instrument is thus of particular interest where climate risks affect mostly the low-income and vulnerable groups, such as in Malaysia.

The simplicity of parametric insurance comes with the drawback that the payouts can be below actual sustained losses, leading to a negative basis risk. On the other hand, a positive basis risk can occur when payouts are trigged even when limited losses are incurred, overcompensating the policyholder. High-quality and timely data are therefore needed for accurate assessment of risk exposure and potential losses.

Parametric insurance could nevertheless be utilised in combination with the traditional indemnity-based insurance coverage as a hybrid risk management solution. In that case, parametric insurance can swiftly cover the first urgent losses and provide liquidity support, while traditional insurance covers the remaining, higher losses (Generali and UNDP, 2024[16]).

Several countries have recently introduced parametric insurance products for natural disasters, notably the highly disaster-prone Pacific Island Countries. For example, in Fiji, cyclone insurance payout amounts to ten times the insurance premium, with a portion of the payout disbursed before the cyclone makes landfall to strengthen preparedness and response (UNDP, 2025[17]). In agriculture, parametric drought cover linked to a rainfall-index has been used for coffee farmers in Colombia, Indonesia, and Kenya, enabling farmers to have quick access to finance and rapidly recover from severe drought risks (Marsh, 2025). The Southeast Asian Disaster Risk Insurance Facility (SEADRIF), which serves as a regional platform to provide participating ASEAN countries with financial and risk management solutions, also offers parametric solutions to its member countries.

2.2.4. Implementing and financing climate change adaptation measures

Strengthening resilience to climate change will require significant investments in infrastructure, ecosystems and climate-resilient economic systems. Integrating climate resilience into infrastructure planning can reduce future repair and reconstruction costs while ensuring that new infrastructure remains functional under changing climate conditions, therefore improving long-term productivity and fiscal sustainability.

In Malaysia, strengthening resilience to floods represents one of the most important adaptation investment priorities. Strengthening flood resilience through a combination of infrastructure investments, improved zoning regulations and early-warning systems could cost around 0.2% of GDP annually, while significantly reducing the economic losses associated with extreme flood events. Without additional adaptation measures, a severe flood event occurring once every twenty years could lead to economic damages of up to 4.1% of GDP by 2030 (World Bank and Bank Negara Malaysia (BNM), 2024[1]).

The type of investments needed to address flood risks can be very area-specific and the use of detailed cost-benefit analysis and comprehensive risk assessments should guide infrastructure projects design and implementation. Examples of flood-mitigating infrastructure investments include river basin rehabilitation, modernising drainage systems, construction of dams in rural areas prone to flash floods, as well as restoring mangroves and peatlands in coastal areas. Urban flooding represents a particular challenge as rapid urbanisation has increased the share of impermeable surfaces in cities, reducing natural drainage capacity and increasing the risk of flash floods (World Bank and Bank Negara Malaysia (BNM), 2024[1]) The construction of the SMART tunnel in Kuala Lumpur is a successful example of an infrastructure project mitigating floods risks in a densely populated urban area as it can be used to divert water from the city centre during floods.

Adaptation investment needs to extend beyond flood mitigation. Agriculture remains sensitive to climate variability. Rising temperatures, changing rainfall patterns and more frequent extreme weather events may affect crop yields and agricultural productivity. Floods and droughts during key growing periods can damage crops and disrupt planting cycles, affecting rural incomes and food security (Food and Agriculture Organization, 2022). Supporting climate-resilient agricultural practices, including improved irrigation systems, drought-resistant crop varieties and better climate information for farmers could help to strengthen resilience in the agricultural sector.

Malaysia’s tourism sector is also vulnerable to climate risks. Coastal tourism infrastructure such as resorts, beaches and marine ecosystems may be affected by sea-level rise, coastal erosion and extreme weather events. Protecting coastal ecosystems such as mangroves and coral reefs can therefore play an important role in strengthening climate resilience while preserving tourism assets (see Section 2.2.5).

Mobilising funding for climate adaptation remains a major global policy challenge. Global estimates suggest that climate adaptation investment needs are substantial and likely to increase as climate impacts intensify. Recent assessments indicate that developing countries may require between USD 215 billion and USD 387 billion per year in adaptation investment during this decade (UNEP, 2025[18]). Current levels of international adaptation finance remain far below these estimates, highlighting the need to mobilise additional public and private resources.

The role of public investment

The public sector plays a central role in steering climate adaptation investments. Governments are typically responsible for providing large-scale infrastructure such as flood protection systems, drainage networks, coastal defences and water management infrastructure. These investments can significantly reduce disaster risks and generate substantial long-term economic benefits (OECD, 2024[11]).

Malaysia has increased budget allocations for flood mitigation in recent years, and the Thirteenth Malaysia Plan identified strengthening of flood mitigation and adaptation as one of its priorities. Several flood mitigation programmes are being implemented across the country, including river basin management projects, stormwater drainage upgrades and coastal protection initiatives. Between 2020 and 2025, 17 flood mitigation projects were implemented which strengthened protection for over 150 000 residents living across an area of 74 square kilometres (Ministry of Economy, 2025[19]). Under the Thirteenth Malaysia Plan, the government has prioritised flood management infrastructure with a budget allocation of MYR 12 billion. It consists of implementing 43 high-priority flood mitigation projects (RTB) in areas with high population density and economic activity, such as the Klang Valley and along the Johor River (Ministry of Economy, 2025[19]). Until the RTB projects are completed, short-term mitigations measures are prioritised, such as river dredging and bank stabilisation, with over MYR 500 million allocated between 2022 and 2025 to selected high-risk areas.

Mobilising private investment

Given the limited public resources, mobilising private capital for climate change adaptation investments will also be important to meet the scale of future investment needs. Private businesses, financial institutions and infrastructure investors can play a key role in financing adaptation measures such as climate-resilient buildings, resilient supply chains and water management technologies. In Malaysia, like in other countries, the private sector financing gap for adaptation is significant. Only 8% of global climate adaptation finance came from the private sector in 2022, against 54% for climate mitigation (Climate Policy Initiative, 2024[20]). Unlike mitigation investments, adaptation projects are more difficult to monetise as they don't necessarily generate predictable revenue streams and their value is often based on avoided losses or public benefits, reducing their attractiveness for private investors. In addition, adaptation projects typically suffer from high upfront costs, uncertain returns and limited availability of standardised metrics to assess resilience benefits. However, evidence shows that adaptation investment can generate substantial economic benefits, with returns of two to ten times the initial cost (OECD, 2024[21]).

Green and sustainable finance instruments can play an increasing role in mobilising private capital for climate adaptation. Malaysia has been a regional leader in the development of green and sustainable sukuk (Islamic bonds), launching the world's first sustainability sukuk in 2021 under the Sustainable and Responsible Investment (SRI) Sukuk Framework. It has been used primarily to finance renewable energy and other mitigation projects but has the potential to be expanded to support climate-resilient infrastructure and nature-based solutions. Issuances have grown rapidly in recent years, with MYR 27.6 billion of SRI sukuk issued in 2023 alone, and total ESG and sustainability-linked sukuk issuance estimated at over MYR 30 billion in 2023–2024 (Capital Markets Malaysia, 2025[22]). Scaling up the use of green and resilience bonds for projects such as flood mitigation, coastal protection and water management could help channel institutional investor capital towards adaptation.

Another way for governments to promote private adaptation investment is by improving climate risk disclosure, strengthening regulatory frameworks and providing better access to climate risk data. Clear information on climate risks can help investors assess long-term vulnerabilities and incorporate resilience considerations into investment decisions (OECD, 2025[23]). Public policy can also help de-risk private investment in adaptation. For example, expanding blended finance instruments that provide concessional finance, public-private partnerships and guarantees in Malaysia, such as those explored by the Climate Finance Innovation Lab (CFIL) and under the Joint Committee on Climate Change (JC3), could reduce investment risks and encourage private sector participation in resilience projects. These mechanisms are particularly important for infrastructure projects where upfront investment costs may be high but long-term benefits are substantial (OECD, 2023[24]). Similar approaches have been used in Singapore, where public co-financing and long-term infrastructure planning have helped attract private investment into coastal protection and water management systems.

2.2.5. Nature-based solutions to climate change adaptation

Nature-based solutions (NbS) can play an important role in strengthening climate resilience while delivering additional environmental benefits. NbS use natural ecosystems and ecological processes to reduce climate risks, complementing traditional infrastructure-based adaptation measures. Restoring and protecting ecosystems such as forests, wetlands and mangroves can reduce exposure to floods, storm surges and coastal erosion while also supporting biodiversity conservation and carbon sequestration. Nature-based solutions have great potential in mitigating flood risks as they can help to detain floodwater, reduce the energy and extent of floods as well as divert floods away from populated areas (Molnar-Tanaka and Surminski, 2024[25]).

Malaysia has significant potential to use NbS for climate adaptation given its rich ecosystem, including extensive tropical forests and coastal wetlands. Strengthening efforts to protect forest areas is essential as between 2017 and 2023, almost 7% of mangrove coverage was lost in Malaysia (The STEM Bulletin, 2026). Mangrove forests in particular play an important role in protecting coastal communities from storm surges and coastal erosion by acting as natural barriers against waves and extreme weather events. Mangroves also improve water quality, creating better conditions for fisheries and aquaculture, and store large amounts of carbon. They can thus act as large carbon sinks, generating co-benefits for both climate adaptation and mitigation (OECD, 2024[21]).

Malaysia has already implemented several initiatives to protect and restore mangrove ecosystems. Programmes led by government agencies and local communities have focused on mangrove reforestation and coastal ecosystem conservation (WWF Malaysia). These initiatives help to restore degraded coastal habitats while strengthening natural flood protection. However, continued urbanisation, coastal development and land-use changes continue to act as important pressures on these ecosystems, and it will be up to policymakers, often at the local level, to contain these pressures through appropriate regulation.

Nature-based solutions can also help mitigate inland flood risks. Wetlands, river floodplains and forested catchments can absorb and store large volumes of water during heavy rainfall events, reducing the severity of downstream flooding. Integrating ecosystem restoration into river basin management can therefore complement traditional flood protection infrastructure such as dams, levees and retention basins (UNEP).

The resilience to climate risks of urban areas can also be greatly improved through the integration of nature-based solutions. NbS such as urban parks and green roofs help to lower urban surface temperatures and improve air quality, in addition to providing CO_2 storage function and recreational benefits (UNEP FI, 2023[26]). Increasing permeable surfaces and incorporating nature-based drainage systems would improve water management and flood risk mitigation. In Sweden, retrofitting sustainable drainage systems in urban areas led to a 50% reduction in run-off and an increase in biodiversity (Molnar-Tanaka and Surminski, 2024[25]).

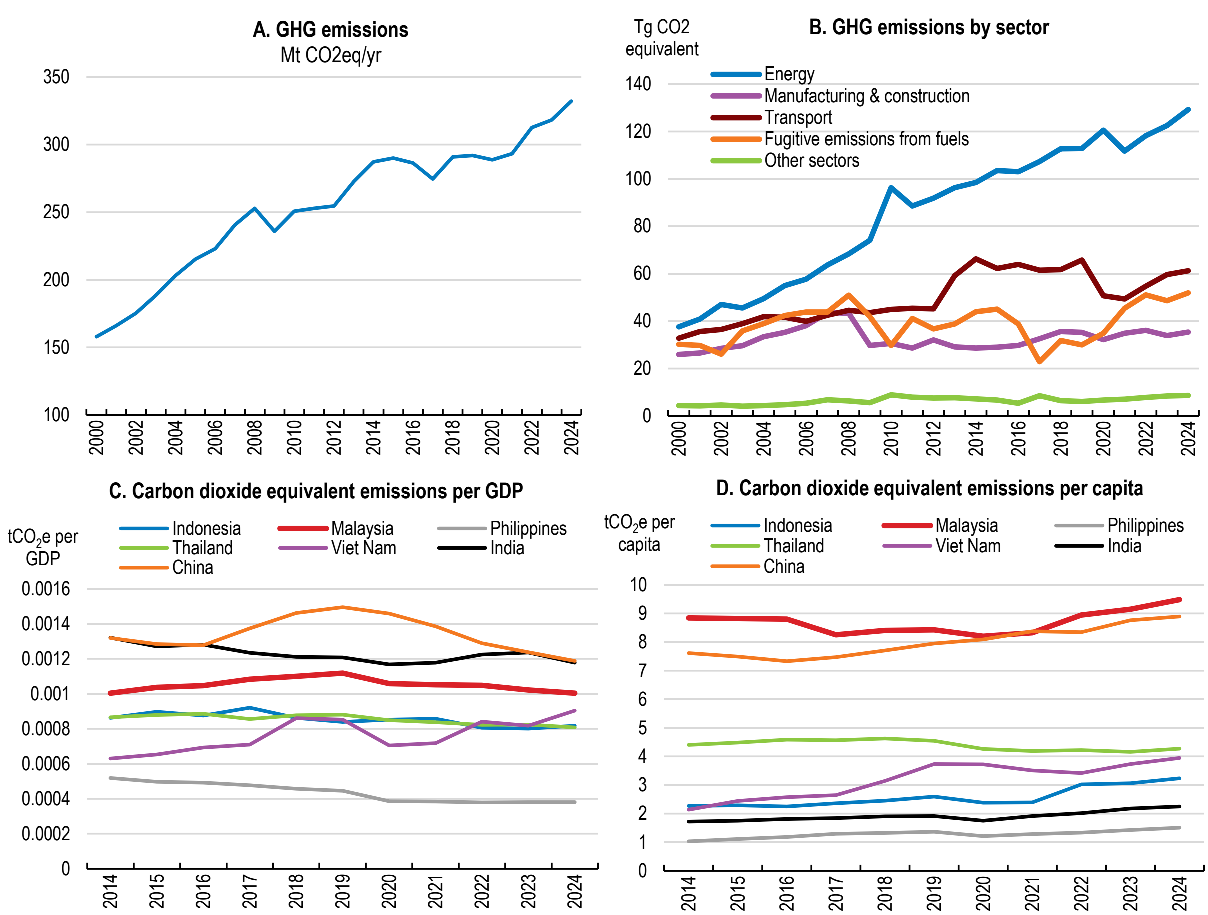
Scaling up nature-based solutions would strengthen Malaysia’s climate adaptation strategy while generating additional environmental and social benefits. Integrating ecosystem-based approaches into land-use planning and coastal management strategies could help protect natural buffers against climate hazards. Public investment programmes for flood management and coastal protection could also incorporate nature-based components alongside traditional infrastructure. Nature-based solutions are typically cost-effective compared to purely infrastructure-based adaptation measures and can deliver multiple benefits across sectors and local communities.

2.3. Continuing mitigation efforts

2.3.1. Efforts to decrease greenhouse gas emissions should be strengthened

The increased incidence of climate-related disasters in Malaysia serves as a reminder for the importance of mitigation efforts to reduce emissions and contain climate risks. Malaysia has made progress in strengthening its climate mitigation framework in recent years, although greenhouse gas (GHG) emissions have continued to rise. Annual GHG emissions have more than doubled compared to 2000 levels, amid rapid economic growth and increased demand for energy (Figure 2.4, panel A). The energy sector has been the primary source of GHG emissions, followed by the transport sector, reflecting the economy's reliance on fossil fuels. It has also been the primary driver of emissions increases, as GHG emissions from the power sector grew by almost 250% since 2000 (Figure 2.4, panel B). Malaysia's GHG emission intensity, with respect to GDP, has been gradually declining in post-COVID19 years, but it remains above its regional peers (Figure 2.4, panel C). In contrast, per capita GHG emissions have risen over the same period and are significantly above that of other ASEAN economies (Figure 2.4, panel D).

Figure 2.4. GHG emissions are driven by the energy sector



Source : Crippa et al (2025), EDGAR database.

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In October 2025, Malaysia submitted an updated Nationally Determined Contribution (NDC). Unlike the previous NDC, which focused on reducing the emission intensity of GDP by 45% by 2030 relative to 2005 levels, the new commitment introduces an economy-wide absolute emissions target. In its revised NDC, called NDC 3.0, Malaysia commits to peaking GHG emissions between 2029 and 2034, with the goal to peak by 2030, and reducing emissions by 15-30 million tonnes CO_2e from the peak level by 2035. Of these, 20 million tonnes CO_2e would be unconditional and another 10 million tonnes CO_2e conditional on the provision of climate finance, technology transfer and capacity-building from international sources (UNFCCC, 2025[9]). This shift improves the transparency and comparability of Malaysia's climate targets, although the pace of emission reductions following the peak remains relatively modest, given that annual GHG emissions increased by 40 million tonnes between 2019 and 2024. As a result, the new target might not substantially strengthen mitigation ambition in the near term. Stronger mitigation action will likely be needed for Malaysia to become a net-zero carbon economy by 2050 as envisaged.

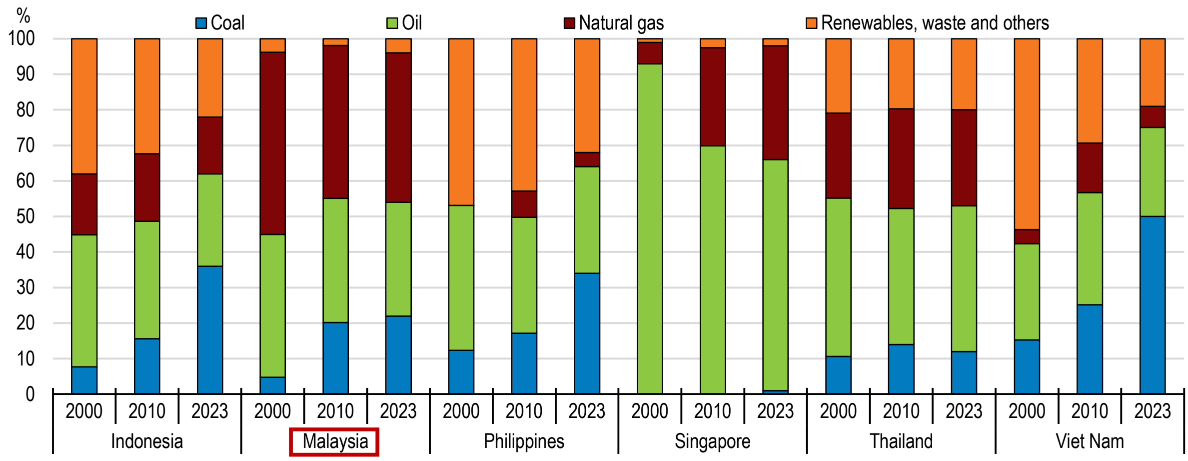
Several national policy frameworks support Malaysia's climate mitigation efforts. The National Energy Transition Roadmap (NETR), launched in 2023, outlines a long-term pathway for transforming the energy system through six priority transition levers: expanding renewable energy deployment, improving energy efficiency, developing hydrogen and bioenergy technologies, electrification of transport, and the deployment of carbon capture and storage (CCUS) technologies (Ministry of Economy, 2023[27]). In addition, Malaysia has introduced several initiatives to support sustainable finance and investment, including the Sustainable and Responsible Investment (SRI) Sukuk framework which raised MYR 13 billion for social and green projects since 2023 and the Green Investment Strategy, which has helped mobilise financing for renewable energy and other green investment projects, or the National Energy Transition Facility (NETF) designed as a catalytic blended-finance platform aimed at expediting the mobilisation and deployment of capital, or the Ecological Fiscal Transfer allocates funds to state governments for nature conservation.

2.3.2. Decarbonising the energy mix

As the energy sector is the largest single sector contributor to Malaysia's GHG emissions, lowering its emissions could significantly bolster climate mitigation progress. Malaysia's energy mix remains heavily dependent on fossil fuels (oil, coal, and natural gas), although the share of renewables in electricity generation has been gradually increasing. Reliance on fossil fuels in Malaysia is also much higher than in peer economies (Figure 2.5). While natural gas has historically dominated the energy mix, coal has become an increasingly important source of generation since the 2010s as a cheaper alternative to gas, although the GHG emissions intensity of natural gas use is generally much lower than that of coal. On average, natural gas results in about 35% fewer emissions than coal, and more than 95% of the natural gas consumed in 2024 had fewer lifecycle emissions than coal (IEA, 2025[28]). Malaysia also relies on imported crude oil for its domestic use, making it vulnerable to global energy price shocks and geopolitical tensions. While balancing energy security, affordability, and environmental sustainability considerations, Malaysia has taken ambitious steps in recent years to reduce the reliance on fossil fuels and accelerate the transition to renewable energy sources, including through the Large-Scale Solar (LSS) programme and Hybrid-Hydro Floating Solar (HHFS) projects. Under the NETR, Malaysia has committed to phasing out coal power by 2044, while natural gas remains a key transitional fuel.

Figure 2.5. Fossil fuel dependence is high compared to peer countries

Total energy supply by source, share %



Source: IEA, World Energy Balances.

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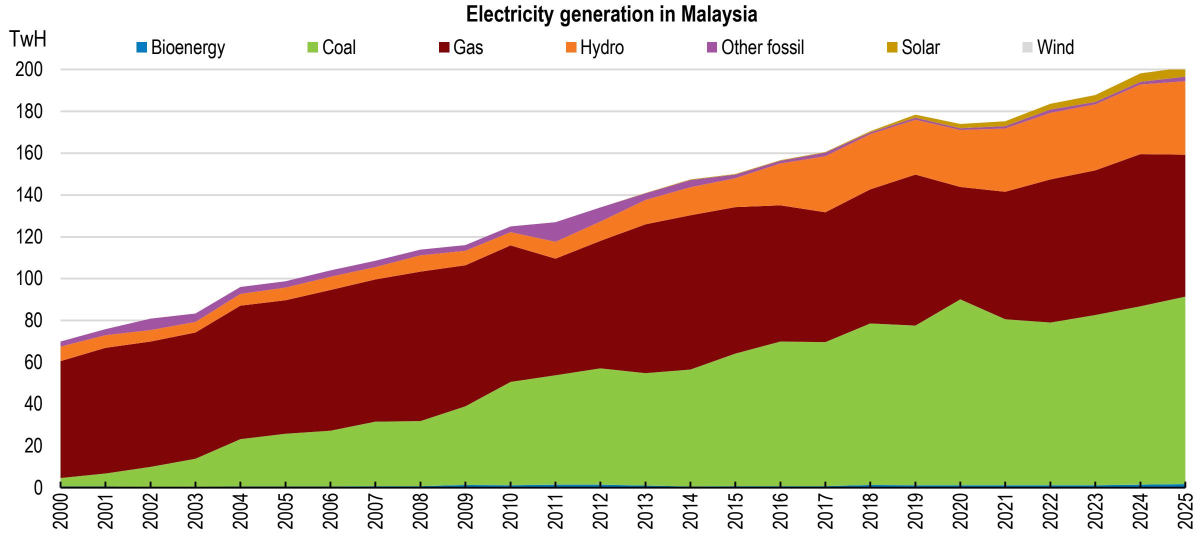
Progress in decarbonising the energy mix will require expanding the use of electricity and generating more electricity from cleaner sources. It would also strengthen Malaysia's energy security and competitiveness due to lower generation costs and electricity tariffs, compared to fossil fuels. Electricity currently contributes one fourth of Malaysia final energy consumption, with the industry sector accounting for half of that demand (IEA). Electricity generation in Malaysia has almost tripled in the past 25 years, largely driven by the increase in coal-fired power generation (Figure 2.6). In 2025, 80% of electricity came from fossil fuels, with coal and natural gas accounting for 45% and 34% respectively (Ember, 2026[29]). Renewables contributed 20% to electricity generation, compared to a global average of 41%. Renewable energy deployment has increased rapidly in recent years, particularly in solar power generation, supported by policy instruments such as feed-in tariffs, large-scale solar auctions and rooftop solar schemes. Installed capacity of solar photovoltaic generation increased from 0.5 GW in 2018 to 2.3 GW in 2024, representing an increase from 6% to 24% in total renewable installed capacity, although less than 24% in terms of effective electricity generation.

Malaysia has considerable potential to further expand renewable energy production, particularly solar energy. The country benefits from high solar irradiation levels throughout the year, creating favourable conditions for both large-scale solar projects and distributed rooftop systems. Malaysia's solar potential is estimated at 337 GW and it could become the dominant renewable electricity source by 2050 if regulatory and infrastructure constraints are addressed (IRENA, 2023[30]). As the cost of solar energy is declining rapidly, wider deployment would also contribute to strengthening Malaysia's competitiveness, affordability and energy security, including its resilience against shocks to global energy prices. Solar power generation in Peninsular Malaysia already achieved cost parity with fossil-fuel-based electricity in 2021. By 2023, further declines in the cost of solar power generation have made it 50% less expensive than power generated from fossil fuels (Ember, 2024[31]).

Recognising the untapped potential of renewables in Malaysia, the government has announced ambitious targets to increase the installed renewable energy capacity, as set out in the NETR. The first target of 31% renewable energy capacity has been reached in 2025. Subsequently, the government has committed to increasing renewable energy capacity to 40% in 2040 and 70% in 2050.

Figure 2.6. Fossil fuels dominate electricity generation



Source: Ember Energy database.

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Achieving these targets will require a significant acceleration in renewable energy deployment and major investments in electricity infrastructure. A key challenge relates to the electricity grid infrastructure and system flexibility. Like in other countries, Malaysia's power system was originally designed for centralised fossil-fuel generation and faces difficulties in integrating variable renewable energy sources such as solar. As solar penetration increases, deployment of large-scale energy storage will be essential to manage the variability of renewable energy production and to ensure grid stability, in addition to investments in transmission networks and digital grid management systems.

Limited competition in the electricity market may reduce incentives to integrate new renewable energy technologies (Castle and Varriale, 2026[32]). Malaysia's power sector is divided into three separate electricity grids, each dominated by a state-owned utility company in its region: the Tenaga National Berhad (TNB) in Peninsular Malaysia, Sabah Electricity Sdn Bhd (SESB), and Sarawak Energy Berhad (SEB). In Peninsular Malaysia, TNB is solely responsible for power transmission and distribution while independent power producers (IPPs) also participate in electricity generation. IPPs are licensed by the government and sell power under long-term power purchase agreements (PPAs) and single buyer model, which may limit competitive prices in the long-term and reduce incentives for innovation and efficiency improvements. International evidence from OECD countries suggests that beyond direct support, strengthening competition in electricity markets, including by enhancing third-party access to the grid and unbundling generation and transmission functions, facilitates renewable energy deployment and supports the energy transition ((OECD, 2025[33]); (Nicolli and Vona, 2019[34]); (IEA, 2005[35])).

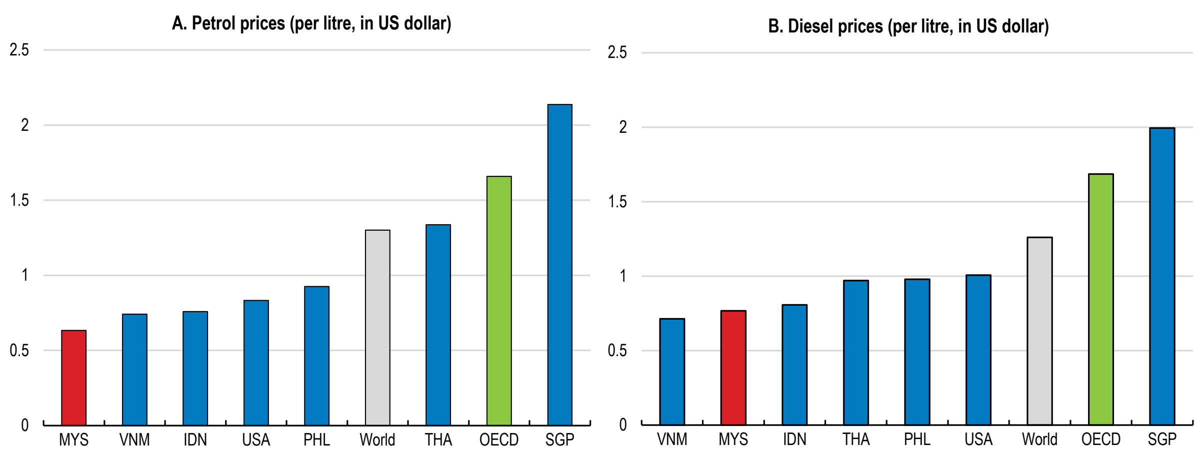
2.3.3. Pricing carbon properly

Energy pricing policies play a critical role in shaping incentives for emissions reductions. In Malaysia, fossil fuel subsidies have historically been an important component of energy policy, keeping fuel and electricity prices artificially low. While these subsidies have supported affordability and competitiveness, they also weaken incentives for energy efficiency and low-carbon investment.

The government has initiated several reforms in recent years to provide more targeted subsidy schemes. In a welcome move, in 2024 a diesel subsidy reform was implemented in Peninsular Malaysia, which liberalised the diesel pump price and raised it to its market value, while providing cash transfers to the most vulnerable groups. In contrast, the 2025 petrol subsidy reform was not income-targeted, with continued subsidies of petrol prices at the pump to all Malaysian citizens (see Chapter 1).

Low fuel prices are likely to slow the transition towards more energy-efficient technologies and a more widespread electric-vehicles (EV) uptake. Despite the partial price liberalisation, fuel prices in Malaysia remain among the lowest in the world. Average pump prices of RON-95 and diesel were equal to USD 0.63 and USD 0.72 respectively at the beginning of 2026, equivalent to about half the global prices and placing Malaysia at the lowest end among Southeast Asian countries (Figure 2.7). Given that the initial cost of buying an EV is higher than that of a combustion-engine car, lower operating expenses after the purchase are an important part of the argument for buying an EV, but that argument is weakened by low fuel prices. The share of EVs has been rising in Malaysia, representing 5.5% of new vehicles sales in 2025. However, some market experts fear that the new petrol subsidy could slow the transition to green vehicles (Kenanga Research, 2026[36]). Fossil fuel subsidies also impose a significant fiscal burden, particularly during periods of high global energy prices. As discussed in Chapter 1, energy subsidies should be phased out gradually, while targeted transfers can be used to support vulnerable households.

Figure 2.7. Fuel prices are very low



Source: Global Petrol Prices, data accessed in February 2026, https://www.globalpetrolprices.com/.

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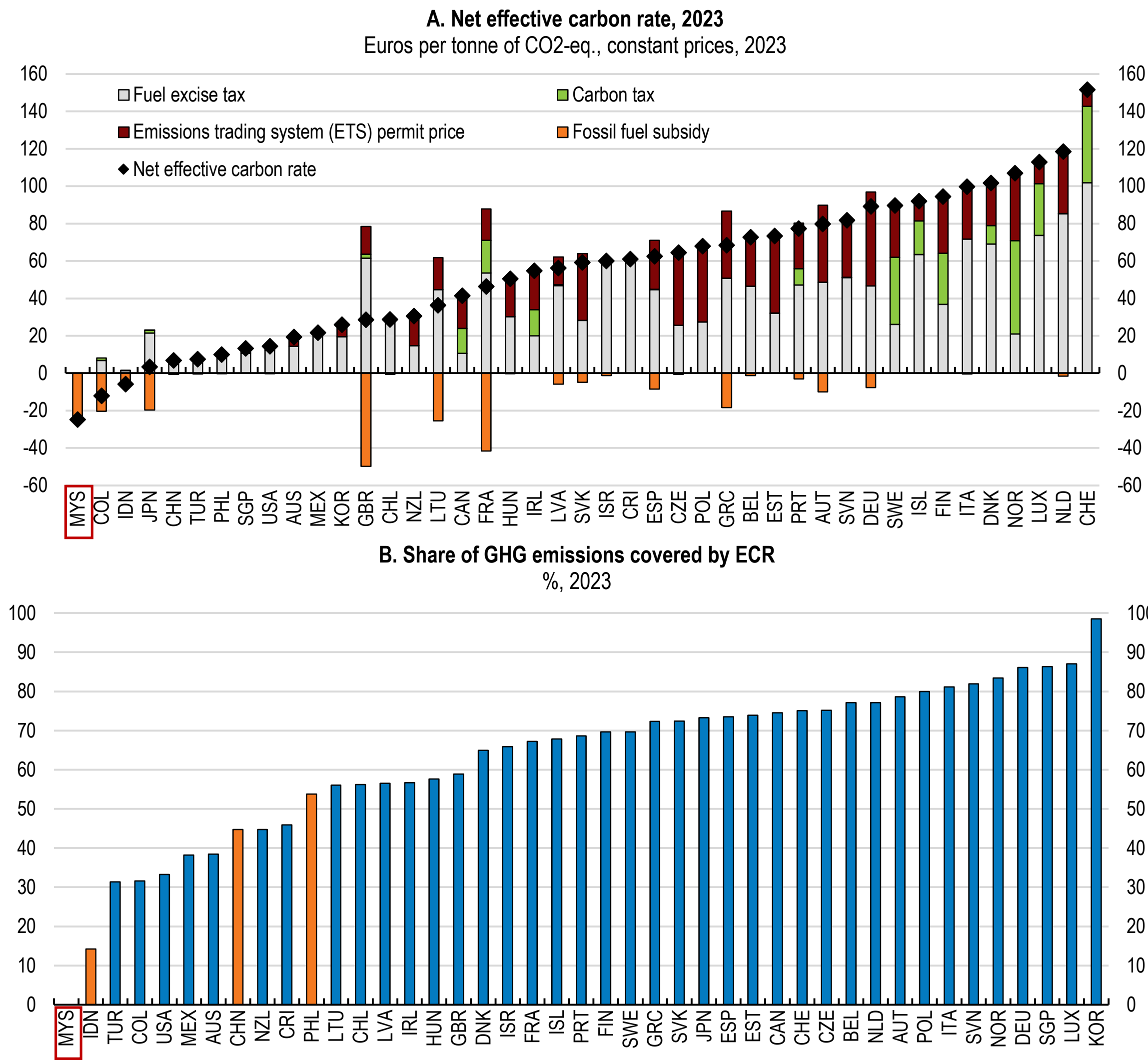
Beyond an end to fuel subsidies, reducing GHG emissions will require implementing a carbon pricing strategy. Carbon price policies create incentives for households and businesses to reduce emissions by reflecting the environmental cost of carbon in energy use (D'Arcangelo, 2022[37]). Many countries have introduced market-based instruments to reduce emissions, either through explicit carbon taxes, emissions trading systems or a combination of both. Very often, the first step to pricing emissions has been the implementation of a fuel excise tax that increases prices at the pump, as is the case in most OECD countries (Figure 2.8, panel A).

The current energy price signals provide the wrong incentives for emission reductions as subsidies essentially act in the opposite direction to carbon pricing. As a result, Malaysia currently stands out for a negative carbon price (Figure 2.8, panel A). In 2023, before the diesel subsidy reform, the resulting net effective carbon rate was equivalent to EUR -25 (USD 29) per tonne of CO_2-eq (OECD, 2024[19]). Reducing the subsidies for petrol and eventually moving towards taxing rather than subsidising fossil fuels would incentivise lower fuel consumption and a shift to more energy-efficient transport modes. Targeted transfers to the most vulnerable groups can be an effective way to improve the distributional effects of moving towards a positive carbon price.

Malaysia is still in the early stages of developing a domestic carbon-pricing framework and currently none of its GHG emissions are covered under any market-based instrument (Figure 2.8, panel B), although a voluntary carbon market was launched at the end of 2022. The Bursa Carbon Exchange (BCX) provides a platform for companies to trade standardised carbon credit contracts linked to verified emissions reduction or removal projects. In addition to enabling firms to voluntarily offset their emissions, it can mobilise private financing towards climate mitigation projects such as forest conservation and renewable energy. It can also provide a first signal for a domestic carbon price ahead of introducing a broader carbon tax or emission trading system. BCX's first auction in 2024, which involved the sales of carbon credits totalling more than 20 000 tonnes of CO_2-eq. from the Kuamut Rainforest Conservation Project in Sabah, cleared at MYR 50 (USD 12) per tonne. While the voluntary carbon market can support emissions reductions in hard-to-abate sectors and help build market infrastructure, its impact remains limited due to its partial and optional coverage.

Figure 2.8. Malaysia does not yet price carbon emissions



Note: The Effective Carbon Rate (ECR) is the sum of fuel excise taxes, carbon taxes and tradeable permits that effectively put a price on carbon emissions. The Net ECR equals the ECR minus fossil fuel subsidies that decrease pre-tax fossil fuel prices. 1 EUR = 1.15 USD in April 2026.
Source: OECD (2024), *Pricing Greenhouse Gas Emissions 2024: Gearing Up to Bring Emissions Down (database)*.

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The forthcoming Climate Change Bill is expected to provide more long-term clarity on the government's carbon pricing strategy and the legal framework supporting its implementation. The Thirteenth Malaysia Plan mentions plans to introduce a domestic ETS, without providing further details. Nevertheless, Budget 2026 has confirmed Malaysia's commitment to introduce a national carbon tax. The first phase of the carbon tax implementation is expected to cover emissions from the iron, steel and energy sectors but details as to the initial rate of the tax as well as exact coverage remain to be clarified.

A carbon tax could be a practical starting point, particularly in sectors where emissions monitoring is relatively straightforward, such as power generation and energy-intensive industries. Starting with a moderate tax rate and increasing it gradually over time would allow households and firms to adjust while providing clear long-term investment signals. This has been the case in neighbouring Singapore, where the carbon tax implemented in 2019 was initially set at USD 4/tCO_2e in the first four years, before rising gradually to USD 19/tCO_2e and USD 34/tCO_2e, and is further targeted at USD 38-61/tCO_2e by 2030. Alternatively, Malaysia could consider developing an emissions trading system (ETS), which would set an emissions cap while allowing firms to trade allowances. ETS typically require robust monitoring, reporting and verification frameworks and may be more complex to implement. A phased approach, such as starting with a carbon tax and gradually expanding coverage or transitioning toward trading mechanism, could therefore be of particular interest.

International experience suggests several design principles that can support the successful implementation of carbon pricing reforms. Introducing carbon pricing gradually can allow households and businesses time to adjust to higher energy prices. Complementary policies, such as targeted transfers to low-income households can help mitigate potential distributional impacts. Utilising revenues from carbon pricing to support green investment, reducing other distortionary taxes or financing climate adaptation would not only ensure policy effectiveness but also enhance social acceptance of such reforms (D'Arcangelo, 2022[37]).

Box 2.1. The OECD ENV-Linkages modelling framework

Analysis conducted for this Economic Survey uses the OECD ENV-Linkages model to simulate the impacts of climate change mitigation policies under different policy scenarios. The OECD ENV-Linkages model is a dynamic multi-sectoral, multi-regional Computable General Equilibrium (CGE) model, allowing the analyses of the medium- to long-term effects of policy shifts that require reallocation across sectors and regions, as well as the associated spill-over effects (Chateau, Dellink and Lanzi, 2014[38]). The model is used to estimate the environmental and economic impacts of removing fossil fuel subsidies in Malaysia and introducing a carbon tax, as compared to the current emission pathway under the NDC 3.0 target.

To establish the business-as-usual (BAU) reference scenario for Malaysia until 2040, macroeconomic projections are taken from the OECD Long-term model (Guillemette and Chateau, 2023[39]). Historical and projected GHG emissions data by sector is taken from the 2024 Common Reporting Tables (CRT) and the Biennial Transparency Report (BTR) provided by UNFCCC. Data on historical electricity generation as well as historical and projected capacity mix are taken from the Malaysian Energy Commission. Data for other countries is taken from the International Energy Agency (IEA) World Energy Outlook 2023.

Under the BAU scenario, GHG emissions are assumed to peak by 2035. In the first policy scenario (*FFS Phase-Out*), fossil fuel subsidies are removed gradually until 2030 and fully afterwards. This policy scenario also assumes a full transfer of associated fiscal savings to households. In the second policy scenario (*CO2 Tax + FFS*), in addition to the full fossil fuel subsidies removal scenario, a carbon tax is introduced in the power sectors and energy intensive industries. The level of carbon tax is endogenous in the model for the GHG emissions to reach net zero by 2050, as envisaged in Malaysia. Under this scenario, the savings from fossil fuel subsidies removal and the revenues from the carbon tax are used to both support households (50%) and for investment into the electricity grid (50%).

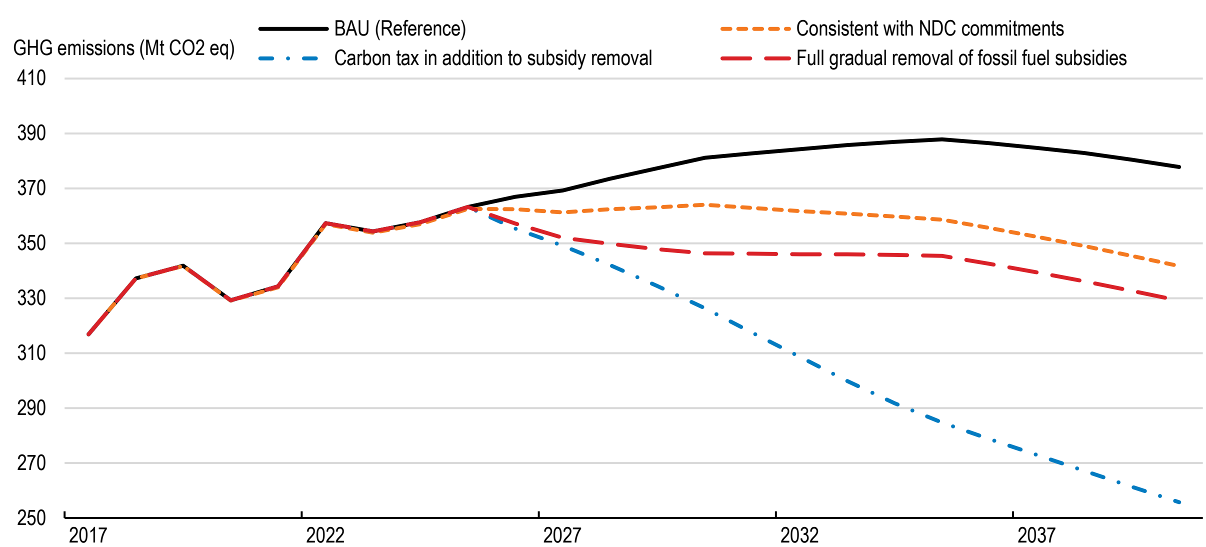
Source: OECD (forthcoming), Technical Background Paper: Analysis of the economic and environmental impacts of climate change mitigation in Malaysia.

Modelling simulations using the OECD ENV-Linkages model (Box 2.1) suggest that climate mitigation efforts will need to be significantly bolstered beyond the NDC 3.0 target in order for Malaysia to reach net zero GHG emissions by 2050 (Figure 2.9). The results show that under a scenario consistent with Malaysia's NDC-commitments (orange line), GHG emissions would peak by 2030 and reach a level 10% below the *business-as-usual* (BAU) scenario by 2040. Achieving this emissions trajectory does not require a full fossil subsidies removal. Removing fossil fuels completely, albeit gradually at first and with a full transfer to households (red line), would lead to a faster drop in emissions to almost 13% below the BAU scenario. A significant gap towards reaching net zero by 2050 would nonetheless remain. Only with the introduction of a carbon tax in addition to the full fossil fuel subsidy removal (blue line) would Malaysia be able to reach net zero by 2050. In the model, the carbon tax is applied on the power sector and energy-intensive sectors (iron and steel) and the resulting GHG emissions would be 32% below the BAU case by 2040. Under this scenario, half of the revenues from the carbon tax and the fiscal savings from the fossil fuel subsidies removal are invested into the electricity grid, supporting the green transition. In the latter two scenarios, the share of renewables in the electricity mix rises strongly, led by an expansion of installed solar capacity by 58% by 2050 with a carbon tax.

The results of these simulations suggest scope for more ambitious climate mitigation action with only moderate increases in carbon prices. Given the low relative cost of renewables in Malaysia, accelerating emission reductions up to 2040 through a more marked shift towards renewables would not have significant effects on energy affordability for households, but it would require additional investment into the grid and renewable energy generation capacity. Much of the fiscal resources from fossil fuel subsidy savings and the carbon tax could be used to finance this investment while still compensating households to avoid any real income losses. In addition to environmental impacts, the modelling results find positive effects on macroeconomic and social outcomes under both policy scenarios, including a positive impact on consumer welfare and GDP.

Figure 2.9. Reaching net zero will require higher carbon prices

GHG emissions under different policy scenarios, Mt CO_2e



Note: See Box 2.1 for a description of the model and the underlying policy scenarios.
Source: OECD analysis.

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Table 2.1. Past recommendations on climate challenges

Recommendations in the previous Survey (August 2024)	Actions taken since
Develop a long-term low emissions development strategy.	Malaysia finalised its Long-Term Low Emissions Development Strategy (LT-LEDS) in May 2025.
Phase out fuel subsidies and introduce carbon pricing through a carbon tax or emission trading scheme, protecting vulnerable households with targeted transfers.	Some limitations on fuel subsidies have been put in place. Policy plans to introduce a carbon tax and a mandatory carbon market have been developed and are yet to be implemented. A voluntary carbon market has been initiated.
Further encourage the expansion of renewable energy sources. Streamline licensing procedures and expand the use of auctions.	Expansion of renewable energy continues with existing market mechanism such as Large-scale Solar, Corporate Renewable Energy Supply Scheme, Community Renewable Energy Aggregation Mechanism, rooftop solar and feed-in-tariff. Malaysia has introduced an auction for renewable energy exports under Energy Exchange Malaysia.
Develop a disaster risk financing and insurance strategy and create stable framework conditions for flood insurance.	A pilot scheme for flood insurance for paddy producers has been established.

Table 2.2. Policy recommendations

MAIN FINDINGS	RECOMMENDATIONS (Key ones in bold)
Climate Adaptation	
Climate adaptation policies remain fragmented across different sectoral strategies and institutions.	**Finalise and publish the National Adaptation Plan (MyNAP), which will consolidate the governance of climate adaptation policies.**
Climate change is projected to intensify the frequency and intensity of natural hazards such as floods, heatwaves and sea-level rise.	Integrate climate risk assessments systematically intro infrastructure planning, land-use policies and disaster risk management framework.
Climate risk information, hazard mapping and data availability remain uneven across regions and sectors, limiting the ability of businesses to anticipate climate risks.	**Improve the availability and accessibility of climate risk data, including high-resolution flood risk maps and climate projections.**
Natural disasters can generate large fiscal costs, while insurance coverage against climate risks by either private or public entities remains limited among households and businesses.	**Expand natural hazard insurance coverage by improving risk awareness and offering financial assistance to most vulnerable groups and sectors. Consider mandating property insurance policies to include natural hazard coverage.**
Climate adaptation will require substantial investment in resilient infrastructure and ecosystem protection, while private investment in adaptation remains limited.	Scale up adaptation financing by prioritising resilient infrastructure investment, mobilising private capital through green finance instruments and integrating climate resilience into public investment frameworks.
Natural ecosystems such as mangroves, wetlands and forests provide important protection against floods, storm surges and coastal erosion but remain under pressure from land-use changes.	Expand nature-based solutions by protecting and restoring mangroves and other natural ecosystems and integrating ecosystem-based approaches into flood management and coastal protection strategies.
Climate Mitigation	
Petrol prices continue to be subsidised, while the absence of a carbon pricing framework weakens incentives to reduce emissions.	**Move from subsidising fossil fuels towards a carbon pricing strategy, while protecting vulnerable households through targeted transfers.**
Fossil fuels continue to dominate Malaysia's energy mix and faster deployment of renewable energy will be needed to reach the targets set in the National Energy Transition Roadmap. Grid constraints and regulatory barriers limit the expansion of renewable electricity generation.	Accelerate the decarbonisation of the power sector by expanding renewable energy deployment, strengthening electricity grid infrastructure and improving regulatory frameworks to facilitate private investment in renewable energy.

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3 Boosting productivity through openness, smarter regulation and digitalisation

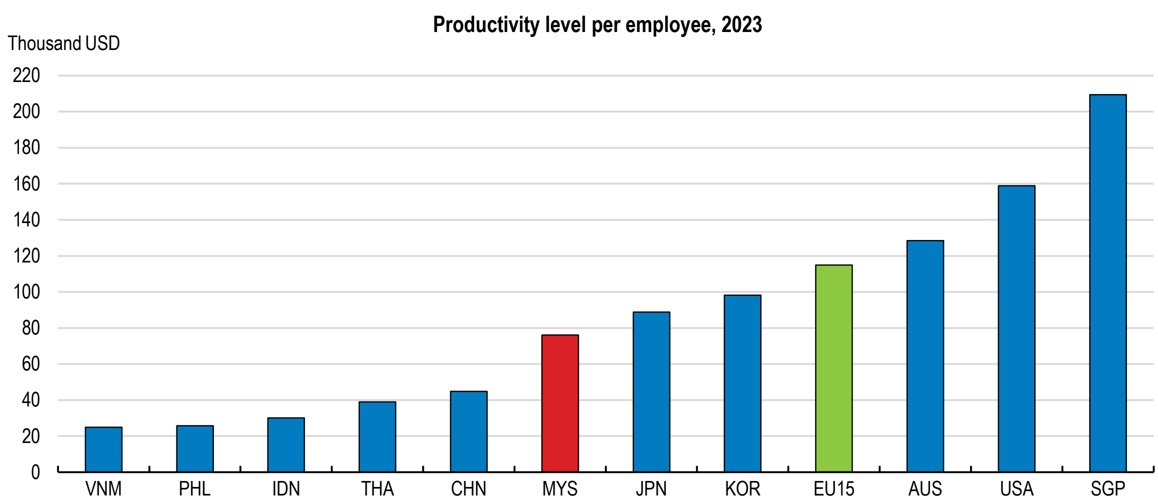
Vincent Koen

Malaysia's productivity level is high compared to most regional peers, but its growth rate has fallen short of the country's targets in recent years. This gap, along with a mounting demographic challenge, calls for stepping up structural reform and digitalisation efforts. Regulatory and institutional barriers remain significant, as reflected in the latest OECD product market regulation indicators. While the business environment has improved, regulatory complexity and skills shortages continue to hinder innovation and firm growth. This chapter examines the need to reduce regulatory bottlenecks, streamline public governance, and enhance digitalisation to boost productivity. It shows there is room to improve foreign direct investment policies and to lower domestic barriers for businesses, including by ensuring more of a level playing field between public and private enterprises. Strengthening anti-corruption frameworks and leveraging digital tools for governance are critical for the success of these reforms.

3.1. Productivity growth has fallen short of targets

Sustained and vigorous productivity growth is key to continue to improve living standards, and even more so in the face of forthcoming demographic pressures, as underscored in Malaysia's successive five-year plans. Notwithstanding sizeable gains, and a level of labour productivity that compares favourably with most regional peers (Figure 3.1), its growth rate has fallen short of target during the past two five-year plans (2016-20 and 2021-25), and like elsewhere (OECD, 2025b) has trended down over time (Figure 3.2). The slowdown partly reflects the fact that Malaysia has been converging towards the productivity frontier of the most advanced economies, leaving less scope for further gains from this process. Even so, the Thirteenth Malaysia Plan (2026-30) targets 3.6% average annual growth for labour productivity, and the government's Malaysia Digital Economy Blueprint aims at a 30% increase in the level of labour productivity over the 2020s as a whole.

Figure 3.1. The level of productivity is higher than in most peer countries



Note: This measure is defined as GDP at constant basic prices per worker, evaluated in US dollars using 2021 purchasing power parities (PPP), reference year 2023, based on the official national accounts in each country.
Source: Asian Productivity Organisation, APO Productivity Database 2025.

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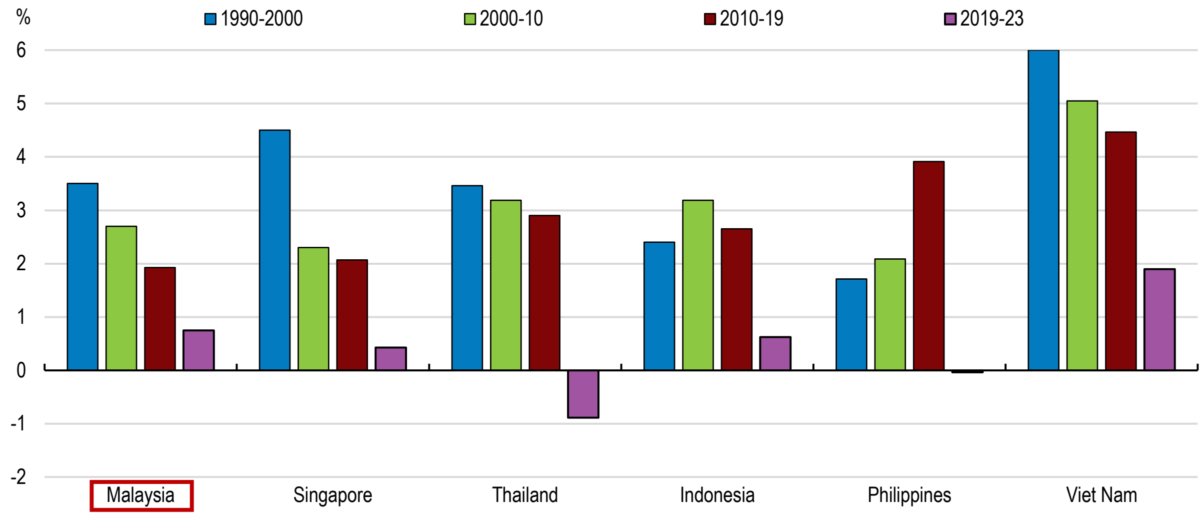
Productivity performance is conditioned by the pace and quality of physical and human capital investment, and incentives to invest are themselves influenced by the regulatory environment, against the backdrop of a turbulent and uncertain global context (see Chapter 1). The regulatory environment is also key for ensuring that competition can channel resources to high-performing firms, as restrictive regulations can act as market entry barriers and hamper competition. Indeed, the recently compiled results of the OECD product market regulation (PMR) indicator for Malaysia (Box 3.1) point to further scope for improving regulations. Malaysia's overall score of 2.74 in 2026 implies that Malaysia's regulations are less conducive to competition than in the OECD average (Figure 3.3). The PMR indicator suggests some but limited progress since 2020, when the overall score was 2.83 when applying the same methodology. The progress between 2020 and 2026 is approximately equivalent to the current difference between Malaysia and South Africa on this indicator and may reflect recent reform initiatives including those envisioned in the Thirteenth Malaysia Plan.

Figure 3.2. Productivity growth has trended down



Note: Annual average growth rates. Labour productivity is defined as GDP per worker. The cut-off year for the latest decade is 2019 so as to minimise the distortion entailed by the 2020 COVID-19 shock.
Source: Asian Productivity Organisation, APO Productivity database 2025.

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Box 3.1. The OECD's product market regulation indicator

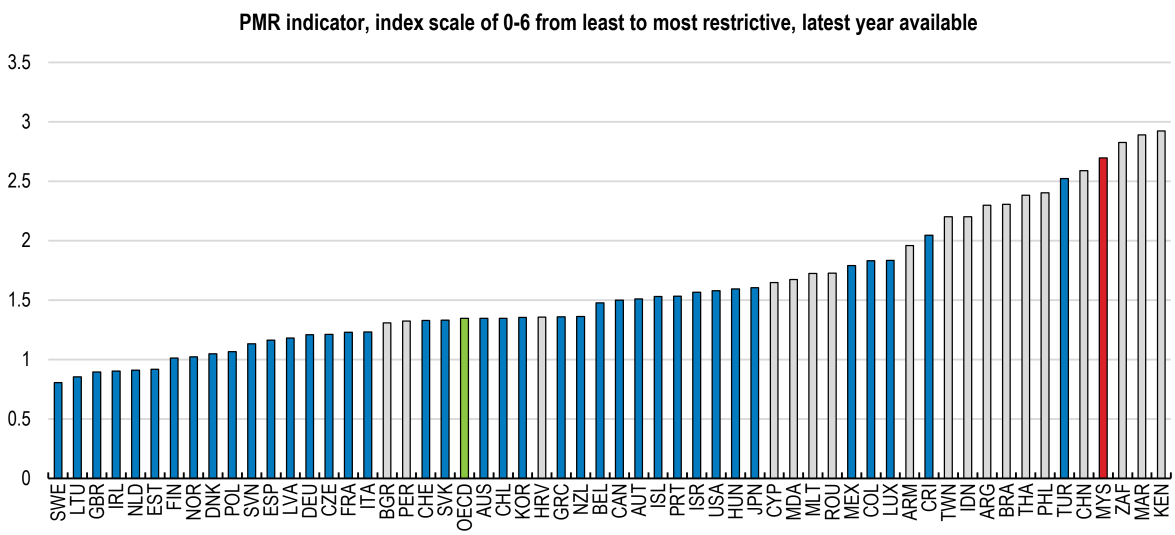
The PMR indicator is a composite indicator measuring distortions to competition that can be induced by regulatory barriers to entry and expansion faced by firms across the economy, as well as by the involvement of the state in the economy. The PMR indicator relies on a qualitative dataset of laws and regulations that are in place in the surveyed countries at a specific point in time and assesses them against internationally accepted best practices. This approach ensures that the results reflect the 'de jure' policy settings, instead of the subjective assessments by market participants or country authorities. This enhances the comparability of the results, as it eliminates potential discrepancies in the evaluation of similar regulations across different geographic and temporal contexts. This qualitative information is turned into quantitative values by scoring against internationally accepted best practices. The scores range from 0 for the most competition-enhancing regulatory approaches to 6 for the least competition friendly. They are compiled for each of 15 regulatory domains and then averaged, following a pyramidal structure, until a single economy-wide value is attained, as shown in Figure 3.3. The PMR data for Malaysia reflect the situation in Peninsular Malaysia as of 1 January 2026. The 2020 PMR data for Malaysia appearing in the previous two OECD Economic Surveys of Malaysia (OECD 2021a, 2024a) showed an overall score of 2.54 based on the methodology used during the previous PMR round. When recalculated based on the latest PMR methodology, the 2020 score comes out at 2.83.

Source: OECD.

A recent Malaysian Business Productivity and Operations Survey conducted by the Malaysia Productivity Corporation (MPC, 2025) sheds light on some critical bottlenecks: 95% of surveyed firms reported persistent skills shortages, and only 56% were satisfied with the skill set of graduates from the education system, a skills mismatch that limits firms' ability to innovate, to adopt emerging technologies and to scale up. Moreover, echoing the findings for OECD countries presented in the recent Simplifying for Success Survey (OECD, 2025d), half of the respondents identified regulatory compliance as a major constraint, especially due to the complexity and overlap of existing regulations, an issue felt most acutely by micro and small and medium-sized enterprises (MSMEs). One third of firms also pointed to inadequate internet infrastructure as a hurdle.

This chapter focuses on how addressing regulatory chokepoints and advancing digitalisation can boost productivity in the public sector and economywide. Other important drivers of productivity, discussed in the previous *OECD Economic Survey of Malaysia* (OECD, 2024a), include facilitating the transition from lower-productivity, informal to higher-productivity, formal jobs; narrowing the digital divide separating large firms from MSMEs and rural enterprises; improving education and lifelong training, as also explored in greater depth in Chapter 4 of this Survey; and raising the quantity and quality of spending on research and development, which is low in Malaysia, at only around 1% of GDP. This chapter first highlights some of the regulatory barriers that may still hold back greater foreign investment in Malaysia and cross-border trade. It then turns to domestic barriers to firm creation and competition and discusses the role of government-linked companies and the need to ensure a level playing field for private firms. The subsequent sections focus on the need to streamline public governance, to leverage digitalisation to enhance the efficiency and overall performance of the public sector, and to continue to combat corruption and money laundering.

Figure 3.3. Malaysia has ample scope to make regulation more competition-friendly



Note: Other non-OECD member countries are shaded in grey. The PMR scores are for Peninsular Malaysia.
Source: OECD 2023-25 PMR indicators for comparator countries; OECD 2026 PMR indicators for Malaysia.

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3.2. Lifting remaining regulatory barriers at the border

Foreign direct investment (FDI) inflows into Malaysia bounced back after the COVID-19 crisis but vary over time and across sectors. The stock of FDI has expanded considerably in recent years, not least owing to large foreign investments in data centres (UNCTAD, 2025), notably but not only by leading US and Chinese firms. The latter have expanded operational capacity in Malaysia, particularly in cloud computing, data management, artificial intelligence, and digital content services. The rise in the FDI stock also reflects numerous initiatives by the Malaysian Investment Development Authority, a number of which are listed in the 2021 OECD *Economic Survey of Malaysia* (OECD, 2021a). More recent ones include:

- The establishment in 2023 of the Invest Malaysia Facilitation Centre, a one-stop centre seeking to expedite various approval processes, with a streamlined experience for businesses. It brings together key ministries and agencies, such as the Inland Revenue Board of Malaysia, the Immigration

Department of Malaysia, the Royal Malaysian Customs Department, the Malaysian Communications and Multimedia Commission, the Department of Labour Peninsular Malaysia, the Tenaga Nasional Berhad and Telekom Malaysia Berhad.

- The Golden Pass scheme introduced in 2024 to attract unicorn start-ups and venture capitalists, facilitating visa, employment and licensing procedures.
- The launch in 2024 of the InvestMalaysia portal, a platform providing investors with economic insights and connecting them to relevant government agencies.
- The introduction of the Investor Pass in 2025, aimed at streamlining entry for foreign investors and enhancing ease of doing business. As an upgrade to the conventional Social Visit Pass, the Investor Pass allows a stay of up to six months, extendable for another six months, and includes a Multiple Entry Visa, improving flexibility compared to the typical 14-90 day single-entry arrangement.

FDI in sectors other than the digital economy and electrical and electronics manufacturing has been less dynamic, however, with Malaysia facing stiff competition from Viet Nam for manufacturing and from Singapore for financial services.

One factor holding back FDI is the comparatively restrictive regime applying to foreign equity holdings in certain sectors (Figure 3.4), which translates into only 19% of Malaysian equities being foreign owned as of mid-2025, down from a peak of 25% 12 years earlier. While foreign ownership is allowed up to 100% in manufacturing for new projects or expansions, caps apply in other sectors, at 70% telecommunications and 49% for power and utilities. For the financial sector, all shareholding and licensing applications are assessed on a case-by-case basis, taking into account, among others, "best interest of Malaysia" considerations under the Financial Services Act and Islamic Financial Services Act 2013. Existing foreign ownership is at 30% in commercial banking (among the lowest in the region), 70% in investment banking, Islamic banking and insurance, whilst foreign equity participation in a locally incorporated foreign bank is at 100%. In agriculture and plantations, restrictions apply, with often a minimum Malaysian or Bumiputera (indigenous Malaysian) equity participation (Box 3.2). In real estate, there are state-level restrictions for certain land categories. Caps apply for private hospitals and clinics. In oil and gas, joint ventures are common but local participation is mandatory in upstream activities. The Ministry of Investment, Trade and Industry has been evaluating the possibility of relaxing foreign equity caps in strategic sectors as part of negotiations with the United States to avoid tariff hikes, but no major changes had been implemented by the end of 2025. Higher foreign entry in restricted sectors might facilitate knowledge transfer and greater competition from foreign players might spur innovation and benefit consumers. An appropriate mechanism to review inbound foreign investment with the goal of safeguarding national security concerns could help to ensure consensus for a more open investment climate.

Box 3.2. Malaysia's policies to improve the economic status of Bumiputera

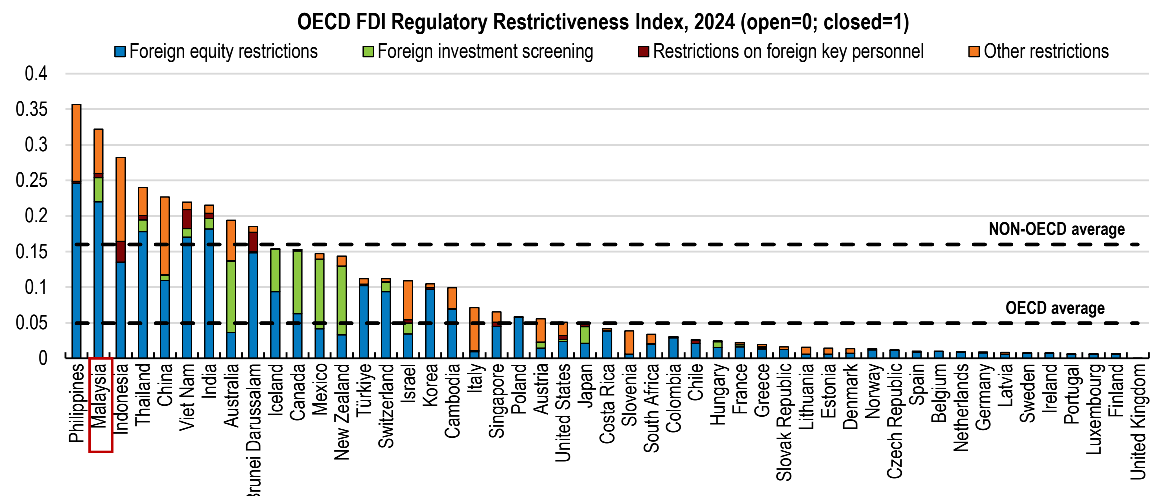
In 1971, Malaysia launched the New Economic Policy (NEP) to promote national unity and foster nation-building by eradicating poverty. It also aimed to restructure society by improving the well-being of Bumiputera (literally "sons of the land"), which refers to the Malays and indigenous people. Bumiputera accounted for 63% of Malaysia's population in 2023, with smaller population shares accounted for by ethnic Chinese (20%), ethnic Indians (6%) and foreigners (10%). The Bumiputera agenda remains a central pillar of national policy, aiming to strengthen Bumiputera participation and achieve fair, equitable and inclusive growth across the country.

With respect to merchandise trade, Malaysia has sought to broaden its network of bilateral and regional free trade agreements (FTAs), advancing integration on multiple fronts (Chen et al., 2025; Petri et al., 2021; Ledezma and López-Villavicencio, 2023). The Regional Comprehensive Economic Partnership (RCEP) entered into force for Malaysia in 2022, complementing its status as an original signatory of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP). The United Kingdom's accession to CPTPP in

December 2024 further broadened preferential access for Malaysian exporters through this plurilateral framework. In 2025, discussions about an EU-Malaysia FTA resumed, while Malaysia signed an Economic Partnership Agreement with European Free Trade Association members and a Comprehensive Economic Partnership Agreement with the United Arab Emirates. Furthermore, an FTA with Korea was announced in October 2025, supplemented by a Memorandum of Understanding on Strategic Cooperation on Supply Chains, recognising the importance of deepening cooperation on economic security and supply chain resilience. Alongside these FTAs, Malaysia also participates actively in the Indo-Pacific Economic Framework for Prosperity that was launched in 2022.

These agreements have contributed to productivity by deepening Malaysia's integration into global value chains (GVCs), facilitating technology and knowledge transfer via increased FDI and trade in intermediate goods, and heightening competitive pressures that encourage firms to upgrade. Participation in RCEP and CPTPP has reduced trade costs across a wide set of partners, enabling Malaysian manufacturers and service providers to source higher-quality inputs and export more complex products, a channel linked in empirical research to productivity improvements through GVC participation and FDI spillovers.

Figure 3.4. The FDI regime is fairly restrictive, largely reflecting foreign equity restrictions



Note: The OECD FDI Regulatory Restrictiveness Index measures statutory restrictions on foreign direct investment as a weighted average of all 22 sectoral scores, using common sector weights across countries to ensure that any variance in scores is due to policy differences, not differences in sectoral weights. Foreign equity restrictions limit the extent of foreign ownership that is permitted in companies or in the aggregate of companies in a given sector. Other restrictions include approval requirements of varying scope that discriminate against foreign investors; rules that completely prohibit the appointment of key foreign personnel or impose nationality requirements for the board of directors; reciprocity requirements; restrictions on profit or capital repatriation establishment of branches not allowed or local incorporation required, restrictions on access to local finance, discriminatory minimum capital requirements; discriminatory local content requirements; preference to locally-owned firms in government procurement offers; and restrictions on access to land or real estate.
Source: OECD FDI Regulatory Restrictiveness Index database, 2024.

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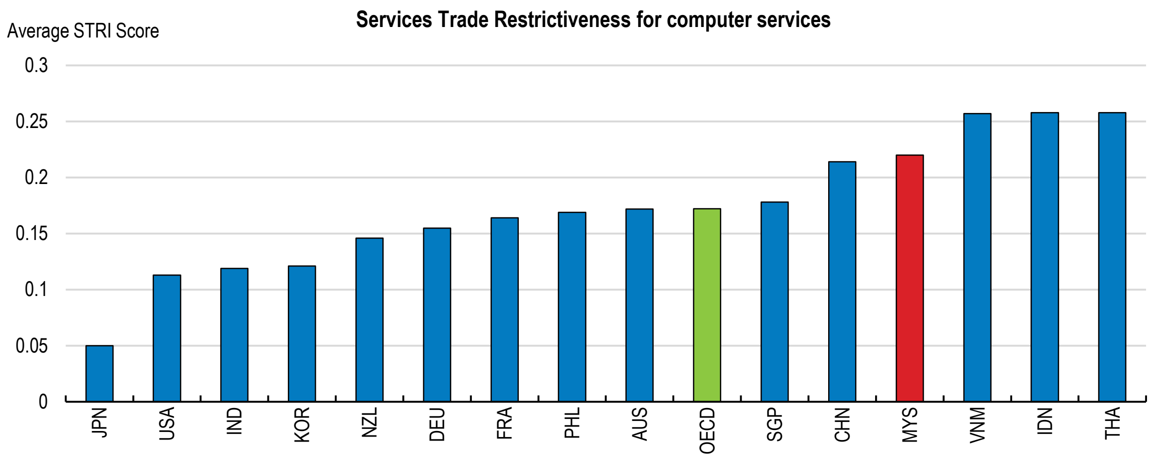
Based on the OECD Services Trade Restrictiveness Index, Malaysia's openness to and successful integration into merchandise trade has not been matched by its performance in services trade. Focusing on one of the key areas for digitalisation, Malaysia maintains certain restrictions on the trade of computer services, requiring foreign firms to incorporate locally or register a branch to provide digitally-enabled services. This limits cross-border supply and imposes compliance burdens, contributing to Malaysia's relatively high score on the OECD Services Trade Restrictiveness Index (Figure 3.5). These barriers also hinder cross-border data flows, constraining the development of cloud services, artificial intelligence (AI), and other digital solutions, and ultimately slowing integration into global digital value chains. To strengthen Malaysia's position as a regional digital hub, entry requirements for foreign service providers could be eased, thereby fostering greater competition and innovation in the digital economy.

Figure 3.5. Restrictions on trade in computer services remain



Note: The STRI score take values between zero and one, with one indicating the most restrictive trade environment. The indices are based on the laws and regulations in force as of 31 October of the relevant year.
Source: OECD Services Trade Restrictiveness Index, 2025.

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3.3. Addressing domestic hurdles

As documented in the previous OECD *Economic Survey of Malaysia* (OECD, 2024a), regulations affecting product markets have long been relatively restrictive, limiting competition and entry. The PMR sub-indicator for licenses and permits suggests that they remain high in Malaysia, with a score of 5.0 as against an OECD average of 2.2. Compliance costs associated with licenses and permits, once estimated at 2.3% of GDP (OECD, 2024a), fall disproportionally on smaller firms and can be an obstacle to formalisation. Further regulatory reforms could ease these barriers and strengthen growth, especially in services such as retail trade, where price ceilings on essential goods limit competition, and in the logistics sector.

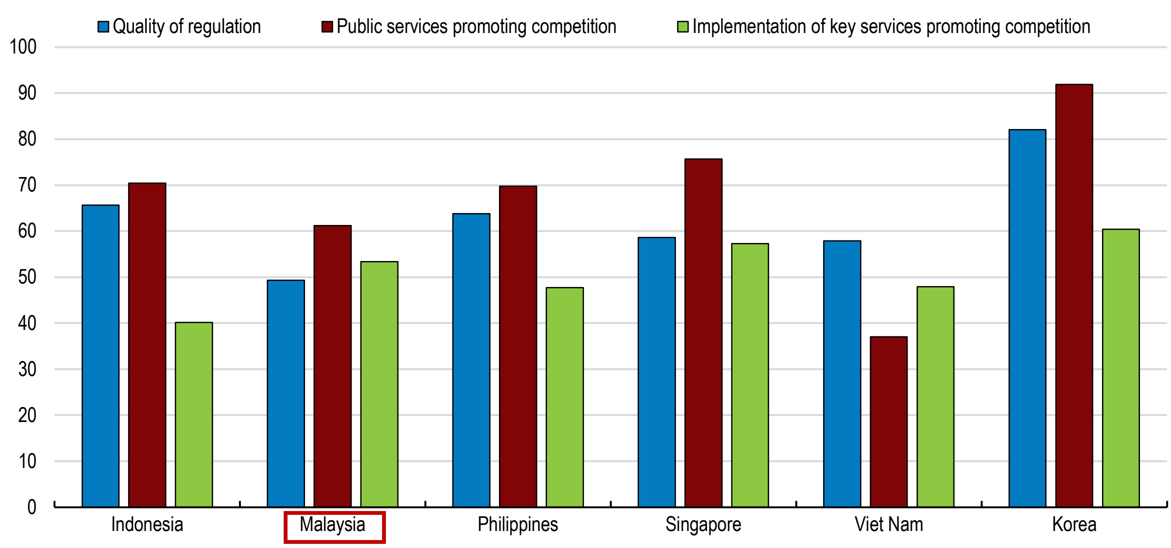
Malaysia's ranking on business legislation in the World Competitiveness Yearbook (IMD, 2025) has drifted downwards from the 20s in the 2000s to the mid-40s in recent years. An improvement was recorded in 2025, however, reflecting efforts to reduce procedural delays and compliance costs under the aegis of the *Reformasi Kerenah Birokrasi* initiative and of the broader Public Service Reform Agenda, coordinated through the Special Task Force on Agency Reform (MPC, 2025). One striking example is the acceleration of business licensing approvals. These used to take five to ten days but with the introduction of the *e-Lesen* digital platform they are now issued within 24 hours.

More generally, the Government Service Efficiency Commitment Act 2025 creates a comprehensive inventory of all regulatory instruments to establish accurate baseline measurements of compliance costs. All ministries and government entities must develop targeted simplification plans to revise their existing rules, streamline processes, remove or amend problematic regulations and leverage digital tools where appropriate to ensure efficiency. Furthermore, the new framework now requires the mandatory review of all regulatory instruments every three years, to check their ongoing relevance in a context of rapid technological change, focusing on those with high compliance costs or outdated provisions. Under the Act, the objective is to reduce the regulatory burden by 25% within three years, in line with similar targets set in the Netherlands and Denmark (OECD, 2025a). Furthermore, a one-to-one regulatory principle is introduced stipulating that any new regulation must be offset by the repeal of an existing one, albeit without taking into account the costs and benefits associated with the new and repealed regulations.

In line with the recommendations set out in earlier OECD *Economic Surveys of Malaysia* (OECD, 2021a, 2024a), the Thirteenth Malaysia Plan proposes several key amendments to the Competition Act 2010 to strengthen market regulation and curb anti-competitive practices, notably a unified legal framework to regulate competition across all industries, including communications, civil aviation, and energy. It also proposes enhanced powers for the Malaysia Competition Commission to investigate and act against cartel and monopoly practices; the introduction of a merger control regime; and new mechanisms to detect bid-rigging and cartel behaviour before procurement processes conclude. These reforms would address weaknesses highlighted in the recent *Business Ready 2025* diagnosis (World Bank, 2025b) and are important to ensure open and fair economy-wide competition (Figure 3.6). So far, amendments to the Competition Act 2010 are being undertaken in two phases by the Malaysian Competition Commission. The first phase focuses on enhancing the Commission's existing investigative and enforcement powers. These reforms are intended to address existing gaps and loopholes, ensuring better enforcement of competition law domestically. The second phase will seek to centralise competition powers as well as to introduce a merger control regime through further amendments to the Competition Act 2010 and by revisiting and updating relevant laws under sectoral regulators. Centralising competition powers is essential to ensure uniform, coherent, and effective application of competition law across all sectors in Malaysia.

Figure 3.6. The regulatory framework for market competition can be improved

Higher scores denote better performance



Note: Thailand is not covered yet in Business Ready. It will be from 2026.
Source: World Bank, *Business Ready 2025*.

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Like in a number of other Southeast Asian countries, price controls remain prevalent in Malaysia for some key goods such as fuel, cooking oil and staple foods like sugar and flour (particularly during festive seasons), aiming to shield consumers from price volatility and ensure affordability. To wit, the PMR sub-indicator capturing retail price controls and regulation stands at 2.4, versus an OECD average of 1.1. Indonesia and the Philippines make wider use of price controls, with scores of 3.0 for each of them, but Thailand has a significantly lower score of 1.5. While they provide short-term relief, they tend to distort market signals, discourage investment, and create inefficiencies that undermine competition and long-term consumer welfare. For instance, fuel price caps reduce incentives for energy efficiency and alternative energy development, while subsidised cooking oil has led to shortages and cross-border smuggling. Similarly, controlled sugar prices contribute to overconsumption and health risks. Blanket price controls should be phased out and replaced by targeted subsidies for vulnerable households, while enhancing price transparency and preventing collusion through real-time monitoring and mandating the Competition Commission to curb any anti-competitive practices when controls are lifted. This is indeed what has started to be done, but only to a very limited extent so far, with the BUDI95 scheme for petrol and quota-based diesel subsidies (see Chapters 1 and 2). As well, price controls on eggs were lifted mid-2025. In the medium term, the targeted subsidies could be replaced by targeted transfers, once further progress on the social safety net has been made (Chapter 1).

In the logistics sector, reviewed in an OECD *Competition Assessment* (OECD, 2021b), room for regulatory progress remains, notably with respect to the road freight transport sector. Capital requirements are still in place and disproportionately affect MSMEs without necessarily ensuring safety. The OECD recommendation to unify cargo and container licences has not been implemented. In the domestic shipping market, where applications for special permits were burdensome, a single window started to be rolled out nationwide in 2025, including all major ports as well as ports in Sabah and Sarawak. User adoption has been strong, with operators across all ports effectively utilising the system, contributing to improved efficiency, transparency, and turnaround times. However, certain regulations governing ship clearance and permit issuance may require further updates to facilitate fully digital processes, and a review is underway to ensure legal consistency and strengthen the mandatory use of the single window across all ports and agencies.

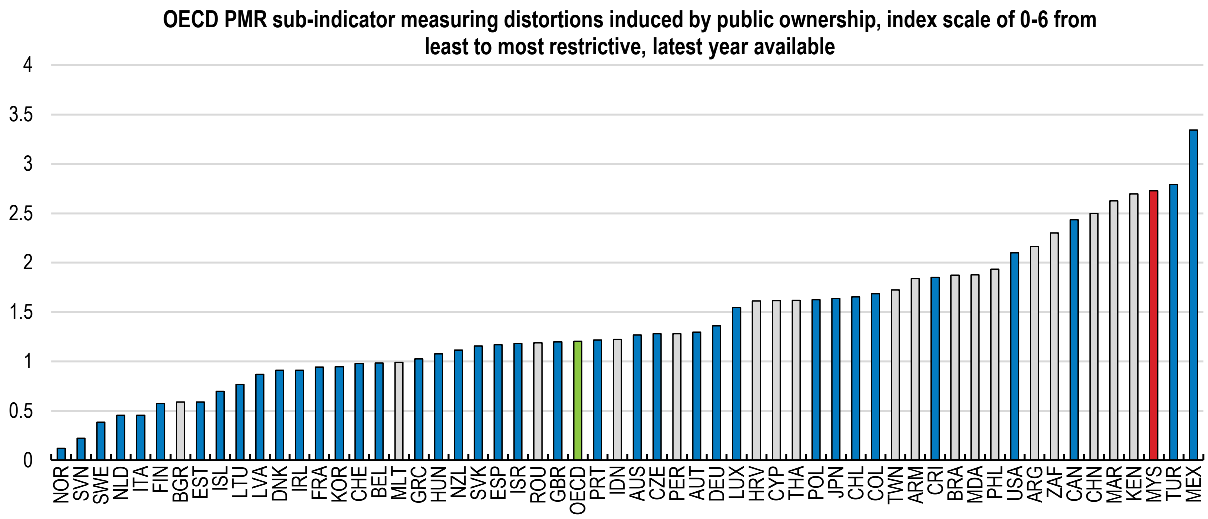
A more effective insolvency framework would support productivity growth and business dynamism by facilitating the timely restructuring of viable firms and the orderly exit of non-viable ones. Malaysia has made progress in recent years, notably through the introduction of corporate rescue mechanisms under the Companies Act 2016, which have improved recovery prospects and reduced resolution times, as noted in the 2024 *OECD Economic Survey of Malaysia* (OECD, 2024a). However, important weaknesses remain. The World Bank's Business Ready 2025 indicators show that Malaysia compares unfavourably to many regional and OECD peers on business insolvency, reflecting gaps in regulatory quality, the effectiveness of insolvency services and the overall efficiency of procedures. Further reforms should aim to reduce the stigma and long-term economic costs of business failure by better differentiating between honest and fraudulent bankruptcies, easing restrictions on post-insolvency entrepreneurship and access to finance (getting a bankruptcy discharge to be able to start a new venture is a long and arduous legal process), and expanding asset exemptions for individuals. Strengthening creditor rights and transparency in insolvency proceedings, including clearer rules on information disclosure and creditor involvement in key decisions, would enhance confidence and improve outcomes. Aligning the framework more closely with international best practice, including in cross-border insolvency, would further support investment, improve capital reallocation and enhance Malaysia's medium-term growth prospects. Work on this front has started in 2025 with the creation of a Cross-Border Insolvency Working Committee tasked to review the adoption of the United Nations Commission on International Trade Law Model Law on Cross-Border Insolvency and to recommend a standalone act for cross-border insolvency in Malaysia.

3.4. Ensuring a more level playing field

Government-linked companies (GLCs) and government-linked investment companies (GLICs) – in which ownership gives the State control – continue to play a major role in the Malaysian economy, hindering competition, as underlined in the previous OECD *Economic Survey of Malaysia* (OECD, 2024a). This is reflected in the PMR sub-indicator measuring the scope and governance of state-owned enterprises (Figure 3.7), which stands at 2.7 as against an OECD average of 1.2 and scores of 1.2 for Indonesia, 1.6 for Thailand and 1.9 for the Philippines. The legacy of the New Economic Policy and its Bumiputera empowerment objectives has entrenched GLC dominance in strategic sectors, often at the expense of private initiative. To foster a more dynamic business environment, Malaysia should adopt competitive neutrality principles, ensuring that GLCs operate on equal terms with private firms, particularly in government procurement and access to finance.

Strengthening the Malaysian Competition Commission's mandate to enforce antitrust rules in sectors where GLCs and MSMEs overlap would further level the playing field.

Figure 3.7. Distortions induced by public ownership are high



Note: Malaysia is shaded in red, while other non-OECD member countries are shaded in grey. The PMR scores are for Peninsular Malaysia. The PMR captures the GLCs but not the GLICs.
Source: OECD 2023-25 PMR indicators for comparator countries except for the Philippines (2022 indicator); OECD 2026 PMR indicators for Malaysia.

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Governance weaknesses in GLCs exacerbate market distortions and undermine investor confidence. Despite commitments under the Twelfth and Thirteenth Malaysia Plans to strengthen governance, political appointments and opaque decision-making persist. As documented in the Auditor General's 2024 report, strategic decisions, including major investments and procurement, are often made without proper board approval, and financial reporting lacks transparency. Political appointments continue to undermine accountability and corporate governance standards. These practices have contributed to recurring losses and ineffective risk management. Aligning governance frameworks with OECD *Guidelines on Corporate Governance of State-Owned Enterprises* (2024d) — through merit-based board appointments, cooling-off periods for politicians, and mandatory disclosure of financial and procurement decisions — would help professionalise GLCs and reduce political influence and corruption (see Table 3.2 further down).

While MSMEs also benefit from state support – through grants, tax incentives, and capacity-building programmes – the asymmetry in resources and influence remains stark. Besides, state support for MSMEs is delivered through a large and fragmented institutional landscape. In 2024 alone, 325 entrepreneurship and MSME development programmes (Bernama, 2025) were implemented by 14 federal ministries, more than 50 agencies, and all 13 state governments. This dispersion has contributed to overlap, duplication and administrative complexity, creating confusion for MSMEs seeking support. Strengthening coordination and consolidating public support programmes therefore remains an important policy priority. Notwithstanding a number of new measures to further assist MSMEs, progress in this regard has been uneven (Table 3.1).

Ownership restrictions have also emerged in the context of Malaysia's policies to advance the economic empowerment of the Bumiputera population (Box 3.2). Affirmative action measures aimed at improving Bumiputera participation in the economy have historically relied on ownership quotas and preferential treatment in public procurement and licensing. While these policies have expanded Bumiputera representation in corporate ownership, they can also distort market signals and diminish efficiency. More market-friendly approaches, based on experience elsewhere (Box 3.3) could include targeted capacity-building programmes, skills upgrading, and access-to-finance schemes that are transparent and performance-based rather than ownership-based. For example, competitive grant schemes, open innovation funds, and supplier development programmes linked to clear productivity benchmarks could help Bumiputera firms scale without undermining competition. Digital platforms for procurement and MSME financing could also ensure equal access while maintaining affirmative action objectives through transparent scoring systems rather than discretionary exemptions.

Table 3.1. Past recommendations on MSMEs and GLCs and actions taken

Recommendations in the previous *Survey* (August 2024)	Actions taken since
Streamline and consolidate MSME programmes to reduce duplication, increase efficiency and reduce confusion among the beneficiaries.	While the number of MSME programmes has not been reduced, a single window is assisting MSMEs in navigating support options.
Use carefully designed evaluations to compare the performance of supported firms against a control group of firms not receiving support to evaluate the effectiveness of MSME programmes.	No public information about any action taken.
Create firm-neutral, growth-episode friendly framework conditions that enable the creation and expansion of MSMEs.	The Government Service Efficiency Commitment Act 2025 mandates government entities to reduce regulatory burdens.
Identify the characteristics that contribute to the scaling up of Malaysian MSMEs and use them to guide MSME policy.	The government has identified key scaling attributes – high-value sectors, exports, B2B linkages, ESG adoption - within the official 2025 MSME Survey. It targets a tripling in the number of medium-sized firms as a share of the total number of MSMEs to 5% by 2030 with structured support through initiatives around green, digitalisation, export-readiness, and entrepreneurship capacity.
Ensure an adequate digital infrastructure through stronger competition by preventing anti-competitive M&As and relaxing foreign entry restrictions.	Parliament approved amendments to the Competition Act 2010, enabling the Malaysia Competition Commission to scrutinise M&As across all sectors which lacked such oversight before.
Increase access to digital services for vulnerable and rural populations to narrow the digital divide.	Phase 2 of the rollout of the National Digital Network started in late 2025, with solar-powered sites and satellite connectivity for remote areas, funded by the Universal Service Provision Fund, which targets underserved rural communities. New National Information Dissemination centres (NADI) continue to be opened, offering AI literacy, online safety, and scam awareness training, notably in Sabah and Sarawak. Rural school connectivity upgrades have continued and MADANI MSME digital grants have been disbursed for e-commerce, digital tools, and payment systems.
Increase the share of young firms that benefit from guarantees and limit the time period over which firms can receive guarantees.	No action taken.
End the requirement that foreign firms register a branch in Malaysia in order to provide computer and other digitally enabled services and lengthen the permitted period of stay for foreign specialists.	Employment pass durations have been lengthened to up to five years for foreign specialists, but the branch registration requirement has not been modified.
Reduce the regulatory requirements on retail stores, including the price ceilings set on essential goods.	New obligations came into force in 2025 for retail stores concerning social security, display restrictions, non-smoking zones, and digital invoicing. Price ceiling schemes for essential goods were extended in 2025 to address cost-of-living pressures. The BLESS system has been put in place to reduce regulatory burdens for retail firms.
Introduce a standard application in a format that can be accepted by multiple agencies, establish "one-stop shops" and put paperwork on digital platforms.	In 2025, a standardised digital application system was established, accepted by multiple agencies, with SSM MyCoID for business registration and MyGOV Malaysia for unified government services.
Re-evaluate the costs and benefits of SOEs in sectors where the private sector is operating efficiently and create a more level playing field for MSMEs by improving SOE governance.	No action taken at the federal level, but in October 2025 Sarawak partnered with the World Bank to introduce a State Ownership Policy and Corporate Governance Code for SOEs, involving results-based budgeting, performance metrics, and measures to enhance transparency and accountability.
Increase transparency about the investments of the GLICs and gradually reduce their holdings.	In July 2025, the government mandated that CEOs of both GLCs and GLICs must declare their personal assets to the Malaysian Anti-Corruption Commission. There was no reduction in GLICs holdings.

Box 3.3. Affirmative action without distortion in South Africa, Canada and Australia

International experience offers models for achieving inclusion without undermining competition. South Africa's Broad-Based Black Economic Empowerment framework, for example, uses enterprise development scorecards and skills training incentives rather than blanket ownership quotas, encouraging firms to build supplier capacity and invest in workforce development. Canada's Indigenous Procurement Strategy sets clear targets for Indigenous-owned businesses in federal contracting but relies on transparent bidding and capacity-building rather than preferential pricing. Similarly, Australia's Indigenous Business Directory and mentoring programmes combine market access with performance-based support. These approaches share common features: transparent eligibility criteria, competitive processes, and emphasis on capability development rather than permanent structural advantages. Malaysia could adapt such mechanisms linking affirmative action to productivity benchmarks and innovation outcomes to broaden Bumiputera participation while preserving efficiency and contestability.

Source: OECD (2018, 2019, 2025e).

3.5. Stepping up the digitalisation of government and healthcare

Digitalisation is key to boost the productivity of the government sector and can help implement the aforementioned Government Service Efficiency Commitment Act 2025, in addition to being a useful tool to improve transparency, integrity and accountability (section 3.6), as well as to enhance interoperability, data governance, institutional coordination, and evidence-based decision-making. Malaysia has already made considerable strides over the past decade in this respect, in line with a broader international trend towards integrating digital identity systems, one-stop government portals and investor-facing digital platforms to streamline administrative procedures and improve service delivery, as seen for example in Mexico's recent reforms (OECD, 2026b). The rollout of MyGovCloud has sought to reduce duplication of ICT infrastructure and to help speed up the deployment of digital services. MyDigital ID makes it possible to streamline citizen authentication across an expanding range of services. As mentioned above, the e-Lesen digital platform has considerably compressed the time to approve business licenses. The Ministry of Finance's ePerolehan procurement platform enables end-to-end online procurement – from supplier registration and tender posting to order issuance, invoice processing, and payment – for government agencies and suppliers, reducing paperwork and mitigating corruption risks. The Ministry of Health's MySejahtera mobile app, which started as a COVID-19 containment tool facilitating surveillance, tracing, and vaccination, has become a broader digital health platform, supporting telehealth, patient record access, and health monitoring. The creation of a dedicated Ministry of Digital in late 2023 signalled a clear commitment to digital transformation as a lever for fiscal sustainability, service quality and integrity. Last but not least, the Data Sharing Act 2025 facilitates data sharing between government agencies while emphasising security.

Despite progress under the aegis of the Public Sector Digitalisation Plan 2026-2030, digitalisation remains uneven and fragmented, with ministries and agencies often developing parallel systems that cannot interoperate (World Bank, 2025a). This raises administrative costs, limits data reuse and weakens oversight. Strengthening common cloud infrastructure, enforcing whole-of-government data standards, and expanding secure data-sharing frameworks would allow systems to "talk" to each other, reduce duplication and enable once-only data collection. Policy priorities include clarifying data ownership and access rights, mandating interoperability standards for new digital investments, and empowering a central authority to arbitrate technical and institutional disputes. Given their scale, mandatory nature and long-term implications, major digital and regulatory initiatives more generally should be subject to systematic regulatory impact analysis to ensure that implementation is proportionate, transparent and sensitive to impacts on affected stakeholders. Such reforms would also enhance transparency and integrity by facilitating cross-checks and real-time monitoring across administrative silos and securing audit trails.

Digital transformation is unlikely to deliver sustained benefits without a stronger digitally capable public workforce (see also Chapter 4). Malaysia faces shortages of staff with advanced digital, data and cybersecurity skills, particularly outside central agencies, and high turnover undermines institutional memory. Recruitment and career paths need to be adapted, with greater flexibility in pay, lateral entry from the private sector, and specialist digital tracks. Performance management systems could place greater weight on outcomes such as service speed, data quality and user satisfaction. Integrity incentives should explicitly cover data ethics, cybersecurity practices and responsible AI use. Continuous training, communities of practice and secondments across federal and state administrations would strengthen skills while narrowing gaps between regions, notably in Sabah and Sarawak.

Monitoring the extent to which digitalisation delivers productivity and integrity gains requires better outcome-focused metrics. To date, progress has often been measured in terms of inputs (spending) or outputs (number of digitised services). A more robust framework would track outcomes such as reduced unit costs, faster processing times, lower error rates, increased competition in procurement, and improvements in user trust. Progress is being made on this score under the Public Sector Digitalisation Plan 2026-2030, whose targets include achieving an 85% Digital Trust Index and an 85% customer satisfaction rate. Publishing selected indicators and benchmarking performance across agencies and regions would strengthen accountability and help identify where reforms are most effective. The recently-introduced obligation for all agencies to formulate outcome-based targets rather than mere output metrics in their latest Agency Digital Strategic Plans goes in this direction. Independent evaluation and audit of major digital investments should become standard practice to ensure value for money.

The health sector illustrates both the scale of the opportunity and the complexity of digital transformation, as shown in a recent OECD cross-country study focusing on AI’s potential to boost productivity across sectors, including in health and social services (Filippucci et al., 2026). Health accounts for a large and growing share of public expenditure, with mounting pressures from an ageing population and a rising prevalence of chronic diseases, and costly inefficiencies arising from fragmented records, duplicated tests and weak coordination.

Malaysia provides public universal healthcare services, alongside private healthcare providers in a dual system. Initiatives such as MySejahtera, the Health Information Exchange pilot and hospital digitalisation efforts show the potential of digital tools to improve care coordination and productivity. However, siloed systems, uneven digital maturity across facilities, and concerns over data protection remain binding constraints. Priorities include mandating interoperable electronic medical records, clarifying governance for data access and use between federal, state and private providers, and strengthening cybersecurity and consent frameworks. As underlined in a recent OECD report on scaling AI in the health care sector (OECD, 2026a), carefully governed use of AI for transcription, co-ordination, diagnosis and treatment could further raise clinical productivity, provided it is accompanied by the requisite capacity building and accountability, equity and professional standards are preserved. Recent Malaysian success stories include using AI to analyse X-rays so as to speed up and sharpen diagnosis, allowing clinicians to prioritise urgent cases more effectively; and the automation of admissions and discharge processes, to reduce waiting times (MPC, 2025).

International experience suggests that sustained efficiency gains in health depend on strong institutions as much as technology. Countries such as Estonia and Denmark have paired national e-health platforms with clear legal frameworks, trusted digital identities and rigorous audit mechanisms (Box 3.4). Malaysia has started to adapt these lessons by reinforcing central stewardship of health data with the creation of a Digital Health Division; it could also use MySejahtera to adopt “once-only” data collection anchored in a trusted national digital ID and consent registry so information follows the patient while citizens retain control; invest more in digital capabilities at the facility level; and systematically measure the impact of digital health investments on costs, outcomes and integrity. Doing so would help ensure that digitalisation in health becomes a durable driver of public-sector productivity rather than a collection of disconnected pilots.

Box 3.4. Digital health as a driver of efficiency: lessons from Estonia and Denmark

Estonia illustrates how end-to-end digital integration can transform the efficiency of health service delivery while strengthening trust. Since the launch of the National Health Information System in 2008, nearly all healthcare providers have been connected through a single nationwide platform, enabling seamless and secure data exchange. With close to 100% of health records digitised and almost all prescriptions issued electronically, administrative duplication has been virtually eliminated and clinical decision-making accelerated. Patients can access their full medical history online, manage prescriptions, and monitor who has accessed their data, reducing unnecessary visits and improving adherence to treatment. The use of blockchain technology to secure records has reinforced data integrity and accountability, lowering the risk of errors or misuse and reducing costly verification processes. Efficiency gains are further amplified by Estonia's integration of genomic data into the Health Information System, which supports more targeted diagnoses, prevention and treatment, reducing avoidable interventions and improving the allocation of health resources.

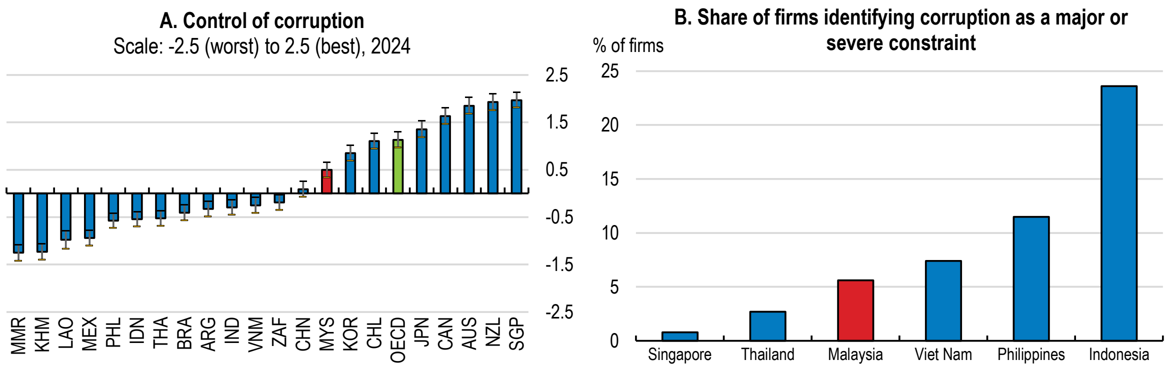
Denmark demonstrates how mature digital platforms and advanced analytics can deliver concrete operational savings in a decentralised health system. Core national tools, such as the Shared Medication Record and the sundhed.dk portal, ensure that general practitioners and pharmacies work from a single, up-to-date source of information, reducing duplicate prescriptions, medication errors and delays at discharge. These improvements translate into lower costs for hospitals and municipalities and smoother patient transitions across care settings. Denmark has also deployed AI-enabled tools in areas such as radiology and infection control, generating estimated annual savings of around DKK 100 million (USD 16 million) through faster diagnostics and fewer hospital-acquired infections. Combined with fully digital health records that eliminate paper-based workflows and manual data exchanges, these systems free up substantial staff time and improve resource allocation. Together, they show how digitalisation can raise productivity in health care not only through better outcomes, but through measurable reductions in transaction costs and operational inefficiencies.

Source: Palm *et al.* (2025), OECD (2024b), e-estonia.com/solutions/e-health-2/e-health-records, sundhed.dk, Birk *et al*. (2024), Fourrage (2025).

3.6. Streamlining public governance and combating corruption and money laundering

Streamlining the structure of government and strengthening integrity frameworks would raise Malaysia's public-sector efficiency and productivity by reducing waste, duplication and opportunities for corruption. Fragmented governance structures weaken accountability, complicate oversight and inflate administrative costs, while weak integrity systems divert public resources from productive uses and undermine trust (OECD, 2023). In Malaysia, recurrent Auditor-General findings and public perceptions of corruption (Figure 3.8) underline the opportunity cost of inaction. The Thirteenth Malaysia Plan rightly links integrity, administrative rationalisation and digitalisation as mutually reinforcing productivity levers; policymakers should therefore treat organisational streamlining and integrity reform as a single, prioritised reform package with time-bound milestones.

Figure 3.8. Corruption perceptions



Note: Panel A shows the point estimate and the margin of error. In Panel B, data for Singapore, Viet Nam, the Philippines and Indonesia refer to the 2023 World Bank Enterprise Surveys. Data for Thailand refers to the 2016 World Bank Enterprise Survey.
Source: Worldwide Governance Indicators; 2024 World Bank Enterprise Survey.

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Fragmentation of policymaking and administration remains a key weakness of Malaysia's public governance framework and contributes directly to monitoring gaps and cost overruns. Compared with most OECD countries, Malaysia operates with a relatively large number of ministries, agencies and statutory bodies, often with overlapping mandates. The 2025 Auditor-General's Report found governance weaknesses across seven ministries affecting projects worth RM 49 billion (around USD 12 billion), including contract splitting and weak monitoring (Auditor-General, 2025). The Prime Minister's 2024 decision to commission a review of overlapping functions and to establish a special committee to rationalise federal statutory bodies was a commendable first step. The review should now translate into concrete consolidation, clearer allocation of mandates, and stronger centre-of-government steering capacity, following OECD lessons that mergers and clarified ministerial remits reduce duplication and lower administrative costs.

Improving coordination and internal controls across ministries is essential to reduce waste and corruption risks, especially as public investment and digital projects scale up. Auditor-General reports suggest the root causes are systemic: weak ex ante project appraisal, fragmented risk management and limited follow-up on audit recommendations. Progress has been made following the Public Finance and Fiscal Responsibility Act 2023. The government now produces a *Mid-Year Expenditure Performance Report*, tabled before Parliament and reviewed by the Public Accounts Committee. Even so, there remains room to expand standardised project-management and risk-assessment frameworks, strengthen the scrutiny role of central finance and planning agencies for major investments (as is now being done for digital/AI procurements), and more systematically mandate time-bound corrective actions linked to budgetary incentives.

Strong, independent enforcement institutions are essential to sustain integrity gains and to deter state capture. Malaysia's Anti-Corruption Commission (MACC) has been strengthened legally but would benefit from greater budgetary predictability, stronger protection from political interference and more transparent leadership appointments (e.g. with parliamentary vetting and fixed terms) consistent with OECD good practice for independent watchdogs (OECD, 2020).

Enhancing public-sector integrity also requires sustained implementation of focused anti-corruption strategies. The National Anti-Corruption Plan (NACP) 2019-23 contained 115 initiatives but showed uneven follow-through. The National Anti-Corruption Strategy (NACS) 2024-28 stresses enforcement, institutional accountability and strengthening digital governance. To be effective, NACS implementation should concentrate on a smaller set of high-impact reforms (for example digital procurement controls, beneficial-ownership transparency and conflict-of-interest avoidance), assign clear lead agencies, set measurable indicators and require regular public progress reports, consistent with the OECD *Recommendation on Public Integrity* (2017) and *Public Integrity Handbook* guidance (OECD, 2020).

Greater transparency on asset ownership and conflicts of interest would strengthen integrity at the highest levels of government. Civil servants currently declare assets periodically, but there is no comprehensive, regular, mandatory disclosure regime for ministers and Members of Parliament and previous NACP commitments in this field fail to be implemented in full. OECD guidance on managing conflicts of interest and public integrity emphasises systematic, verifiable asset and interest disclosures, independent verification and proportionate sanctions for non-compliance (OECD, 2005). Malaysia should legislate mandatory disclosures for all high-level members of the executive and for legislators, deploy digital verification tools, and task an independent body to review and publish compliance results.

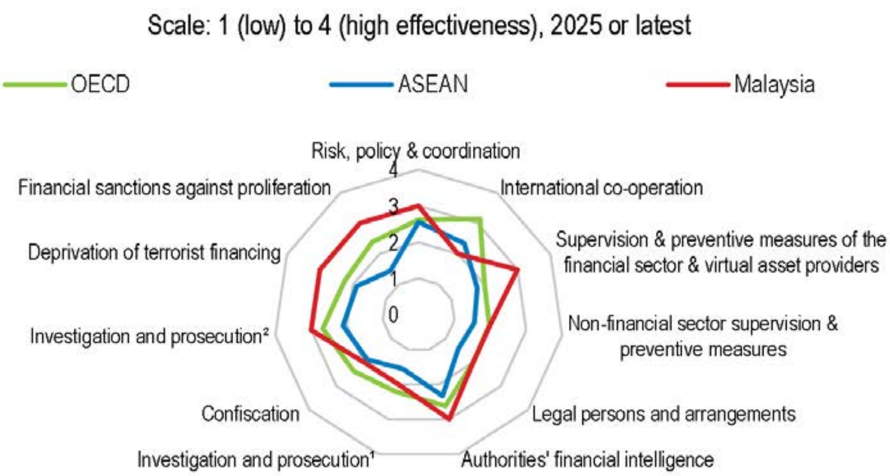
Progress was made in 2025 with the passing of the amended Whistleblower Protection Act (Table 3.2), which enhances disclosure rights and protections and establishes an oversight committee. A key reform is the removal of the former provision that denied protection for disclosures that contravened secrecy laws such as the Official Secrets Act or Section 203A of the Penal Code, meaning whistleblowers may now receive legal immunity even when reporting information otherwise protected under such laws. However, the amendments did not address the absence of safeguards against employment-related retaliation, a key element in international whistleblower-protection norms, and reporting channels remain largely restricted to public-sector enforcement agencies. These reforms therefore fall short of transforming Malaysia's framework into a full whistleblower-protection regime, amounting instead to an improved but still partial reporting-channels law. Effective whistleblower legislation must include more comprehensive anti-retaliation protections, independent reporting avenues, and greater enforcement clarity are now needed to refine eligibility criteria and define implementation protocols.

Table 3.2. Past recommendations on strengthening governance and actions taken

Recommendations in the previous *Survey* (August 2024)	Actions taken since
Require systematic and regular asset disclosure for all high-level members of the executive and for legislators.	No legislative action but the Mid-Term Review of the Twelfth Malaysia Plan (October 2024) stated government intentions to strengthen asset declaration rules via the existing Code of Ethics for all ministers, including the Prime Minister and his deputy, and all government MPs, with MACC to be mandated to verify and monitor declarations. In 2025, the heads of a number of GLCs and GLICs reportedly submitted asset declarations via the MACC portal.
Ensure that appointments in state-owned enterprises are based on merit by establishing minimum qualification requirements and mandatory cooling-off periods for former officials.	No formal policy or legislative changes have been implemented.
Amend the Whistleblower Protection Act to enhance whistleblower protection and open up new avenues for disclosing information about offences.	The Whistleblower Protection (Amendment) Act 2025 (Act A1777) was gazetted on 18 November 2025. It amends multiple sections and formally establishes the Whistleblower Protection Committee.
Establish an appointment procedure of Chief Commissioner of the Malaysian Anti-Corruption Commission that involves the Parliament.	No legislative action yet but the National Anti-Corruption Strategy (2024–28) proposes to review the appointment and dismissal requirements of the MACC Chief Commissioner, to establish a MACC Service Commission and possibly to constitute a Parliamentary Special Select Committee (PSSC) that would assess candidates.

Finally, continued vigilance against money laundering is necessary to protect integrity gains and the investment climate. The FATF (2025) *Mutual Evaluation* finds that Malaysia has significantly strengthened its legal and supervisory framework for Anti-Money Laundering and Combating the Financing of Terrorism (AML/CFT), which is now broadly comparable to that of its peers (Figure 3.9). However, vulnerabilities endure, including insufficient understanding of trade-based and third-party money-laundering risks, exposure to illicit flows linked to corruption, fraud, digital-finance expansion, and Malaysia's role as a regional transit hub. Despite improved investigative capacity, Malaysia has historically struggled to translate investigations into prosecutions and convictions, and mutual legal assistance remains underutilised, weakening cross-border enforcement effectiveness. However, recent efforts under the National Coordination Committee to Counter Money Laundering Roadmap 2024-2026 demonstrate progress: in 2025, Malaysia secured 969 convictions against mule account holders and recovered over MYR 400 million in criminal assets. Additionally, the Anti-Money Laundering (Amendment) Act 2025 (effective March 2026) aims to further enhance the freezing, seizure, and forfeiture of illicit proceeds. Risks can also stem from complex corporate ownership and cross-border flows. OECD (2024c) work on beneficial-ownership frameworks and AML/CFT best practice underscores the need for public, accessible beneficial-ownership registers (or tightly governed central registers), stronger inter-agency data sharing between AML, tax and procurement authorities, and robust analytics to detect suspicious flows. Malaysia has made progress on transparency in this area with beneficial ownership registries that are accessible to the competent authorities.

Figure 3.9. Anti-money laundering measures



Note: The figure shows ratings from the FATF peer reviews of each member to assess levels of implementation of the FATF Recommendations. The ratings reflect the extent to which a country's measures are effective against 11 immediate outcomes. "Investigation and prosecution[1]" refers to money laundering. "Investigation and prosecution[2]" refers to terrorist financing.
Source: OECD Secretariat's own calculation based on the materials from the Global Forum on Transparency and Exchange of Information for Tax Purposes; and OECD, Financial Action Task Force (FATF).

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Table 3.3. Policy recommendations

MAIN FINDINGS	RECOMMENDATIONS (Key ones in bold)
Lifting remaining regulatory barriers at the border	
Restrictions on foreign equity holdings are comparatively tight.	**Relax foreign equity caps while maintaining appropriate safeguards for genuinely strategic sectors.**
Foreign firms need to incorporate locally or register a branch to provide digitally-enabled services.	Ease entry requirements for foreign service providers.
Addressing domestic hurdles and levelling the playing field	
The Thirteenth Malaysia Plan proposes several key amendments to the Competition Act 2010 to strengthen market regulation and curb anti-competitive practices.	Implement planned reforms to strengthen competition, including by unifying the regulation of competition across all industries and introducing a merger control regime.
Price controls remain for a number of key goods, though they have been lifted for a few in 2025.	**Continue to phase out price controls, replacing them by targeted subsidies for vulnerable households.**
Burdensome licensing and permitting requirements continue to keep compliance costs high, delay market entry, and disproportionately affect smaller enterprises.	Simplify and streamline licensing and permitting requirements by reducing duplication across agencies, clarifying mandates, digitalising approvals through one-stop platforms, and adopting risk-based, time-bound processes.
Companies Act 2016 improved the insolvency framework but on a number of dimensions it remains less business-friendly than in peer countries.	Better differentiate between honest and fraudulent bankruptcies, ease restrictions on post-insolvency access to finance and entrepreneurship, and expand asset exemptions for individuals. Strengthen creditor rights and transparency in insolvency proceedings.
Government-linked companies (GLCs) dominate in many sectors at the expense of private initiative, helped by regulatory exemptions as well as preferential access to procurement and finance.	Remove broad exemptions for GLCs and enhance the Malaysia Competition Commission's power to act against cartel and monopoly practices.
Political appointments and opaque decision-making persist in many GLCs, contributing to poor risk management and recurring losses.	Align GLC governance with the *OECD Guidelines for State-Owned Enterprises* through merit-based board appointments, cooling-off periods for politicians, and mandatory disclosure of financial and procurement decisions.
Measures to improve Bumiputera participation in the economy have historically relied on ownership quotas and preferential treatment in public procurement and licensing.	Move to a more market-oriented approach to promote Bumiputera participation in the economy making greater use of targeted capacity-building programmes, skills upgrading, and transparent and performance-based access-to-finance schemes.
State support for micro, small and medium-sized firms is delivered through a very large number of ministries, agencies and programmes.	**Streamline and consolidate public support to smaller firms.**
Stepping up the digitalisation of government	
Major regulatory and digital reforms have wide-ranging, long-term impacts and require careful sequencing and coordination.	Conduct regulatory impact analysis for major reform proposals prior to implementation, particularly where they involve significant compliance costs or broad stakeholder impacts.
The health sector faces mounting financial pressures and suffers from inefficiencies due to fragmented records and weak coordination across actors.	Mandate the interoperability of electronic medical records, clarify the governance of data sharing across public and private providers and strengthen cybersecurity and consent frameworks.
Streamlining public governance and combating corruption and money laundering	
Policymaking and administration remain highly fragmented.	**Consolidate ministries and agencies, with a clear allocation of mandates and stronger centre-of-government steering capacity.**
Further progress can be made to harness competition among different private and state-owned enterprise bidders in public procurement.	**Introduce new mechanisms to detect bid-rigging and cartel behaviour in procurement.**
Public investments suffer from weak ex-ante appraisal, inadequate risk management and limited follow-up on audit recommendations.	Expand standardised project-management and risk-assessment frameworks and strengthen the scrutiny role of central finance and planning agencies for major investments.
Malaysia's Anti-Corruption Commission (MACC) has been strengthened legally but remains vulnerable financially and politically.	Ensure greater budgetary predictability, stronger protection from political interference and more transparent leadership appointments for the MACC.
There is no comprehensive, mandatory asset disclosure regime for ministers and Members of Parliament.	**Legislate mandatory and regular asset disclosures for all high-level members of the executive and for legislators.**

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4 Improving skills, education and training

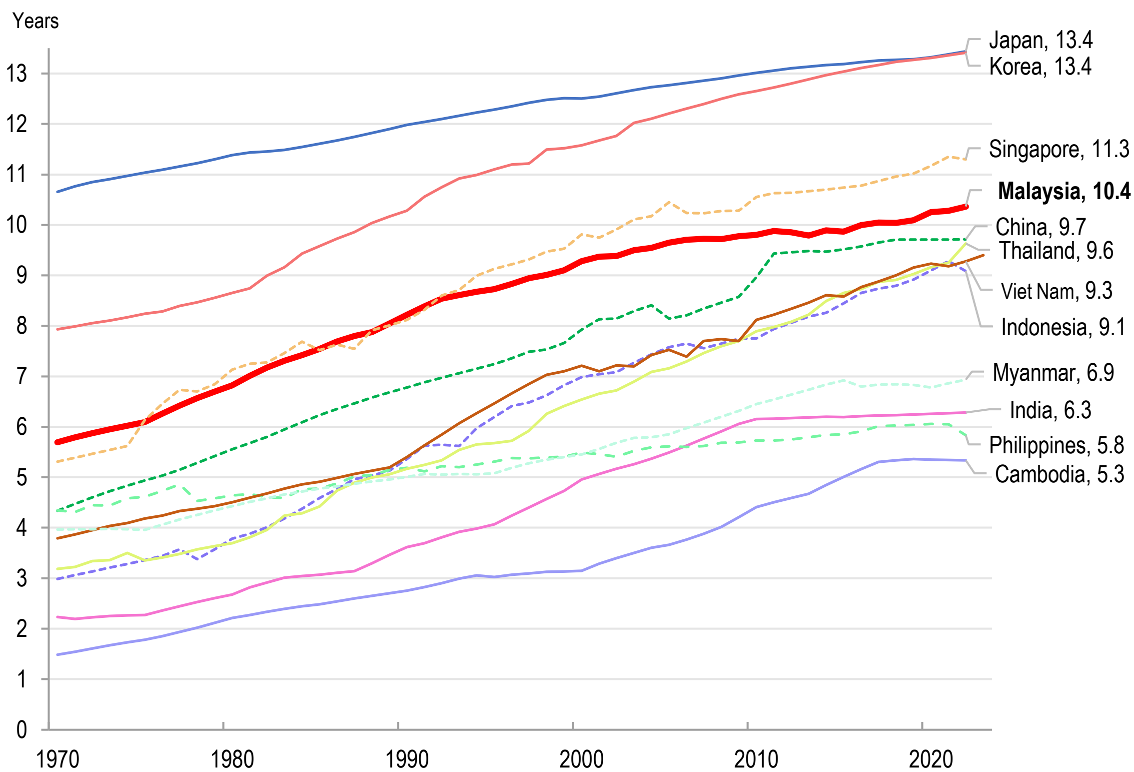
Randall Jones

The education system has helped Malaysia develop from a low-income country to the threshold of high-income status. However, declines in students' results in international assessments, such as PISA, have raised concern. Current plans to make preschool mandatory for five-year-olds, while improving its quality, should improve opportunities and outcomes, along with policies to increase teacher accountability and the quality of their teaching in preschool through secondary schools. In addition, the age of enrolment in primary school has been lowered from seven to six. Giving teachers and principals greater autonomy to determine the most appropriate way to achieve educational objectives would also be beneficial. Improved performance should be accompanied by measures to narrow the performance gaps resulting from socioeconomic status and from urban-rural differences. Technical and vocational education and training (TVET) have the potential to boost productivity, especially by putting it on par with academic pathways and reducing fragmentation. Malaysia's higher education institutions have made considerable progress in international rankings and attract a significant number of international students. However, the high level of skill-related underemployment among tertiary graduates has contributed to declining enrolment rates. Greater autonomy and accountability of university leadership could help reduce skills mismatches.

4.1. Building on progress in education reform to improve living standards

Education has played a key role in Malaysia's economic development. At the time of the country's independence in 1957, over half of the population had no formal education. Only 6% of Malaysian children had attended secondary education, and 1% had obtained a post-secondary level qualification. Workers' mean years of schooling rose from 5.8 in 1970 to 10.4 in 2024 and remains above ASEAN peers (Figure 4.1). By 2011, Malaysia had achieved near universal net enrolment for primary school at 97%, while enrolment in upper secondary education jumped from 45% to 82% (Ministry of Education, 2013). Malaysia has emerged as a prominent education hub in Southeast Asia, attracting a growing number of international tertiary students.

Figure 4.1. Workers' mean years of schooling in Malaysia have risen rapidly



Source: Asian Productivity Organisation (2025), *Asia QALI database, Asian Productivity Databook 2025*.

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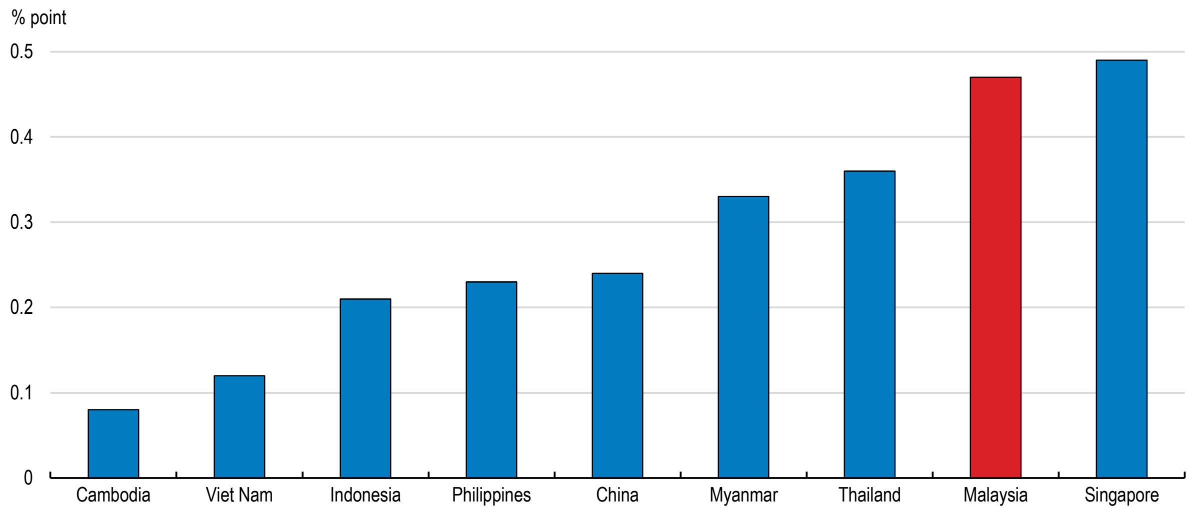
The rising quality of the labour force is estimated to have directly boosted labour productivity by 25% between 1970 and 2023 (Figure 4.2), while encouraging fixed capital formation. Malaysia is projected to become a high-income country (by the World Bank's criteria) by 2028-30. However, less than half of all Malaysians will have an income above the high-income threshold. On average, household incomes need to double for everyone in the country to reach that threshold (World Bank, 2025). While Malaysia's economic growth has been driven primarily by labour-intensive, low-cost manufacturing, this economic model will not sustain growth indefinitely (Malaysia Investment Development Authority, 2020). Malaysia needs sustained high productivity growth driven by innovation and technological progress. The official *Malaysia Education Blueprints 2013-2025* and *2026-2035* and the *Malaysia Higher Education Blueprint 2026-2035* call for a transformative overhaul of the education system, recognising an increasing performance gap relative to other countries and calling for the need to respond to global economic, technological and social trends to ensure that the education system remains relevant and competitive. Reference is made to a goal that "All children will have the opportunity to attain an excellent education that is uniquely Malaysian and comparable to the best international systems".

Reflecting these strong ambitions in education, the *ThirteenthMalaysia Plan 2026–2030*, the country's major medium-term policy planning tool, has a strong focus on education. The proposed education reforms are summarised in Box 4.1.

Figure 4.2. Gains in labour quality have made a large contribution to productivity growth

Annual average percentage contribution of labour quality to productivity growth between 1970 and 2023



Note: Labour quality is calculated as the weighted growth rate of individual skill categories of workers.
Source: The Conference Board, *Total Economy Database*, April 2023.

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Malaysia's education system consists of the following elements:

- 2 years of preschool for children aged 4 to 6.
- 6 years of primary education from ages 7 to 12 for students in years 1–6 (grades 1-6).
- 3 years of lower secondary education from ages 13 to 15 (Form 1-3, equivalent to grades 7–9).
- 2 years of upper secondary education for students aged 16–17 (Form 4-5, equivalent to grades 10-11), with different paths available (academic, TVET and religious education). At the end of Form 5, students take a nationwide exam to receive the Malaysian Certificate of Education (SPM).
- The SPM allows students to enter pre-university education, either in a matriculation college (1 year) or Form 6 (1.5 years leading to a STPM). In matriculation colleges, which are one path to public universities, 90% of the places are reserved for Bumiputera (Malays and indigenous groups).
- Tertiary education, which includes four-year degree programmes at the undergraduate level.

In Malaysia's multiethnic and multilingual society, the government has mobilised education to promote national unity and nation-building (Adams and Tan, 2022). Malaysians are classified at birth into ethnic groups; Malays (64% of Malaysian citizens), Chinese (23%), Indians (7%) and others (such as indigenous people and those of mixed races). Malay (Bahasa Melayu, the national language) is the primary language of instruction in publicly-funded schools and universities, in part to promote national unity.

Malaysia's educational system is centred on "national schools", which use Malay as the language of instruction. Around 70% of primary-school students attend national schools. The government also offers parents and students the flexibility to choose other educational pathways, including "national-type schools" ("vernacular schools") that provide instruction in Chinese (Mandarin) or Tamil. National-type schools are meant to help preserve the cultural heritage of these groups. The government provides some funding for operating national-type schools, which can also receive private-sector support. Local ethnic communities own school buildings and assets.

Box 4.1. The Thirteenth Malaysia Plan 2026–2030 focuses on education

The *Thirteenth Malaysia Plan* acknowledges remaining challenges in quality and outcomes across different levels of education and proposes education reforms as the pillar for numerous structural changes. The government expects reforms to boost labour productivity growth by 1 percentage point over 2026-30:

1. *Strengthening governance*: Governance of education from preschool (pre-primary education) to secondary school will be centralised and a National Educational Council will be established, in addition to the existing National Education Advisory Council. A pilot project will grant universities more autonomy and encourage their internationalisation.
2. *Rationalising functions and roles of education institutions to optimise the use of resources and enhance the quality of education*.
3. *Enhancing education outcomes*:
   - Early childhood education (ECE) (preschool) will be made compulsory at the age of 5, while the national curriculum (KSPK) for preschools will be made compulsory in all ECE institutions.
   - The starting age for primary education will be lowered from the age of 7 to 6.
   - Enrolment in secondary education has been made mandatory. Consequently, compulsory education (excluding preschool) will be lengthened to 11 years, in line with international norms, representing a 5-year increase.
   - English will be used as part of learning and communication by students during the first 3 years of primary school (Level One).
   - A mandatory paid internship scheme, primarily for SMEs and financed in part by a matching grant from a government agency, will be introduced for university students. A demand-driven learning model will be expanded by increasing collaboration between public universities and the private sector through certification of skills and work experience.
4. *Improving assessment and evaluation of learning*: The government will assess the effectiveness of student evaluations. A new tertiary graduate outcome assessment will be introduced to reduce graduate underemployment issues by addressing skills and competency mismatches.
5. *Enhancing the competency and efficiency of educators*: The recruitment of teachers will be broadened to secure the best teaching talent from diverse sources. Continuous professional development will be expanded to ensure high and up-to-date teacher competencies. Primary school teachers will be trained to teach all foundation subjects to students in grades 1-3. Improvements in the teacher promotion system will provide more competitive career pathways.
6. *Improving investment in education*: Educational facilities, including preschools, will be improved. Enhanced government and public company education sponsorships will aim to reduce student outmigration, with priority given to Malaysians pursuing postgraduate studies at local higher education institutions.
7. *Strengthening Lifelong Learning (LLL)*: LLL will be strengthened to prepare for Malaysia becoming an aged nation by 2043, in part by offering programmes through the Third Age University concept.
8. *Strengthening the TVET ecosystem*: The expansion of skill certification levels will put TVET on par with the academic pathway in the national higher education system, while enhancing TVET governance. A rating system for TVET institutions to ensure that programmes align with industry needs and support the optimal allocation of funding. Enhanced collaboration between public TVET institutions and industry will include the sharing of expertise and technologies.

Quantitative targets included in the *Thirteenth Malaysia Plan* are shown in Table 4.1. The Plan also includes specific targets for students with disabilities and the Orang Asli, an indigenous group that accounts for 0.7% of the population of Peninsular Malaysia.

Table 4.1 Quantitative targets for education that are included in the *Thirteenth Malaysia Plan*

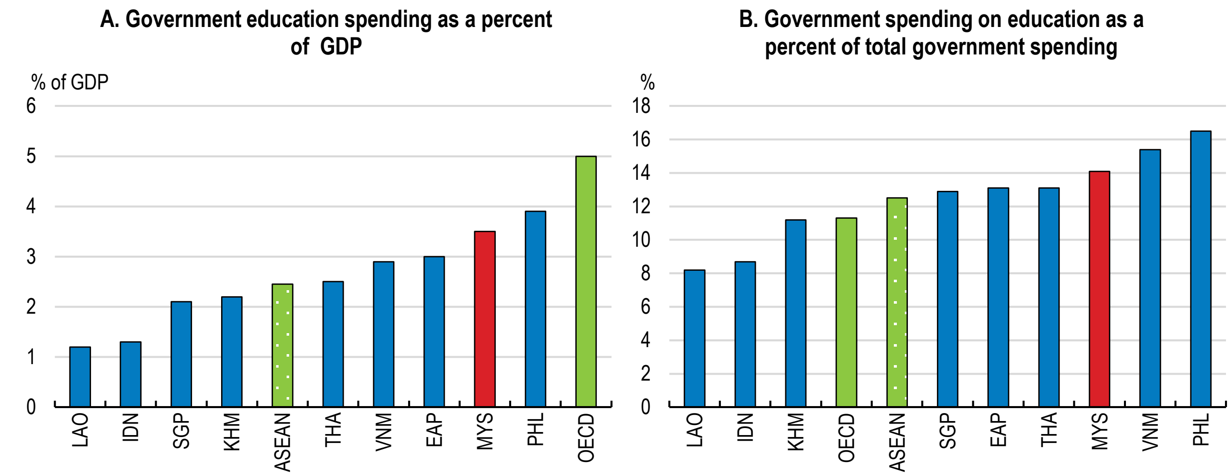
	Latest	2030 target
Enrolment in preschool education (5-year-olds)	90.7% (2024)	98%
Enrolment in primary education	93.5% (2024)	98%
Enrolment in secondary education	94.9% (2024)	98%
Graduates employed in a job commensurate with their education	69.4% (2024)	70.1%
Intake of high school graduates (or equivalent into TVET programmes	53.6% (2024)	60%
PISA score achievement	Below international average (2022)	International average
TIMSS[1] score achievement	Below international average (2023)	International average
High school graduates receiving at least a minimum passing score in four subjects[2]	42.4% (2024)	52%

Notes: 1. Trends in International Mathematics and Science Study. 2. Bahasa Melayu, English, history and math.
Source: Ministry of Economy (2025), *Thirteenth Malaysia Plan*.

National and national-type schools are open to students of any ethnicity. However, only 0.7% of ethnic Chinese students and 2.3% of Indian students attended national primary schools in 2020. Across primary and secondary school, around 96% of ethnic Chinese students attend Chinese-language schools (Chassie et al., 2023). However, the number of Chinese students in Chinese-language schools has been declining since 1995, reflecting demographic changes and competition from international private schools (Chai, 2025). English-language public schools were closed down gradually between 1970 and 1983, though English is also used as a medium of instruction in select public schools, particularly for teaching mathematics and science.

Total education spending in Malaysia in 2023 was 4.8% of GDP, of which private spending was 1.3%. Although government spending on education fell from an average of 5.0% of GDP in the 2010s to 3.5% in 2022 and 2023 (Figure 4.3, Panel A), it still accounts for nearly three-quarters of education spending, slightly less than the OECD average of 84% (OECD, 2025). Malaysia's public education spending exceeded the ASEAN average of around 2½% of GDP but was considerably below the OECD average of 5.0% in 2023. Education remains the largest item in Malaysia's government budget, accounting for 14% of total outlays (Panel B), although it has declined from between 18% and 21% during the decade 2009-19. The 2026 budget reflects a fiscally cautious approach (Chapter 1). Education spending is set to rise by 3.3%, compared to the OECD projection of nominal GDP growth of around 7% in 2026 and the 4% increase in the government budget.

Figure 4.3. Government education spending is below OECD countries and some peers



Note: In 2023 or the latest year available. ASEAN is the average of the eight member countries for which data are available. EAP is the East Asia & Pacific (excluding high-income countries).
Source: World Bank, Government expenditure on education, total (% of GDP) - Malaysia, OECD members | Data, accessed 14 January 2026.

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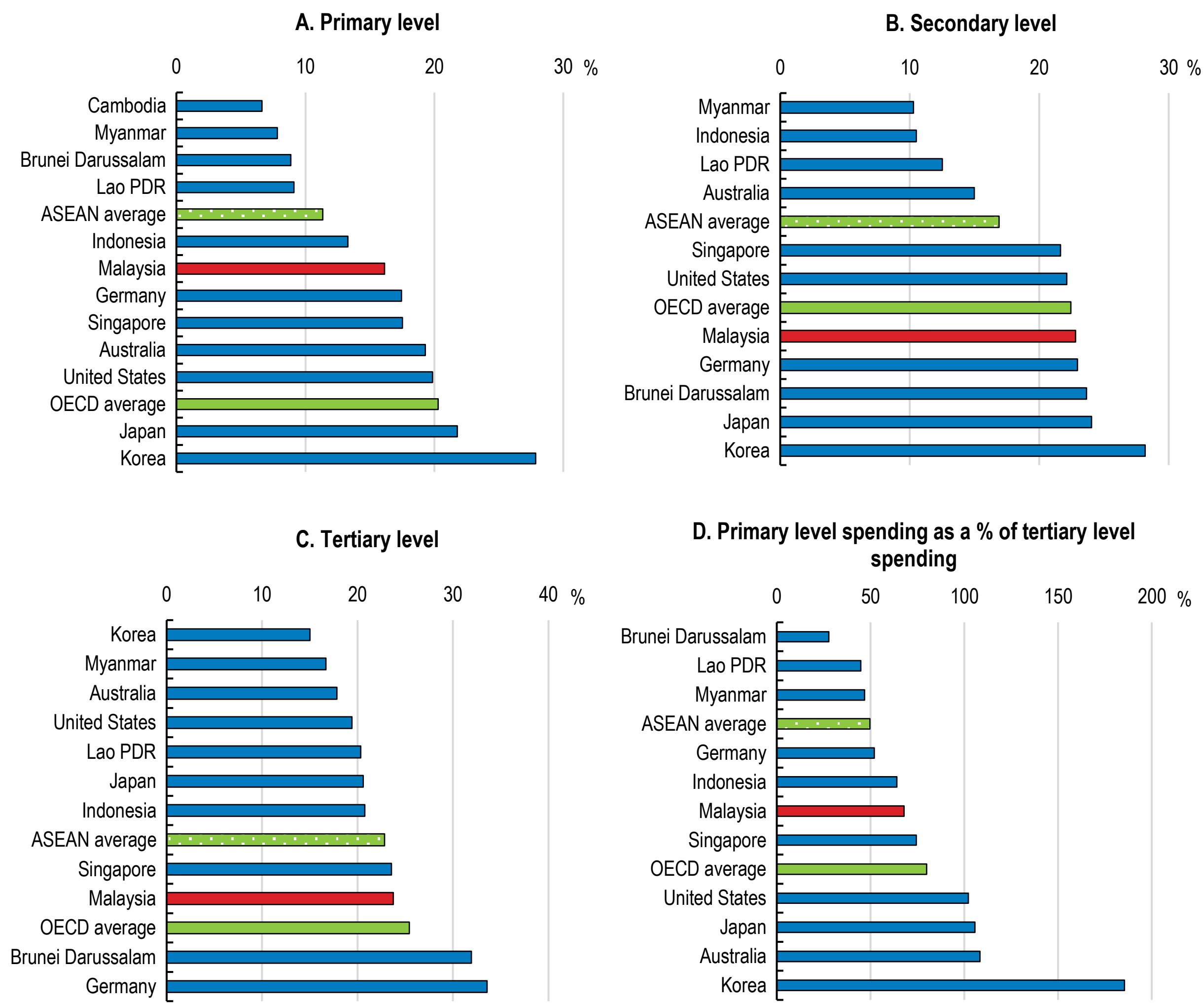
Public spending per student at the primary level in Malaysia was about one-fifth below the OECD average relative to GDP per capita (Figure 4.4, Panel A). However, in terms of spending at the secondary and tertiary level, Malaysia was close to the OECD average (Panels B and C). A number of Southeast Asian peers have spent an increasing share of public funds on a relatively small tertiary student population, allocating twice as much per tertiary student compared to primary students (Panel D). While Malaysia is above the ASEAN average in this regard, it still spends only 68 cents on primary students per dollar spent on tertiary students. Some OECD countries spend more per primary student than for tertiary students, including Korea and Japan, which are recognised for their outstanding performance in PISA. Spending a large proportion of public education funds at the tertiary level relative to primary education and preschool tends to reinforce socio-economic inequalities. Achieving Malaysia's educational aspirations will likely require raising public outlays in line with increases in per capita income, while enhancing efficiency.

The remainder of this chapter features dedicated sections on early childhood education (which includes childcare and preschool for children from birth through age 6), primary and secondary schools, technical and vocational education and training (TVET) and higher education. The chapter concludes with policy recommendations (Table 4.7).

Figure 4.4. Government expenditure per student is relatively low

Expenditures as % of GDP per capita, 2021 or the latest year available



Source: World Bank (2021), *World Development Indicators*, https://databank.worldbank.org/source/world-development-indicators.

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4.2. Early childhood education: the groundwork for better learning outcomes

Malaysia's long-term growth prospects depend critically on bolstering its human capital by improving learning outcomes for children. Numerous studies have linked participation in early learning programs to positive short- and long-term outcomes in school readiness, educational attainment, health, crime prevention, employability and productivity (Egert et al., 2023; Heckman et al., 2013; Meloy et al., 2019). There is a near consensus that quality early childhood education (ECE) has a profound and long-lasting impact on children's futures and contributes to economic and social outcomes (OECD, 2023c). In fact, there is evidence that this part of the education system has the highest marginal returns on public investment; students who spent at least one year in pre-school achieved a higher PISA score of about 34 points (Egert et al., 2023). For this reason, this phase is often called "the window of opportunity". Participating in quality ECE is associated with higher primary school completion rates, lower grade repetition and dropout rates, and higher learning outcomes throughout primary and secondary school. Beyond these individual benefits, well-designed and quality ECE programmes can benefit children from low socio-economic backgrounds, level the playing field among children, and help reduce social inequalities over the longer run (Duncan et al., 2023). The consensus is reflected in the rise in the universal provision of ECE in countries worldwide (OECD, 2021), and the significant investment that accompanies extending ECE to all children while ensuring quality for these programmes.

4.2.1. An overview of early childhood education (ECE) in Malaysia

ECE in Malaysia refers to institutions that provide education and care for children from birth through age 7, when they enter primary school. Under the *Thirteenth Malaysia Plan*, the government is prioritising ECE to strengthen school readiness and narrow socio-economic gaps. Malaysia has two ECE systems for children:

- Childcare centres (TASKA), which "provide care and early education services", are defined as any place that accepts four or more children aged 4 and under for paid childcare.
- Preschools are defined as any place that provides preschool education to at least ten children aged 4 to 6.

The number of childcare centres is low relative to the number of young children

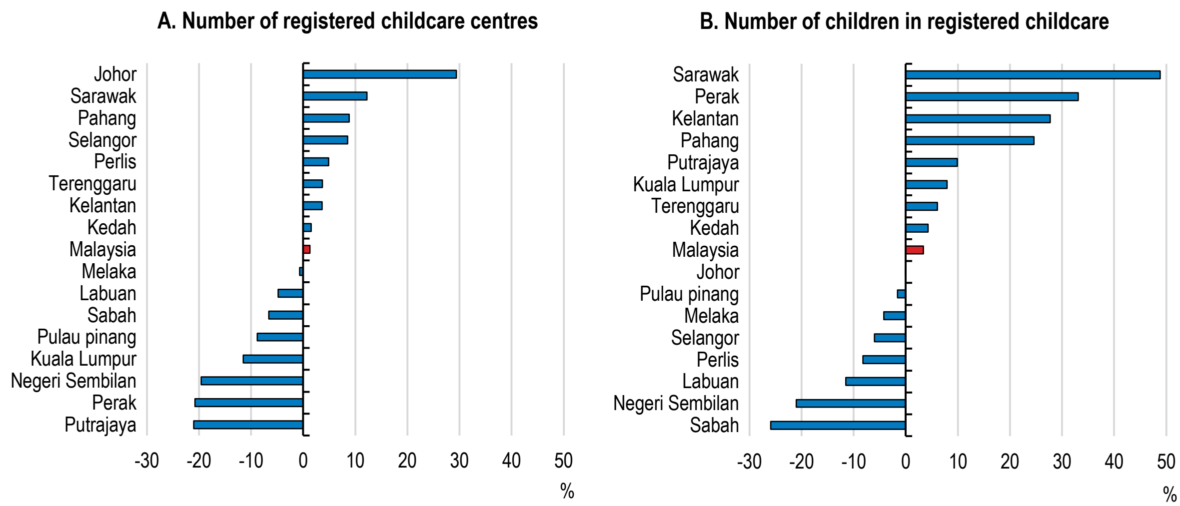
Many parents now view early education as an investment that lays an important foundation for future development and lifelong learning for their children. Total enrolment in public and private childcare centres in Malaysia amounted to around 3.5% of the 2.3 million children under the age of 5. Malaysia had 4 016 childcare centres registered with the Social Welfare Department (part of the Ministry of Women, Family and Community Development) as of mid-2025. In addition, they must get permits from local authorities. However, the number of registered childcare centres (including public centres) has declined in major cities, such as Kuala Lumpur and Putrajaya (Figure 4.5), reflecting the challenges of rising costs, staffing shortages and red tape (Asia News Network, 2025). Private childcare centres cared for 66 075 children in 2025. In addition, around 600 public childcare centres operated by the Ministries of Education, National Unity, or Rural and Regional Development care for about 15 000 children. Public childcare centres primarily target children from disadvantaged backgrounds or rural areas. The government provides childcare subsidies to low-income families, defined as those in the bottom 40% of income earners.

The number of children in childcare is likely to be much larger than reported, as many parents use unregistered or informal, home-based childcare, which provides fewer educational resources and does not have to meet safety standards. In 2025, Malaysia had an estimated 1 080 unregistered childcare centres, with about half in Selangor (the state with the largest share of GDP) and Kuala Lumpur (Radhi and Iskandar, 2025). The growth in the number of unregistered centres reflects gaps in regulation and enforcement. Unregistered childcare services avoid the registration procedure as it involves dealing with various agencies, whose approval and processing protocols are complex and time-consuming (Rosli et al., 2024). The government continues to make efforts to register childcare centres that are not registered.

All registered childcare centres must use the government-created curriculum (PERMATA), which includes cognitive, physical, social and emotional aspects. Childcare workers are required to have completed secondary school, followed by a diploma in ECE (2.5 years) or TVET certificate (two months). Those who have worked with children for more than ten years are exempted from this requirement. Of the childcare workforce of more than 20 000 in 2019, 60% had only a secondary education degree (the SPM, which is ISCED 3).

Figure 4.5. Registered childcare centres are closing in parts of Malaysia

Percentage increase in registered childcare centres in 2024 in Malaysia's thirteen states and federal territories



Source: Department of Social Welfare.

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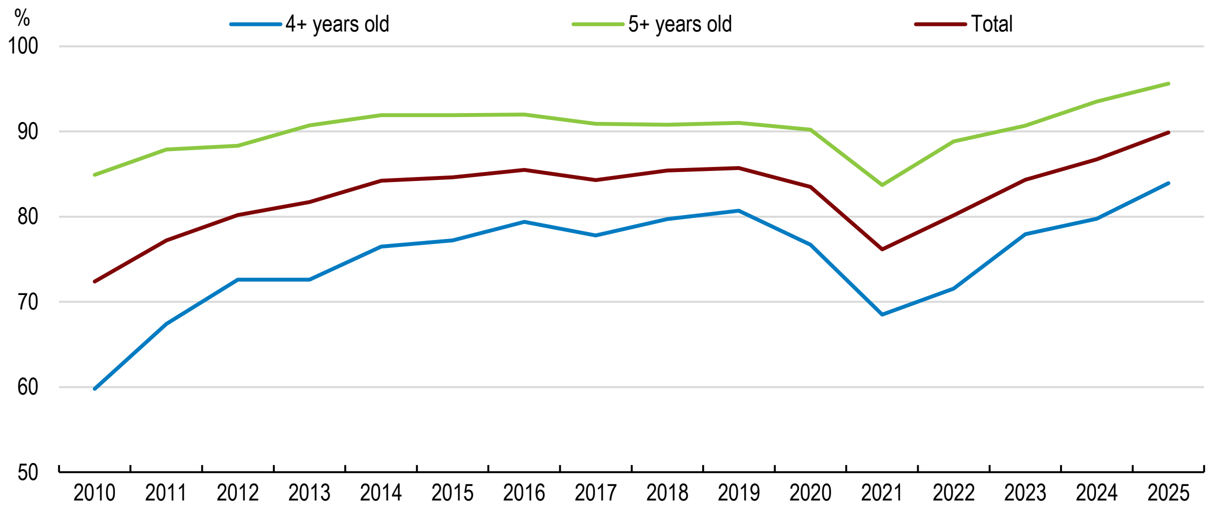
Preschool enrolment has risen significantly during the past 15 years

Enrolment in preschool has risen significantly since 2010, reaching nearly 90% for children aged 4-6 in 2025 (Figure 4.6), although an earlier target of universal enrollment by 2020, which was included in the *Malaysia Education Blueprint 2013-2025*, had not been achieved. Still, Malaysia is well above the ASEAN average of 66% and the OECD average of 81%, according to the World Bank. All preschools in Malaysia, whether private or public, must follow the new 2026 Preschool Curriculum. It emphasises six key areas of development: i) language, communication and early literacy; ii) physical movement; iii) creativity and aesthetics; iv) early science and mathematics; v) character, socio-emotional and spiritual; and vi) sensory and environmental awareness. Preschool education is key to achieving the goal in the *Thirteenth Malaysia Plan* to improve children's readiness for primary school, enhance student performance and help students acquire broader life skills (Kenayathulla et al., 2022). Studies show that students who attended preschool perform better at Grade 5 (age 11) than those who did not (World Bank, 2024a). The OECD's Programme for International Student Assessment (PISA) shows a positive correlation between ECE and the school outcomes for 15-year-olds (Balladares and Kankaraš, 2020). Universal pre-primary education helps make education systems more effective and efficient (UNICEF, 2019).

Preschools are offered by multiple government ministries and private suppliers. Public preschools, which cater primarily to low-income and disadvantaged children (Kong, 2024), account for more than two-thirds of preschool students (Table 4.2). The Ministry of Education's preschools (27.6% of total enrollment), typically located in existing buildings on school premises, prioritise children from low-income families. The other public preschools are located mainly in remote or rural areas. Given inadequate public capacity, the government relies on private preschools, defined as a preschool class for at least ten students, to serve the remaining one-third of preschool students. As with childcare, the government provides subsidies to low-income families for private preschools, which are subject to caps on their fees. In addition, private-sector employers who establish early care and education centres at their workplace receive a 10% corporate tax exemption for ten years. Languages other than Malay may be used as a medium of instruction in private preschools, provided that Malay is taught as a compulsory subject.

Figure 4.6. Preschool enrolment has risen significantly since 2010



Source: Malaysia Ministry of Education.

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4.2.2. Expanding and improving early childhood education

Raising the number of high-quality childcare centres

The limited availability of public and registered childcare facilities affects the educational development and opportunities of young children. Given that public and registered private childcare capacity is only 3.5% of the number of children under the age of 5, estimates suggest that Malaysia needs at least 50 000 to 60 000 registered childcare centres to facilitate female labour force participation and enhance ECE (Zhahir, 2025). Supply could be expanded by providing grants for private childcare centres in high-need areas. This could be supported by streamlining approvals and licensing procedures, which are primarily under the purview of the Department of Social Welfare. Moreover, the authorities should monitor non-registered childcare centres to encourage them to comply with health and quality standards and facilitate their registration. To reduce their operating costs, childcare centres and preschools could be allowed to operate under the same roof.

Table 4.2. Preschool is provided by government ministries and the private sector (2025)

Provider	Preschools		Classes		Teachers		Enrolment	
Ministry of Education	6,345	25.6	9,634	17.9	9,596	16.8	215,550	27.6
KEMAS[1]	8,043	32.5	10,567	19.7	10,314	18.1	210,253	26.9
Perpaduan[2]	1,781	7.2	1,781	3.3	1717	3.0	34,693	4.4
JAIN[3]	882	3.6	2,114	3.9	2,956	5.2	30927	4.0
ABIM[4]	156	0.6	428	0.8	496	0.9	5,241	0.7
Sub-total: Public	**17,207**	**69.5**	**24,524**	**45.7**	**25,079**	**43.9**	**496,664**	**63.5**
Private sector	7,538	30.5	29,197	54.3	32,015	56.1	285,433	36.5
Total	**24,745**	**100.0**	**53,721**	**100.0**	**57,094**	**100.0**	**782,097**	**100.0**

Notes: 1. These schools were established in the 1970s in rural areas by the Ministry of Rural and Regional Development. 2. Ministry of Unity and Integration. 3. JAIN is the State Islamic Education Department. The total includes private Islamic preschools registered with JAKIM (the Department of Islamic Development). 4.Malaysian Islamic Youth Movement.
Source: Malaysia Educational Statistics.

In addition to increasing childcare supply, the government's proposed two-pronged strategy includes larger subsidies or vouchers to help families pay for childcare. However, in the 2025 budget, childcare subsidies amounted to MYR 9 million (USD 2.2 million) for families earning less than MYR 8 000 (USD 1 980) per month. Around a quarter of parents in Malaysia receive some type of childcare subsidy or voucher. Increasing the size of benefits and extending them to women with incomes above half the minimum wage would boost childcare enrolment (OECD, 2024d). The subsidies should be used exclusively at registered, quality-assured centres that upskill their workforce in line with the standards established by the Malaysian Qualifications Agency (MQA). To promote quality childcare, enforcing the education requirements for new hires and offering effective continued professional development would be beneficial. Increasing the affordability of high-quality childcare would also promote female employment. The lack of affordable, high-quality childcare is the major reason that women drop out of the labour force (National Population and Family Development Board, 2014), resulting in a large gender employment gap. Indeed, the employment rate for women in 2023 was 56%, 27 percentage points below the rate for men (see Chapter 1).

Meeting the goal of universal preschool enrolments

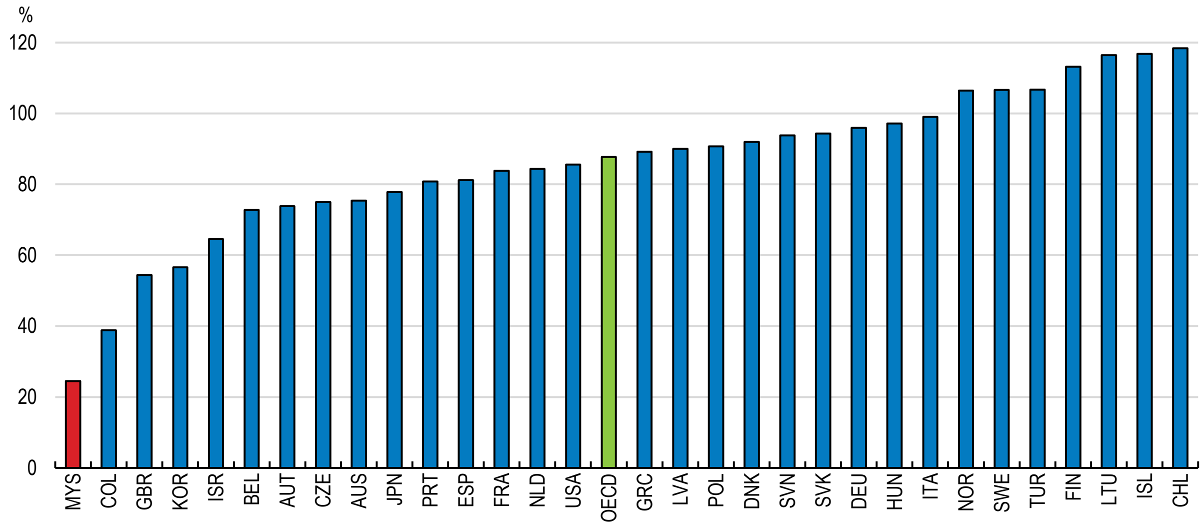
The *Thirteenth Malaysia Plan's* target to make preschool education compulsory for 5-year-olds and increase the enrolment rate to 98% by 2030 can lay the foundations for improving educational outcomes. To achieve this goal, Malaysia will have to overcome several obstacles. First, it is necessary to identify the children who are not attending preschool in order to target increased capacity. Many children, particular those in rural areas and members of indigenous groups, are falling through the gaps. Second, Malaysia needs more preschools to accommodate increased enrolment. Government spending per preschool student is only 4.4% of Malaysia's per capita income, only one-fifth of the OECD average. Moreover, it is only a quarter of what is spent on primary and secondary students, well below the OECD average of 88% (Figure 4.7).

A third obstacle is a lack of interest in preschool among some parents. In a 2021 survey, 90% of the respondents agreed that increasing awareness of the importance of preschool education is the key to raising enrolment (World Bank, 2023). The lack of interest may also reflect parents' doubts about the quality of preschools. A minority of preschools are not registered, making it difficult to enforce compliance with standards and ensure quality. Indeed, nearly one-third of private preschools do not meet the minimum health, nutrition, and safety standards (Tee, 2024), raising the importance of registering unregistered preschools. Continuous evaluations of investments in preschool education, including child development indicators and educational outcomes, such as graduation rates, are essential to assessing progress toward higher-quality preschools.

To accelerate progress, the government's plans to construct more public preschools should be accompanied by increasing the number of private preschools, in part by raising financial support to operators who create childcare facilities in high-need areas, while enforcing quality standards. As with childcare, burdensome and lengthy registration and licensing procedures make it difficult for private preschools to operate legally. Moreover, preschools need to obtain annual renewals from other bodies, such as health authorities and fire departments (World Bank, 2023). Streamlining registration and licensing and moving from annual renewals to random compliance checks could encourage more private preschools to enter the market.

Figure 4.7. Spending per child in preschool is low compared to primary and secondary students

Outlays per preschool student as a percentage of the average spending on primary and secondary students



Source: OECD, *PISA 2022 Initial Reports (Volumes I and II)*.

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Raising the quality of teachers

Teacher quality was consistently the weakest dimension during the second half of the 2010s in the National Preschool Quality Standard (PADU, 2019), which is designed to ensure that preschools provide a safe and enriching learning environment. The government acknowledges the need to continuously elevate teacher quality. Higher teacher qualifications are strongly associated with better outcomes for children (OECD, 2025). The implementation and enforcement of the requirement that all preschool teachers hold at least a diploma in ECE (ISCED 5) has been weak and no action is taken against preschools with unqualified teachers. While 90% of teachers in preschools run by the Ministry of Education hold the required two-year diploma, the share is only 18% in private preschools, even though many cater to high-income families (Kong, 2024). Consequently, about half of preschool teachers lack an ECE diploma. From 2026, preschool teachers under the Ministry of Education will be required to have a degree. To support this transition without disrupting the private preschool sector, the government is providing continuous professional development (CPD) and alternative upgrading pathways, ensuring existing teachers can meet these rigorous instructional standards. This presents an opportunity to improve teacher training as the value of a qualification level is only as good as the quality of the programme that leads to the qualification.

Enforcing the diploma requirement for new teachers is essential to improving quality (Chan et al., 2024), but it also adds to hiring challenges. Low salaries for preschool teachers and those working in childcare, particularly in the private sector, result in a shortage of workers and high staff turnover to meet the demands of this growing sector. If preschools raised teachers' status by offering higher wages, improved working hours and better career advancement prospects, ECE would be better able to attract and retain highly qualified individuals as teachers. Existing teachers should have incentives and better opportunities to upgrade their qualifications. The Ministry of Education has recently offered teachers without diplomas an opportunity to enroll in nationally accredited Initial Teacher Education Institutes.

Teachers in Ministry of Education-run preschools are required to participate in continuing professional development (CPD) for at least seven days a year to stay up to date on best practices. The government could apply this rule to other preschools, including those in the private sector. The OECD’s 2013 Teaching and Learning International Survey (TALIS) indicated that teacher participation in professional development activities is very strong. More than 90% of teachers reported that they engage in professional development programmes for approximately 10 days per year, exceeding the Ministry of Education's requirement of 7 days annually (OECD, 2014). However, in a 2021 World Bank survey, 31% of teachers reported not receiving enough CPD in their schools (World Bank, 2023). The *Malaysia Education Blueprint 2013-25* set a goal that 60% of teachers' professional development would be self-initiated. CPD is compulsory to some extent in most OECD countries, typically as part of the job or as a requirement for promotion and wage increases. OECD research shows that CPD is more effective when it is ongoing, collaborative and embedded in schools' day-to-day work rather than left to one-off workshops (OECD, 2022b).

The quality of English teachers is a particular concern, given that instruction in public preschools is split equally between English and Malay. In a Department of Social Welfare study, 78% of predominantly Malay-speaking parents who sent their children to local preschools preferred English as the language of instruction for their children. Preschool teachers who are proficient in English are important to build a foundation in the language.

Streamlining the administrative structure for early childhood education

Reforming the administrative structure for ECE could also promote better outcomes. The Ministry of Women, Family and Community Development (MWFCD) is responsible for registering private childcare facilities, while other ministries (Education, Rural and Regional Development, and National Unity) also run centres. Preschools are under the direction of the Ministry of Education. The Ministry of Rural and Regional Development operates both childcare and preschools. The split between the leadership of childcare and preschool and the multiple providers creates coordination challenges in areas such as data collection, curriculum, teacher training, quality assurance, licensing, monitoring and funding allocation. For example, the Social Welfare Department in the MWFCD lacks the legal authority to monitor or inspect public childcare centres operated by other Ministries (Kong, 2024). Registered facilities that operate childcare and preschools must have two separate buildings since they are under the direction of different ministries. The administrative complexity encourages such facilities to operate without licenses (World Bank, 2023).

The government aims to strengthen policy coherence, quality assurance, and resource efficiency in ECE through incremental coordination across ministries, while maintaining the distinct institutional responsibilities (World Bank, 2023). Consolidating leadership for childcare and preschool in a single ministry, as proposed in legislation passed by a parliamentary committee in late 2025, would cut red tape and help ensure that every child gets a fair start. It would also promote a smooth transition from childcare to preschool. International experience shows that integrated systems have increased public investment in ECE and improved access to and the quality of services (Bennett, 2011). By contrast, the current fragmentation of responsibility for childcare and preschool education can create inequality through uneven quality standards and lower quality due to the lack of coherent goals and policies (World Bank, 2023). The *Thirteenth Malaysia Plan* supports a "restructuring of roles and functions of agencies to centralise education governance of preschool to secondary school, as well as pre-university to higher education".

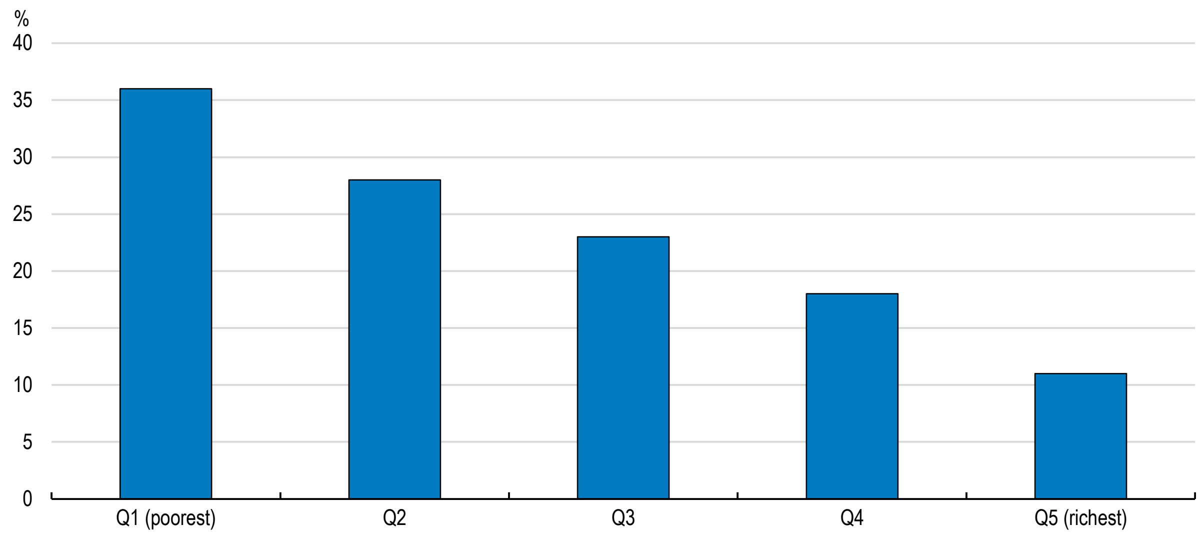
4.2.3. Promoting equal opportunities through early childhood education

Despite the rising preschool attendance, approximately 24% of children entering primary school still lack school-readiness skills. Moreover, 36% of those in the lowest income quintile do not meet school readiness standards, compared to only 11% in the richest quintile (Figure 4.8). The initial differences in school-readiness when entering primary school are magnified once children begin school (World Bank, 2024a). Access to preschool is limited for children from low-income families and those living in rural areas (Tee, 2024), underscoring the importance of expanding preschools in underserved areas.

In addition to educational gains, public investment in ECE promotes equity. The limited availability of free public preschools leaves low-income parents with limited options, as private providers may be too expensive. Proposed measures to improve preschool quality could further reduce the affordability of private institutions, even though fees are regulated by the government. Private preschools may apply for a fee increase three years after their last increase, but it cannot exceed 30%. Consequently, high-quality ECE may be limited to higher-income families, thereby widening the educational gap between children from different income groups. One way to address this challenge and further boost preschool enrolment would be to expand access to subsidies, which are currently limited to families in the bottom 40% of the population.

Figure 4.8. Students from low-income quintiles are less well-prepared for primary school

Percentage of students lacking school readiness



Note: The Word Bank defines school readiness as five distinct but interconnected domains: physical well-being and motor development; social and emotional development; approach to learning; language development; and cognitive development and general knowledge.
Source: World Bank (2024).

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The ultimate objective should be to make preschool affordable and compulsory (Chan et al., 2024). Globally, 46 countries, primarily upper-middle and high-income countries, have instituted free and compulsory preschool education (World Bank, 2023). Only 11% were located in the Asia-Pacific region. A UNESCO study found that the average enrolment rate in countries with free and compulsory preschool education doubled from 41.4% in 1999 to 82.8% in 2018. In contrast, it rose at a much slower pace – from 52.9% to 63.0% over the same period – in countries without free and compulsory preschool education (UNESCO, 2020). In addition, early childhood well-being, as measured by UNICEF’s Early Childhood Development Index, was significantly higher in countries with compulsory preschool education (84%) than those without (68%) (UNICEF, 2023).

The length of preschool education is another factor behind performance of students at later stages (OECD, 2017). Of 51 countries with compulsory preschool education, 29 require one year, and 22 require two years or more. In addition to making preschool mandatory for 5-year-olds, the government should consider extending it to 3- and 4-year-olds as well. In OECD countries, 79% of 3-year-olds and 90% of 4-year-olds are enrolled in preschool (OECD, 2020a).

One free year of preschool in Malaysia is estimated to have a fiscal cost around 0.2% of GDP and another 0.2% for children aged 3 and 4 (Rabi et al. 2020). Given the low spending on pre-primary education (Figure 4.7) and the particularly high returns on investment relative to other education levels (UNICEF, 2019), the case for investing more in this area is strong. Although spending on preschool education doubled from 1% of the Ministry of Education’s outlays (excluding tertiary education) in 2010 to around 2%, it remains below primary and secondary schools, which accounted for 50% and 47%, respectively, suggesting scope for rebalancing (World Bank, 2023). To ease the fiscal burden, preschool for children aged 3 and 4 could be initially financed by fees paid by high-income families.

Childcare and preschool could also play a key role in improving children’s health by providing nutritious meals. Although Malaysia is an upper-middle-income country, the share of children who are underweight increased from 11.6% in 2011 to 14.1% in 2019 (Table 4.3). In addition, the prevalence of stunting and wasting has risen. Malaysia should aim to achieve the Global Nutrition Target of reducing childhood wasting to less than 5%. Adequate nutrition supports cognitive development and promotes learning (World Bank, 2023), and progress towards universal preschool education could be a valuable way to promote better nutrition outcomes, which would then feed back into better educational achievement (Tiong, 2023).

Table 4.3. The nutritional status of children under age 5 has deteriorated

	2011	2015	2019
Underweight (low weight for age)	11.6	12.4	14.1
Stunting (low height for age)	16.6	17.7	21.8
Wasting (low weight for height)	12.4	8.1	9.7
Overweight and obese	6.5	7.6	5.6

Source: World Bank (2023).

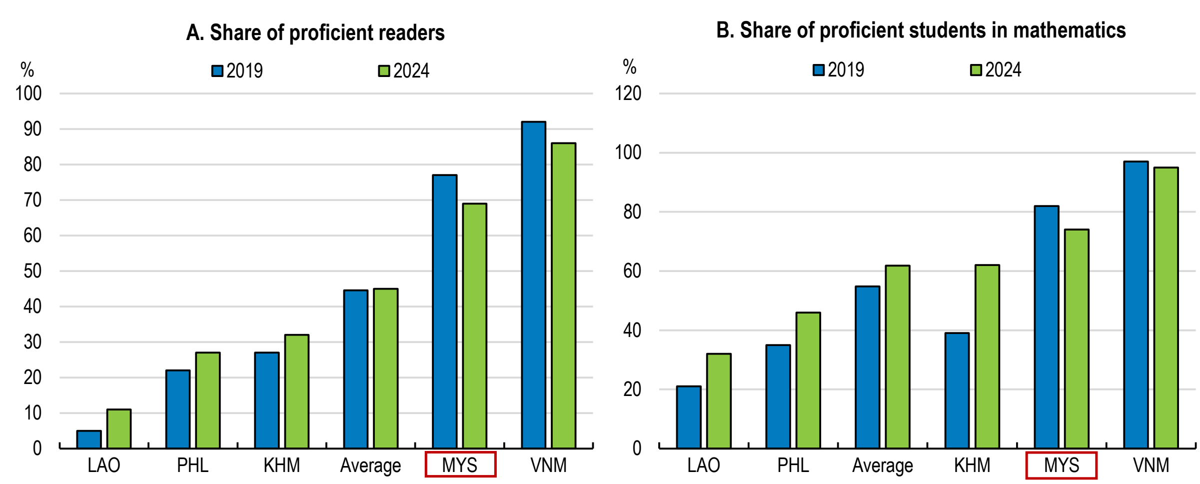
4.3. Primary and secondary schools

4.3.1. Learning outcomes in primary and secondary education can be improved

Challenges in school readiness among some students are likely to affect their learning outcomes, making it difficult for Malaysia to achieve its objective of improving learning outcomes and matching international standards (Ministry of Education, 2013). The share of grade 5 students proficient in the Southeast Asia Primary Learning Metrics fell by 8 percentage points in Malaysia between 2019 and 2024, remaining below Viet Nam (Figure 4.9). In the 2019 test, the share of proficient readers in Malaysia in the lowest-income quintile were less than half of that in the top quintile.

Malaysian students’ performance in the Trends in International Mathematics and Science Study (TIMSS) has declined. In 1999, the average score of Malaysian students in grade 8 (Form 2) in mathematics and science ranked in the top half of the participating countries (Figure 4.10, Panel A). By 2023, it ranked well below the international average in both subjects, indicating a decline relative to other countries (Figure 4.10, Panel B). Moreover, 41% of Malaysian students lack basic knowledge and skills in mathematics and 27% in science (Trends in International Mathematics and Science Study, 2023).

Figure 4.9. Proficiency in reading and mathematics has fallen, but still exceeds some lower-income ASEAN countries



Note: For students in 5th grade. Proficiency is defined as Band 6 or above.
Source: UNICEF & SEAMEO (2025), SEA-PLM 2024 Main Regional Report.pdf.

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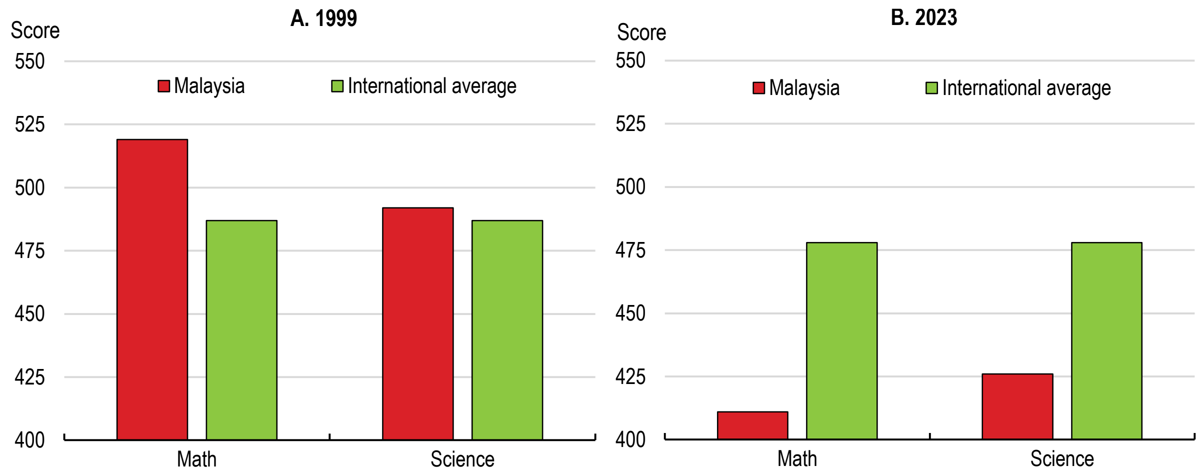
Figure 4.10. Malaysian students have fallen below the international average in the TIMMS



Note: For eighth-grade students.
Source: Trends in International Mathematics and Science Study (2023), Average Achievement (Grade 8) - TIMSS 2023.

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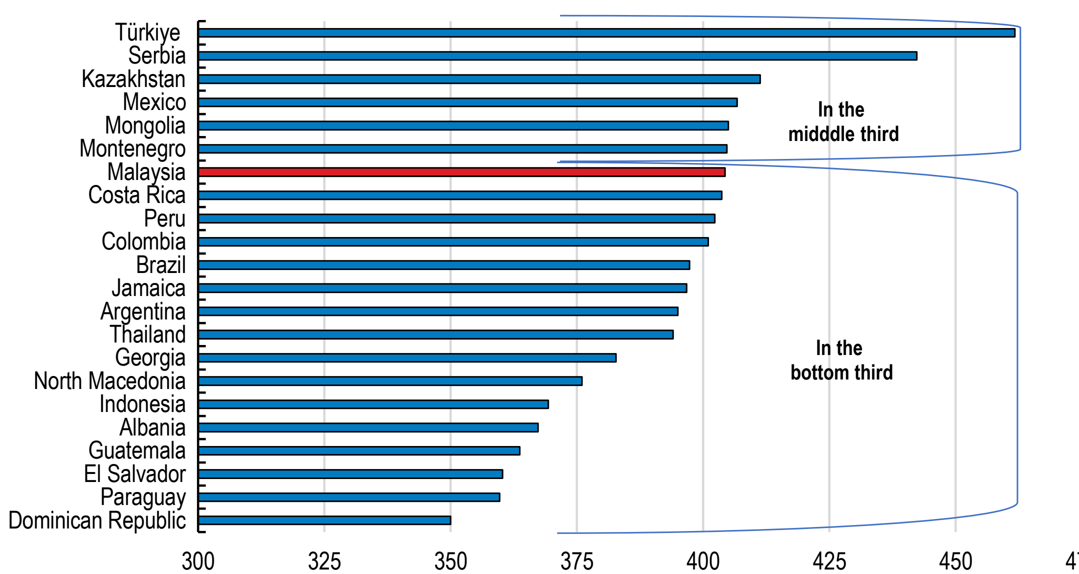
Malaysian students also perform relatively poorly on OECD's PISA, which assesses the ability of 15-year-old students to use their knowledge and skills in mathematics, reading and science to meet real-life challenges. Malaysia ranked in the bottom third of around 75 participating countries in the 2009 and 2012 PISA assessments. The *Malaysia Education Blueprint 2013-2025* set a goal of placing Malaysia firmly in the top third of PISA performers by 2025, and it moved up to the middle third in 2018. However, it fell back to the bottom third of countries in the 2022 PISA amid a global decline in PISA scores (Figure 4.11).

Figure 4.11. Malaysia's scores fell into the bottom one-third in the 2022 PISA

The scores of upper-middle-income countries relative to all countries that participated in the 2022 PISA



Note: The OECD average PISA score is set at 500 points with a standard deviation of 100. Malaysia's score of 404 is nearly one standard deviation below the OECD average. Of the 56 countries classified as upper-middle-income countries in 2022, 22 participated in the PISA. In Malaysia, 7 069 students in 199 schools completed the PISA test in 2022. Around 96% of the 15-year-old students taking the PISA test were enrolled in 10th grade.
Source: OECD (2023e), PISA 2022 Results (Volume I) | OECD.

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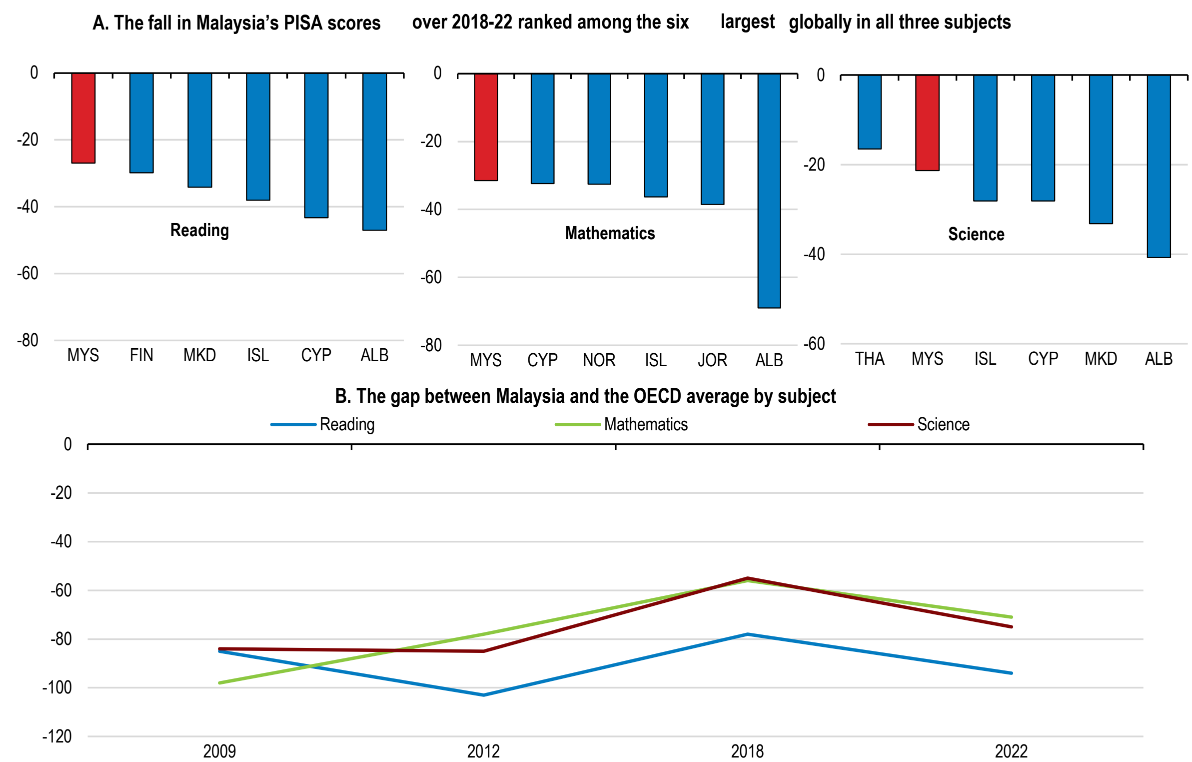
The decline in Malaysia's performance in PISA in 2022 is a matter of national concern. While most countries experienced decreases in PISA scores between 2018 and 2022 following disruptions caused by the COVID-19 pandemic, Malaysia ranked among the top six for the largest declines across all three subjects (Figure 4.12, Panel A). As a result, Malaysia's scores fell relative to the OECD average, with the largest gap in reading (Figure 4.12, Panel B), while some Southeast Asian countries maintained or improved their scores.

Figure 4.12. Malaysia's PISA scores have declined significantly



Note: Although Malaysia participated in the 2015 PISA Assessment, the results were not internationally comparable.
Source: OECD (2023), Full Report: PISA 2022 Results (Volume I) | OECD.

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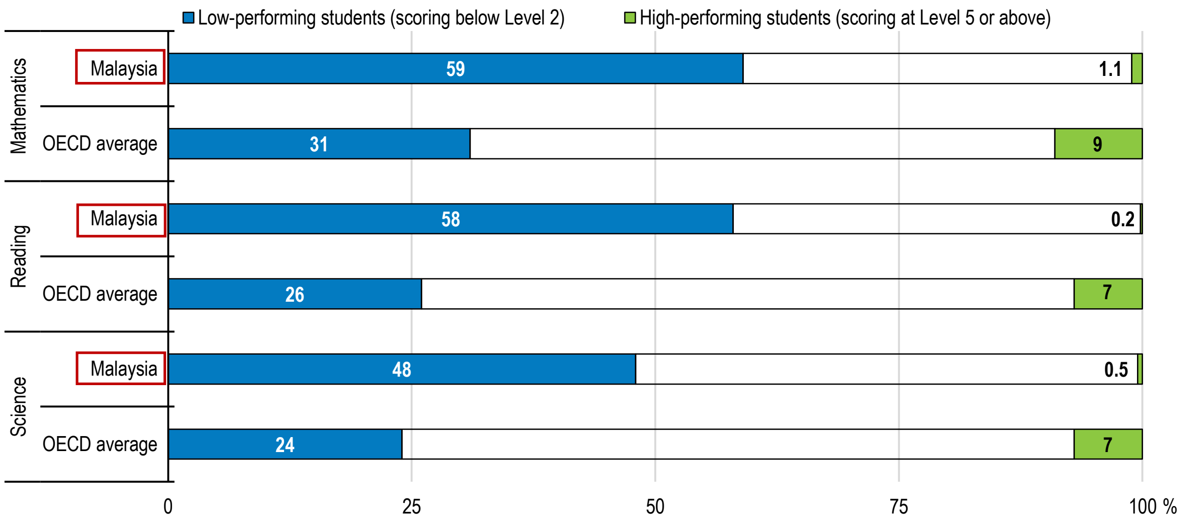
The large declines may be explained in part by long school closures during COVID-19, aggravated by problems with remote learning. According to the 2022 PISA, more than 80% of students in Malaysia reported issues with internet access, well above the OECD average (OECD, 2023f). Malaysian students experienced the longest learning disruptions in Southeast Asia, resulting in a loss of about 5.4-11.4 months of learning (Asian Development Bank, 2021). The decline in Malaysia's PISA scores is estimated to be equivalent to a loss of 1.6 years of learning in mathematics, 1.4 years in reading and 1.1 years in science (Azahar and Cheng, 2024).

The share of low-performing students (defined as those scoring below Level 2, the level of proficiency needed to participate effectively in society) in Malaysia in the 2022 PISA was about double the OECD average in all three subjects (Figure 4.13). In mathematics, 59% of Malaysian students were classified as low-performing compared to the OECD average of 31%. The share of high-performing students (scoring at level 5 or above) was close to 1% in each of the three subjects, well below the OECD average of 7% and 9%. The high share of low performers suggests a need for targeted interventions. The shares of high-performers in mathematics were much higher in other East Asian economies, such as Singapore (41%), Chinese Taipei (32%), Macao (China) (29%), Hong Kong (China) (27%), Japan (23%) and Korea (23%). The small share of high performers may have negative implications for Malaysia's innovation capacity and the large share of low performers is a potential drag on the economy. A 10% rise in Malaysia's PISA scores from about 400 to 440 would imply an increase in total factor productivity of 6.7%, although this would take decades to be fully realised (Egert et al., 2023).

Figure 4.13. Malaysia has many low-performing students and few high-performing ones



Source: OECD, PISA 2022 database.

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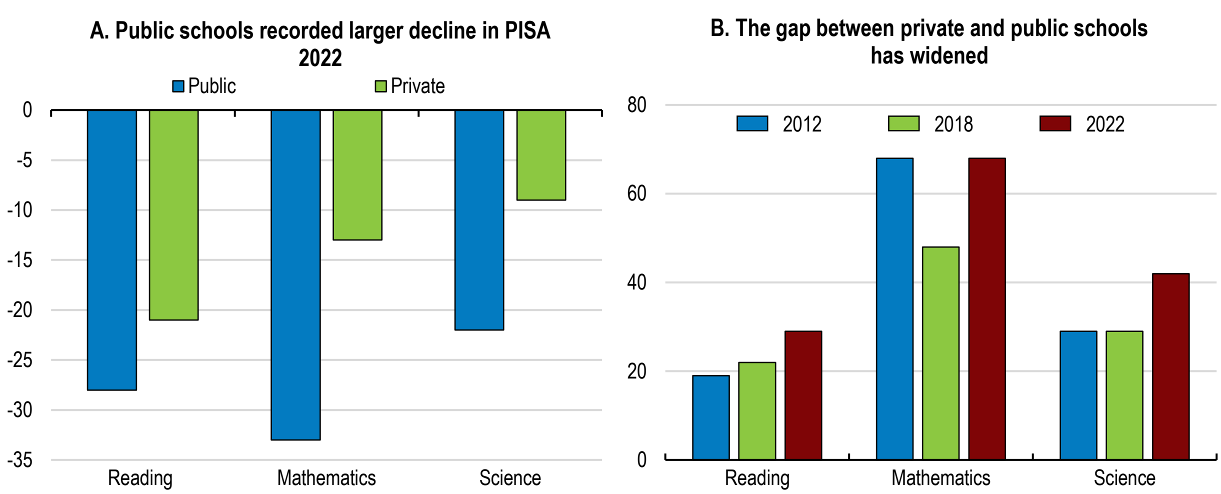
Several indicators suggest that parents' satisfaction with national schools has weakened. First, the share of non-Chinese students in Chinese primary schools has grown from 3% in 1989 to 20% by 2020. Second, private school enrolment has tripled since 2005, reaching 10% of secondary school students by 2020 (Azahar and Cheng, 2024). Private schools make greater use of English in teaching and have lower student-to-teacher ratios (Ruban, 2017). A widening gap in learning outcomes between public and private schools has also contributed to Malaysia's falling PISA scores, as the decline in public school scores between 2018 and 2022 exceeded that in private schools (Figure 4.14, Panel A). In 2022, private schools' scores were higher than public schools by 68 points in mathematics, 42 points in science and 29 points in reading (Figure 4.14, Panel B). The larger share of children from high-income families, who have greater access to supplementary learning resources, in private schools contributes to the growing gap with public schools. In addition, after-school tutoring has become widespread in Malaysia and plays a significant role in supporting academic achievement. However, it also presents issues related to equity and student well-being.

Figure 4.14. The gap between private and public schools in PISA has widened



Source : Azahar and Cheng (2024).

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While many indicators and international benchmarks point to significant challenges in Malaysia's education system, there are also many policy initiatives that go in the right direction and that Malaysia can build on. The success of education reforms to promote better outcomes and provide more equal opportunities will depend in part on policies discussed below to reduce the school drop-out rate, improve the quality of teaching and school leadership, move towards a less centralised education system, and expand the use of digital tools in ways that improve educational outcomes. Changes in education policy can have significant results over a relatively short period of time, as illustrated by Poland (Box 4.2).

Box 4.2. Poland: an example of reforms that led to a sharp rise in its PISA score

When communism ended in Poland in 1989, its education system was focused on vocational education to prepare students for lifetime employment in state-owned companies. Poland had one of the lowest participation rates in full secondary education and in higher education in the OECD in the 1990s.

In 1997, the government introduced an education reform with three major objectives: i) increasing secondary and higher education qualifications in the population; ii) ensuring equal educational opportunities; and iii) improving the quality of education. To accomplish these goals:

- A new core curriculum for secondary school was introduced.
- While curricular standards were set at the national level, curriculum development was decentralised to the local level. The objective was to change the teaching philosophy and culture of schools. Teachers were encouraged to focus on three dimensions of education: acquiring knowledge, developing skills and shaping attitudes.
- An accountability system was created to monitor results. External exams were implemented at the end of primary and lower and upper secondary schools to ensure that schools were improving. The *matura* exam for university admission became available to all secondary school students.

Poland participated in PISA for the first time in 2000. Polish students' average score was 479, well below the OECD average of 500 points. Moreover, more than 21% of students only reached level 1 or below. The PISA results revealed a sharp disparity between students in the general education system and those in basic vocational schools, among whom nearly 70% had literacy scores at the lowest level.

Poland's turnaround began between 2000 and 2003. In the 2003 PISA, Poland's average score increased to 497. Moreover, the variance between schools in student performance in reading, mathematics and science recorded the most significant decline among OECD countries. The improvement continued in the 2006 PISA: the average scores of Polish students reached 534, an 11.5% increase in six years. The rise in 2006 was driven in part by a 115-point improvement by students who previously would have been assigned to basic vocational schools but instead received an extra year of general secondary school curriculum in the new system. Indeed, Poland ranked 9th in the world in the 2006 PISA.

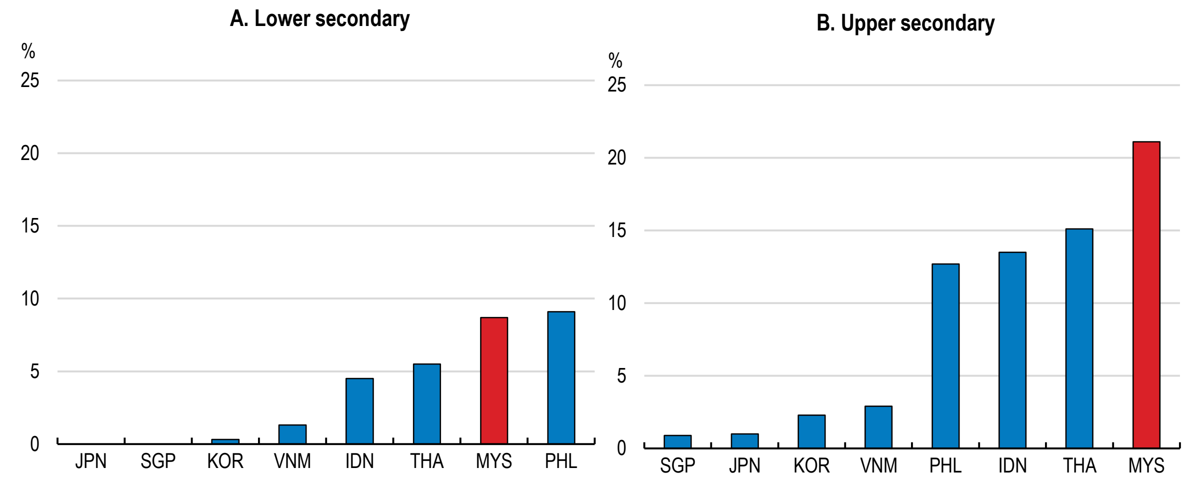
In sum, changing the curriculum to improve teaching methods, decentralising curriculum development to the local level, allowing all students to take the university admission exam and instituting an accountability system to monitor results helped Poland achieved remarkable results. While not all of these specific reforms may apply to the Malaysian context, this illustrates the potential of reform to improve outcomes.

Source: OECD (2011), Lessons from PISA for the United States | OECD.

4.3.2. Moving towards longer mandatory schooling and a lower school entry age

While Malaysia provides 11 years of free primary and secondary education, only 6 years were mandatory until 2025, compared to 9 years in Indonesia and Thailand. Applying the international definitions, in 2018, only 82% of youth completed lower secondary education, well below the OECD average of 96% and 98% in Viet Nam (OECD, 2023f). In 2023, 9% of lower-secondary-age youth were not enrolled and more than one-fifth at the upper-secondary level, significantly higher than in other ASEAN-6 countries (Figure 4.15). Many of the dropouts are in the lowest socioeconomic strata and the most rural communities. For example, about a quarter of children from West Malaysia's indigenous communities do not transition from primary to lower secondary school. Since 2025, all 11 years of schooling have been made mandatory. This is likely to decrease dropout rates and retain vulnerable students longer in the education system. The returns to lengthening compulsory schooling can be sizable, especially for marginal students (OECD, 2019b). At the same time, it creates challenges as Malaysia does not have sufficient school places to meet this goal in the short term.

Figure 4.15. The share of students not enrolled in secondary school in Malaysia is high (2023)



Source: UNESCO (2025), World education statistics, 2025 - UNESCO Digital Library.

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The recent decision to lower the primary school entry age from 7 to 6 in 2027 will also bring Malaysia closer to international norms and better harness the rapid cognitive development of young children. This transition will create some logistical challenges in 2027, as primary schools will have to provide two first-grade classes. To ensure that 6-year-olds are ready for primary school, the government is making at least one year of preschool education compulsory (Box 4.1) and strengthening the transition from preschool to primary school. The revised 2026 preschool curriculum is more closely aligned with the primary school curriculum, creating a clear progression path for student development. In 2027, parents will have the option of delaying their children's entry to primary school until age 7 if they feel their children are not adequately prepared.

4.3.3. Improving the quality of teaching and school leadership

Teachers play the most important role for promoting student learning within schools. OECD research stresses the importance of professional frameworks that provide a strong foundation for effective teaching by identifying what teachers should know and be able to do. Malaysia's teacher standard, Standard Guru Malaysia (SGM) 2.0), delineates the ethical standards required of educators and required competencies for each stage of a teacher's career. Malaysia also utilises a Training Curriculum Framework to ensure that teachers acquire relevant skills required for the profession. This framework serves as a comprehensive guideline for teachers and training providers to meet quality benchmarks. Box 4.3 provides several other examples of professional frameworks for teachers in Saudi Arabia, Singapore and the United States.

In Malaysia, teachers' academic credentials appear strong. Nearly all prospective teachers accepted into Initial Teacher Education Institutes (IPG) (ISCED Level 4) ranked among the top 30% of students in the SPM national exam (World Bank, 2024a). All teacher candidates prior to appointment must satisfy rigorous selection criteria, including the Teacher Candidate Eligibility Test. Around 50% to 60% of primary school teachers have at least a bachelor's degree (ISCED Level 5), and the share is 94% for secondary schools. The remaining teachers typically hold diplomas or specialized teaching certificates from an IPG. However, ensuring that teachers obtain the required qualifications is not sufficient to ensure high-quality teaching. During the preparation of the *Malaysia Education Blueprint 2013-2025,* broad consultations by the Ministry of Education found "a surprisingly high degree of consensus on some topics such as the importance of raising the quality of teachers". In the OECD's 2022 PISA study,, 22% of students attended schools whose principals reported that the school's capacity to provide instruction was hindered by inadequate or poorly qualified teaching staff. The corresponding share in 2018 was 13% (OECD, 2023f). In sum, an increasing number of students are facing less qualified teachers, which may have long-lasting impacts on learning outcomes (Azarah and Cheng, 2024). At the same time, class sizes have increased, reaching 29.8 students, which is higher than the OECD average of 25.5 (OECD, 2023f).

Box 4.3. Professional frameworks for teachers: Saudi Arabia, Singapore and Colorado, USA

Clear professional standards for teachers provide a foundation for effective teaching and are most impactful when they are developed in dialogue with teachers and allowed to evolve in response to experience and changing needs (Révai, 2018). The *Malaysia Education Blueprint 2013-25* reported that the school inspectorate (JNJK of the Ministry of Education) rated only 13% of schools as having "good or excellent" teaching and learning practices, compared to 63% of the schools themselves. The wide discrepancy suggests the need to build a common understanding of what good teaching looks like, and to prepare teachers to meet that standard (Ministry of Education, 2013).

Saudi Arabia

Teaching has traditionally been seen as a secure, though not highly prestigious, profession in Saudi Arabia. The introduction of teacher standards and professional pathways in 2020 may have helped shift the perception of teaching from a "government official" role towards a more knowledge-based profession. The standards focus on ethics and responsibility, knowledge, and effective teaching and are continuously updated and aligned with international norms. In addition, the standards establish a three-stage performance-based career path for teachers–Practitioner, Advanced and Expert. Teachers are appraised by their principals (OECD, 2020b). Following the implementation of the standards, all in-service teachers were required to take a certification examination. Those who failed had six years to become qualified, while those teachers who passed were certified as Practitioner Teachers and those with high scores were preliminarily designated as Advanced or Expert Teachers for four years during which they had to prove the competence required for the higher status, or they were moved down to the level below. All teachers must renew their status every five years.

Singapore

Singapore has a career structure that offers teachers opportunities to advance. New teachers typically spend about five years as "classroom teachers". Once their supervisors agree that they are ready for additional responsibilities, they can move onto one of three tracks: teaching, leadership (leading to being a school principal) and specialist. Teachers are judged on three outcomes: student learning, professional development and organisational aspects. As in Malaysia, there is a single and autonomous provider of initial teacher education (the National Institute of Education) (Révai, 2018).

The U.S. state of Colorado

The Colorado Teacher Quality Standards, introduced in 2013 at the primary and secondary school levels, outline the knowledge and skills required of an excellent teacher: i) demonstrate mastery of the subjects they teach and pedagogical expertise; ii) establish an inclusive and respectful learning environment for a diverse student population; iii) plan and deliver effective instruction; and iv) demonstrate professionalism through ethical conduct and leadership of students (Colorado Department of Education, 2013). The standards form the core of the teacher evaluation process and serve as a tool for teachers' professional development. Colorado's upper secondary school graduation rate rose from 73.9% in 2011 to 82.3% in 2022, narrowing the gap with the nationwide rate by 1 percentage point. In addition, third-grade proficiency rates in Mathematics and English were higher in 2023 than in 2015 despite a decline during the COVID-19 pandemic. Overall, Colorado's education system was ranked at 18th among the 50 states, based on test scores, teacher quality and pay, school safety, student outcomes, dropout rates, per-pupil spending, and class sizes (America's Dashboard, 2026).

The *Malaysia Education Blueprint 2013-2025* called for the government to "Transform teaching into the profession of choice" and proposed reforms to enhance the quality, effectiveness and professionalism of teachers (Box 4.4). The Master Plan for Teacher Professionalism Development is reinforcing the Blueprint. The Ministry of Education has structured teacher careers into the Teaching and Learning pathway, and the Leadership and Management pathway. Both pathways offer a merit-based career progression and are not solely focused on time-based progression. Incentives can play a key role in attracting highly qualified and motivated individuals into the teaching profession, and in ensuring the continuous motivation and high performance of teachers, who have lifelong employment as civil servants. Career progression should be merit-based rather than time-based (Chan et al., 2024). Salaries, prospects for career progression, performance-related pay and disciplinary measures in case of weak performance should all play an important role in the incentives that both teachers and principals face (Woo, 2019). One example of how good incentives can improve the performance of education systems is the experience of the Brazilian state of Ceará in the early 2000s (Box 4.5).

Box 4.4. The *Malaysia Education Blueprint 2013-2025*: A strategy to improve the quality of teaching

- Recruitment and selection: Establishing merit-based recruitment processes to attract high-quality candidates into the teaching profession.
- Professional development: Implementing continuous professional development programmes to upgrade teachers' knowledge and skills, equipping them to deliver high-quality education.
- Career progression: Providing clear pathways for career progression based on performance, qualifications, and experience, thus incentivising teachers to excel.
- Performance management: Implementing robust performance evaluation systems to assess and support teachers in improving their effectiveness in the classroom.
- Teacher standards: Establishing clear standards and expectations for teachers' conduct, competency, and professionalism.
- Leadership development: Offering leadership development opportunities to nurture and empower school leaders who can drive positive change and foster a culture of excellence.
- Recognition and rewards: Recognising and rewarding outstanding teachers and school leaders for their contributions to education excellence.
- Collaboration and networking: Encouraging collaboration and networking among teachers, schools, and educational institutions to share best practices and professional growth.
- Support systems: Providing comprehensive support systems to address the diverse needs of teachers, including mentoring, counseling and well-being initiatives.
- Stakeholder engagement: Engaging stakeholders, including teachers, parents, communities, and policymakers, in the design and implementation of teacher development initiatives to ensure relevance and effectiveness.

Source: Ministry of Economy (2013), *Malaysia Education Blueprint 2013-2025*.

Teacher appraisals are a precondition for promoting good performance. The PISA results show that high-performing countries have strong teacher appraisal mechanisms that focus on teachers' continuous improvement (OECD, 2018a). The frequency of teacher self-appraisals in Malaysia has been reduced to once a year to reduce the administrative burden on teachers. Since 2016, Malaysia has been using the Integrated Evaluation for Education Service Officers. However, only 0.02% of teachers scored below 60% in the performance evaluation between 2010 and 2020. These high ratings are hard to reconcile with student performance on international assessments. Moreover, only about 0.6% of teachers leave the profession before retirement age, suggesting that teacher appraisal may not be effective in identifying weak performers and triggering appropriate action, such as removing teachers who consistently perform poorly from classrooms (World Bank, 2024a).

Box 4.5. The power of incentives in education: Lessons from the Brazilian state of Ceará

The experience of Brazil shows that progress is possible with better incentives in education systems. Unlike in Malaysia, Brazilian states are responsible for their education systems, and both the levels and trajectories of the performance of these subnational systems show significant heterogeneity. One positive example is the improvement in the relatively poor northeastern state of Ceará. Starting from a very low base, the state of Ceará has become one of the top performers in education quality. This progress was based on an effective mix of increasing resources and introducing incentive mechanisms (OECD, 2011; Boekle-Giuffrida, 2012). Practices included an early extension of compulsory schooling, production and distribution of structured course materials to all schools, and elements of performance-related pay for teachers and principals, coupled with teacher training and management support for schools. In all cases, incentive-based measures were coupled with periodic appraisals.

Source: OECD Economic Survey of Brazil, 2018.

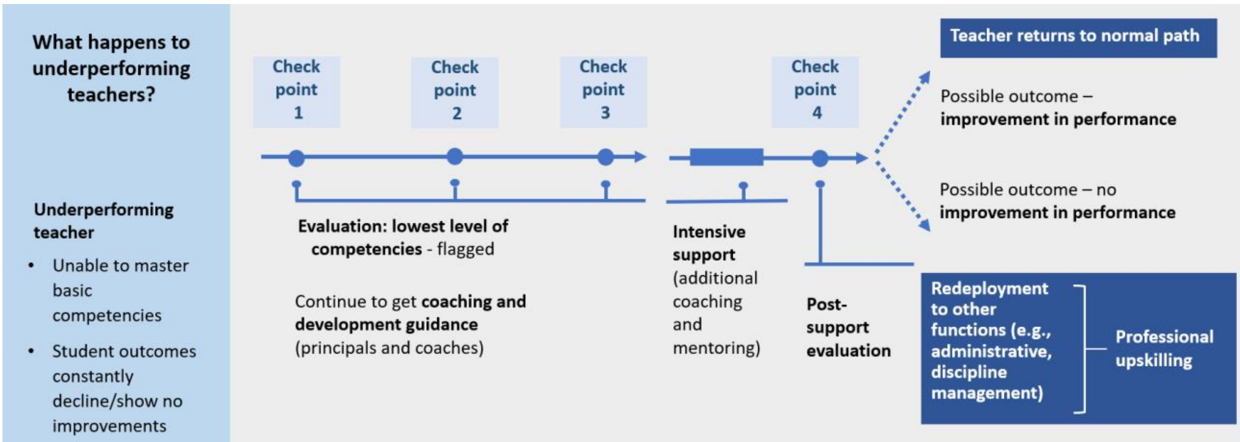
Incentives for teachers to improve the quality of their teaching are typically weak without effective appraisal systems (World Bank, 2024a). An objective appraisal system should be a precondition for career progression and monetary rewards for high-performing teachers (OECD, 2019a). Malaysia's Integrated Evaluation for Education Service Officers should effectively link appraisal outcomes to incentives such as annual salary progression, career advancement and professional recognition. Such rewards could also attract more talented individuals to teaching and improve remuneration for those who perform well (OECD, 2024b). The annual average teacher salary in Malaysia in 2026 was MYR 61 680 (USD 15 300), 18% below the national average (World Salaries, 2026).

The *Malaysia Education Blueprint 2013-2025* called for a "robust performance evaluation system" based on an annual appraisal of teachers by their principals. The appraisal is to evaluate teachers' ability to deliver effective instruction in and out of the classroom based on four elements (Figure 4.16): i) a clear definition of underperformance; ii) evaluation of teacher performance; iii) coaching and mentoring to improve teacher performance; and iv) redeployment to other tasks in case of continued underperformance. Rigorous use of this assessment mechanism is essential to improve the quality of teaching.

Assessments of teachers' performance should be carefully related to students' learning outcomes and benchmarked to international standards in order to find areas for improvement. Such an evaluation should aim to identify a teacher's contribution to student learning rather than rely solely on test results. The *Malaysia Education Blueprint 2026-2035* moves beyond teacher appraisal based on traditional academic results to consider a teacher's effectiveness in nurturing a holistic, balanced individual, which includes a student's character, resilience, digital fluence and physical health. In addition, teachers are evaluated on their teachers are evaluated on their ability to manage mixed-ability classrooms, utilise AI tools in teaching, and execute targeted learning interventions based on new metrics (Ministry of Education, 2026). In addition, an effective teacher appraisal should have three key elements: i) sufficient investment of time from principals, other evaluators and teachers; ii) evaluators with the required expertise; and iii) teacher acceptance of the system as fair and trustworthy, encouraging them to use the results of the assessment (Schleicher, 2020).

Two other components of the *Blueprint* (Box 4.4) could support teachers' efforts to improve performance. First, improving continuous professional development programmes to upgrade teachers' knowledge and skills is important. Given that most teachers who will be in classrooms during the next thirty years have already been recruited, the government should prioritise in-service teacher training to improve performance. Over 90% of teachers report that they spend about ten days annually in professional development, exceeding the Ministry of Education's annual requirement of seven days. The scope of training activities is varied, encompassing self-directed learning, external workshops, and school-based coaching activities. The IPG has conducted 2789 training sessions with a total participation of 636,500 by the end of 2025. Second, providing clear pathways for career progression based on performance, qualifications, and experience would incentivise teachers to excel. Teacher appraisal outcomes are linked to incentives such as annual salary increases, promotions, professional recognition and career development, encouraging sustained improvements in teaching quality.

Figure 4.16. A framework for dealing with consistently underperforming teachers



Source: Ministry of Education.

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One element of weak teacher performance is absenteeism. In a 2019 SEA-PLM survey, nearly 40% of grade 5 students reported that their teachers were "often" or "sometimes" absent, compared to 9% in Viet Nam (UNICEF & SEAMEO, 2020). In one well-known case, three students successfully sued their English teacher, as well as the school principal, the education minister and the government, for violating their right to education. The English teacher had failed to attend class for seven months (South China Morning Post, 2023), suggesting a lack of teacher motivation, ineffective disciplinary measures and corruption in school management. Some teachers are reportedly absent because of other income-generating activities. In addition to absenteeism, 64% of fifth graders said that their teachers were "often" or "sometimes" late, much higher than the 14% in Viet Nam (UNICEF & SEAMEO, 2020). Effective application of the new assessment framework (Figure 4.16) and performance-related pay to boost teacher motivation would help address these problems.

Scope for further progress is greatest with respect to the quality of English teaching. When the government tested English teachers in 2013, 52% were found to be proficient in English according to an internationally recognised standard. The *Malaysia Education Blueprint 2013-2025* set a target of ensuring that every English teacher achieved the proficient user level in English. Training focused on the 14 479 teachers who had some English ability but did not achieve that level. By 2020, the share of teachers who reached proficiency levels remained nearly unchanged at 53%, indicating significant scope for further improvement through continuing professional development (World Bank, 2024a). Raising English proficiency is a government priority; in launching the Malaysia Education Blueprint 2026-2035, the Prime Minister highlighted the need for strong English proficiency to compete globally, especially in fields such as digital transformation, energy transition and artificial intelligence (Zalani, 2026). The government's aspiration is that students should be able to work in both Malay and English after graduation.

A specific concern voiced about teaching practices in Malaysia is the strong emphasis on rote learning. The *Malaysia Education Blueprint 2013-2025* raised concerns that teaching is focused on memorising facts rather than developing critical thinking skills. Around 70% of lessons test the ability to recall facts, while only 15% require synthesising information. A 2024 study recorded 333 hours of instruction by 140 teachers in 24 public secondary schools. It found that "the homogeneous teaching practices do not engage and advance students' learning and thinking beyond more rote forms of educational processes". Teachers struggle to use pedagogical practices that are "conducive to cultivating thinking" (Tee and Boon Kheng, 2024). The government has introduced some "higher-order thinking skills" questions into exams to address this. Malaysia no longer groups students by achievement levels, particularly in primary schools, helping avoid labelling children too early in their education and undermining their motivation and sense of self-worth. However, it requires that teachers provide differentiated learning approaches that adjust lesson content to a range of students' abilities.

The overall quality of teaching is also negatively affected by the relatively long time that teachers in Malaysia spend on administrative responsibilities. The OECD's Teaching and Learning International Survey found that teachers in Malaysia spend 15 hours a week on non-teaching duties, compared to an OECD average of 6.5 hours in the latest available data (OECD, 2014), and this remains a concern. The heavy teacher workload, combined with limited career advancement opportunities, negatively affects teacher retention and morale. Reducing administrative burdens would allow teachers to focus more on teaching and spend more time with students, thereby improving learning outcomes. It would also leave more time for professional development while improving teachers' well-being. The Ministry of Education has made efforts to alleviate teachers' burdens by standardising and streamlining data-collection processes and urging schools to reduce teachers' workloads on administrative committees (World Bank, 2024a). The 7 Immediate Measures for Teacher Wellbeing enacted in 2023 included reducing the frequency of teachers' self-assessment to once annually. Continued efforts are needed, including moving some administrative functions to a centralised service centre, adding administrative staff at the school level, and making greater use of technology.

After teachers, the quality of principals and other school leaders is the second biggest school-based factor in determining student outcomes. International research on school leadership shows that an outstanding principal is one focused on improving instruction rather than on administrative duties. Effective school leaders can raise student outcomes by up to 20% (Ministry of Education, 2013). The selection criterion for principals, however, is primarily based on their teaching tenure and seniority rather than leadership abilities. All too often, the job of a principal in Malaysia is considered as a brief, pre-retirement posting. Instead, principals should be chosen by capability through a structured, rigorous selection process rather than by tenure, and provided with job-specific training (Chan et al., 2024). As of 2013, 55% of principals received no training before or during their first three years of service.

4.3.4. Moving towards a less centralised education system

In many dimensions relevant for improving education outcomes, Malaysia's education system is one of the most centralised in the world (World Bank, 2013). Responsibility for education is concentrated in the federal (central) government. The Ministries of Education and Higher Education formulate, coordinate, and determine national education policies, including matters such as curriculum standards, textbooks for public primary and secondary education, national standardised examinations, the language of instruction, school uniforms for students, and appointments of teachers and principals (Samuel et al. 2017). Below the Ministries, the education system has three levels: 16 State Education Departments (SEDs), 138 District Education Offices (DEOs) and the schools. The state and district offices monitor and coordinate programme implementation and the DEOs act as a bridge of communication between schools and the SEDs.

Centralised education systems have many advantages, such as facilitating nationwide uniformity in education and an equitable distribution of spending and assets. However, they also face challenges. First, subordinating the subject and pedagogical expertise of teachers and principals to the decisions made at the federal government level can lead to suboptimal outcomes. Top-down approaches tend to foster "one-size-fits-all" methods. Second, communication problems can result from the flawed implementation of nationwide reforms at the school and in the classroom. Third, messages sent by the Ministry may differ from what teachers understand, as they pass through the state and district education authorities. Fourth, teachers' limited "ownership" of reforms initiated by the federal government may undermine their success (Tee, 2024).

Malaysia's steady stream of policy initiatives and blueprints coming from above may contribute to "reform overload" for teachers and principals (Tiong, 2023). According to one study, the centralised approach has "somewhat disempowered or de-professionalised teachers and school leaders, leaving little room for them to be more responsive to the distinct needs of their students" (Tee and Lee, 2024). The *Malaysia Education Blueprint 2013-2025* noted that implementing policies through this network is "complex" and identified key challenges: i) the overlapping responsibilities of the federal, state, and district education levels; ii) limited coordination across divisions and administrative levels; iii) launching initiatives despite inconsistent information and insufficient support; and iv) weak outcome-based monitoring and follow through.

Across OECD economies, many education systems have increased school autonomy, notably by adapting curricula and teaching and learning to students' needs. Decentralisation of education systems can allow local authorities to innovate and respond to local situations (OECD, 2018b) and increase efficiency. Many schools have become more autonomous, while becoming more accountable to students, parents and the wider public (OECD, 2023b). This would also enhance competition between schools, stimulating innovation and reducing mismatches between education supply and demand. Evidence suggests a positive relationship between greater school autonomy and learning outcomes, as measured by PISA tests (Lastra-Anadón and Mukherjee, 2019; OECD, 2023g).

However, the gains from increasing school autonomy are not automatic. Instead, they hinge on carefully combining autonomy and accountability, including a strong national framework and a clear strategic vision, well-adapted school leaders and teacher training programmes, and accountability mechanisms (OECD, 2018b), areas where Malaysia faces challenges. More autonomy should be accompanied by performance incentives, regular evaluations and corrective measures if performance falls short of expectations.

The *Malaysia Education Blueprint 2013-2025* recognised the need for decentralisation: "The roles of the federal, state and district levels will be streamlined", with the federal office focused on policy development and macro-level planning, and the state and district level offices strengthened to drive day-to-day implementation. The *Blueprint* states that the state and district offices "will increasingly be able to make key operational decisions in budgeting, such as maintenance allocations for schools, and in personnel, such as the appointment of principals". The *Blueprin*t calls for the Ministry of Education to "Allow greater school-based management and autonomy for schools that meet a minimum performance criteria". This increased emphasis on school-based management will also be accompanied by sharper accountability for school principals. The guiding principle of decentralisation should be to allow teachers and principals to have greater say in defining the most appropriate means to achieve the policy objectives set by the federal government. Rather than setting a minimum performance criterion as a requirement for greater school-based autonomy, allowing autonomy may enable schools with the necessary capacity to achieve better results.

4.3.5. Making greater use of digital technologies

More than one-third of students in Malaysia do not have a digital device to participate in online home-based teaching and learning and four-fifths do not have high-speed internet access. The 2022 PISA study found that only 19% of Malaysian 15-year-olds used digital resources at least once a week to prepare a school assignment, about half of the OECD average (OECD, 2024b). The World Digital Competitiveness Ranking shows Malaysia in the middle of 69 countries and second among countries with a per capita income below USD 20 000 (Table 4.4). However, its ranking has fallen across all three sub-components of this measure since 2021.

Empirical evidence shows that the effectiveness of digital tools in improving learning outcomes is conditional on other policies, including adapting pedagogical approaches, curricula and assessments to digital education, building educators' digital capacity, and aligning human resource policies with digital education (Boeskens and Meyer, 2025). The government has created plans aimed at implementing such policies:

- The Ministry of Education created the DELIMa platform in 2020 as a comprehensive digital learning ecosystem to help teachers integrate digital technologies, including AI, into their lesson plans.
- The Digital Education Strategic Plan 2021-25 aimed to integrate digital technology into the education system to empower students and educators.
- Malaysia's Digital Education Policy (DEP), launched in 2023, provides a framework for digital transformation, ensuring students and educators are digitally fluent and competitive.

Remaining gaps need to be addressed through targeted interventions. The 2018 PISA found that Malaysia has a significant digital divide in its education system, with rural areas lagging behind urban areas, and socio-economic gaps leading to disparities in digital resources. Funding for digital learning remains inadequate, especially for rural schools. Many schools still lack high-speed internet, digital devices and teacher training. Deteriorating physical infrastructure in some schools hinders efforts to integrate digital learning tools (Ismail, 2025). Continued efforts to strengthen digital learning platforms in underserved schools are a priority.

Table 4.4. Malaysia ranks in the middle in digital competitiveness, although its score has fallen

Among the 69 countries ranked by the International Institute for Management Development

	2021	2022	2023	2024	2025
Overall	27	31	33	36	34
Knowledge	22	25	29	34	29
Technology	26	29	27	35	34
Future readiness	29	31	33	36	40

Source: IMD (2025), World Digital Competitiveness Ranking 2025 - IMD business school for management and leadership courses.

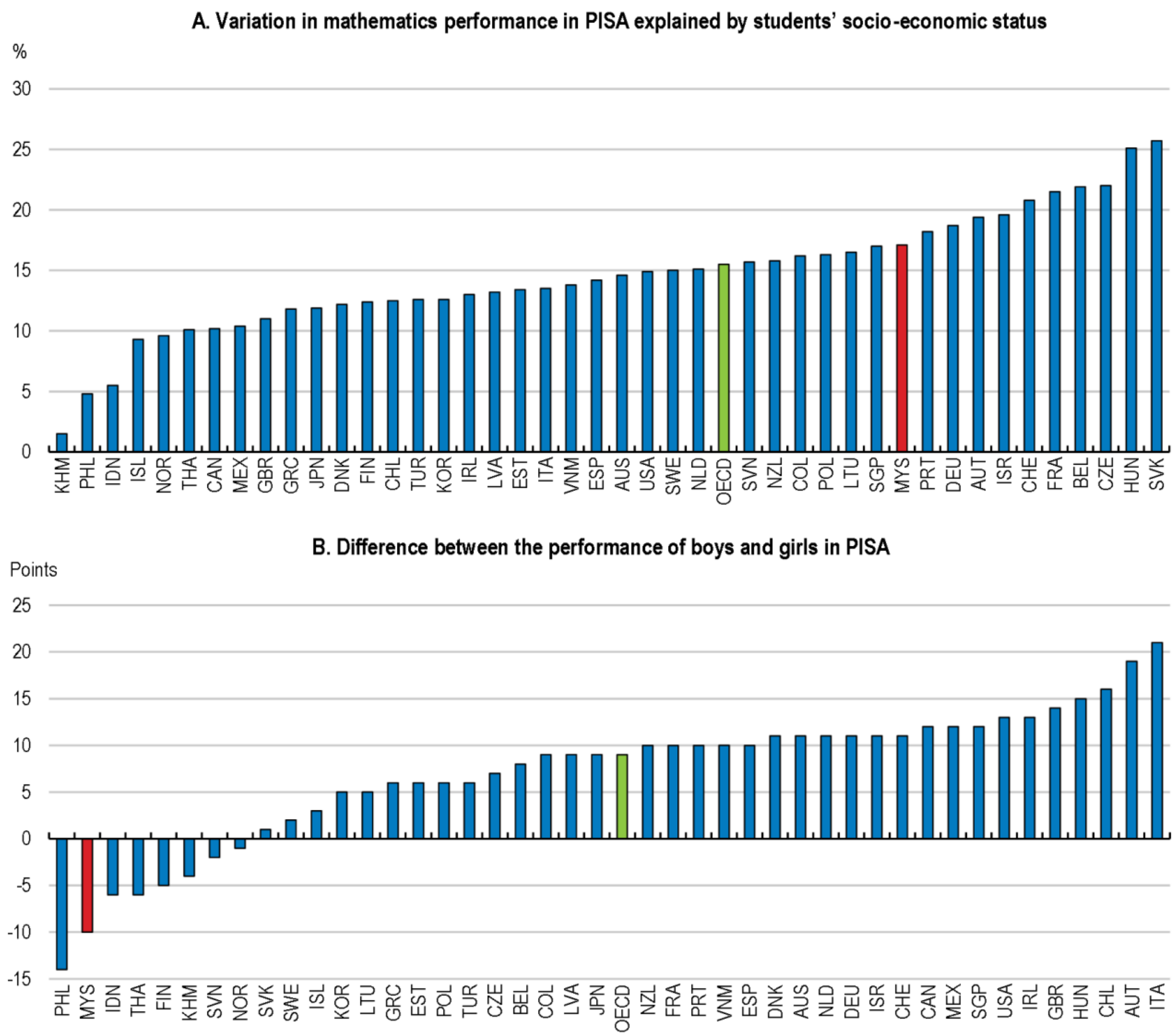
4.3.6. Education reforms can help provide more equal opportunities

While improving average student performance is crucial, it is also important to reduce the gap between low and high-performing students. Inequality is partly due to regional disparities. The gap between urban and rural results on the SPM is a persistent concern (OECD, 2019b). While the share of the rural population has fallen from three-quarters in 1960 to around one-fifth, the gap between urban Peninsular Malaysia and rural East Malaysia remains significant. Indeed, absolute poverty rates in Sabah and Sarawak in East Malaysia were 17.7% and 8.4%, respectively, in 2024, based on Malaysia's Household Income and Expenditure Survey. The "last mile" for education provision has proven challenging. During the last two decades, enrolment in primary school has plateaued at 95–98%. In Sabah, where 37.4% of rural households lived more than 9 kilometres away from a secondary school in 2019, 6.3% of primary school-age and 9% of secondary school-age children did not attend school (Tee, 2024). Inequality also varies by ethnicity; the poverty rate for the Bumiputera is 6.6% compared to 1.5% for ethnic Chinese. Public education spending helps improve equity by allocating more spending per student to states with lower per capita incomes, particularly Sabah and Sarawak (World Bank, 2024a).

As in most countries, socio-economic background has a significant influence on students' learning outcomes in Malaysia, reflecting disparities in access to digital resources, quality learning environments and academic support at home. In the PISA 2022 study, Malaysian students from higher socio-economic backgrounds scored 80–90 points higher than their disadvantaged peers. Socio-economic status accounted for 18% of the variation in mathematics performance in Malaysia, compared with the 15% OECD average (Figure 4.17, Panel A). Between 2012 and 2022, the gap between the top and bottom 25% of students in terms of socio-economic status remained stable in mathematics and science but widened in reading. Students in poorer regions of the country face several challenges. First, many rural schools lack basic facilities and have limited internet access, a serious drawback, particularly during the pandemic. Second, they face a shortage of qualified teachers, as many educators prefer urban assignments. Third, lower-income families struggle to afford tuition, transport to school and uniforms.

Providing equal learning opportunities for all students is a priority. Equity does not mean that all students obtain equal education outcomes, but rather that differences in students' outcomes are unrelated to their socioeconomic status, over which students have no control (OECD, 2024d). For schools that consistently underperform, Malaysia implements targeted support measures such as strengthened instructional leadership, intensified coaching, resource optimisation and continuous monitoring. In line with the *Malaysia Education Blueprint 2013–2025*, the government strengthened the capacity of the State Education Departments (SEDs) and the District Education Offices (DEOs) to provide needs-based and context-specific solutions. In addition, School Improvement Partners (SIPartners+) and School Improvement Specialist Coaches (SISC+) provide coaching, mentoring, and technical support to school leaders and teachers (Padzil et al., 2019). Quality assurance within schools is also monitored through regular performance reviews, data analysis (including the SPM, school-based assessments and attendance/engagement indicators) and continuous improvement cycles led by the DEOs. The government also provides assistance to students from households in the bottom 40% of the income distribution through the Early Schooling Assistance programme, Underprivileged Student Trust Fund and the Supplementary Food Plan.

Figure 4.17. The impact of socio-economic factors on Malaysia's PISA scores was relatively high



Note: Both panels are based on the 2022 PISA in mathematics. A negative score indicates that girls outperformed the boys.
Source: OECD (2023c), [Full Report: PISA 2022 Results (Volume I) | OECD](#).

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Other initiatives may help support disadvantaged students. One priority discussed above is expanding access to preschool and improving its quality, thereby helping children acquire essential educational and social skills. Better communication between parents and teachers, thereby encouraging parents to be more involved in their child's education, is particularly important for disadvantaged students. Educational authorities should also set ambitious goals for disadvantaged students and monitor their progress. Initial teacher training and continuous teacher development should help teachers identify students' needs and manage diverse classrooms, particularly as Malaysian schools no longer group students by achievement levels. PISA data show that countries in which teachers' qualifications and experience are significantly better in advantaged schools than in disadvantaged schools tend to have larger performance gaps related to students' socio-economic status and less equitable outcomes (OECD, 2018a). Introducing policies to encourage excellent teachers to teach in disadvantaged schools, as is done in Japan and Korea, for example, would result in more equitable outcomes.

In addition to concerns about the achievement gaps between rural and urban areas and by socioeconomic status, the gender gap is significant and widening. Indeed, girls outscored boys by 10 points in the 2022 PISA mathematics test, a 4-point increase since 2018 (Figure 4.17, Panel B). In contrast, in the OECD area, boys outscored girls by 9 points. In addition, Malaysian girls outscored boys in reading (by 31 points) and in science (13 points). The share of low performers (students scoring below Level 2 proficiency) was also significantly higher among boys across all subjects in PISA 2022. The *Malaysia Education Blueprint 2013-2025* noted that boys' scores were declining in nationwide tests administered at the end of primary school, grade 9 and secondary school. In 2015, boys were three times more likely than girls to drop out of school before completing secondary education (Noman and Kaur, 2022). Consequently, while the enrolment of boys and girls was virtually equal in primary and lower secondary schools, by Form 6 (age 18), women accounted for 61% of students. While the rising performance and share of women in education has been an important step for gender equality, low performance among boys is a concern in Malaysia, as in many other countries.

A number of explanations have been offered for boys' lower educational attainment. First, many boys from disadvantaged families drop out of school to support their families. In addition, those who remain in school may also work, contributing to poorer grades. Second, the lack of male teachers to serve as role models may discourage boys. Third, boys may have higher rates of behavioural problems and attention shortages. Fourth, cultural and attitudinal norms may tend to associate reading and academic diligence with lower masculinity. The early departure of boys from education may also be a social problem, in part as many are thought to be involved in unlawful activities (Noman and Kaur, 2022). To address these disparities, the government is developing pedagogy that is responsive to gender and enhancing early literacy programmes to support boys' foundational skills. In the long term, bridging the gender gap requires a whole-school and community approach that nurtures positive learning identities among boys, strengthens mentorship and male role models, and promotes participation in academic and co-curricular activities.

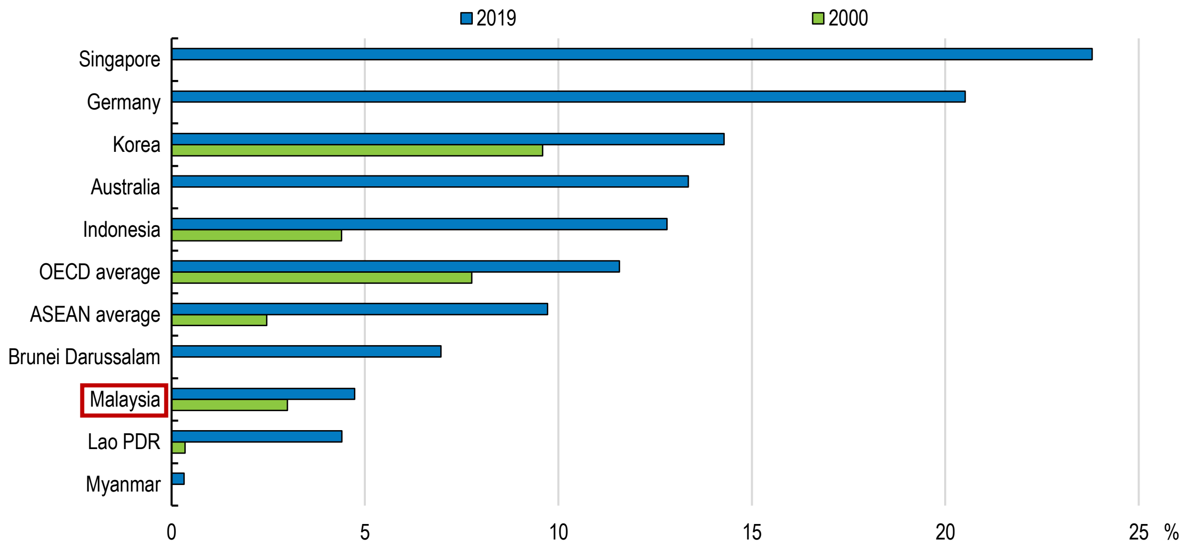
4.4. Technical and vocational education and training and lifelong learning

4.4.1. Placing equal value on vocational and academic pathways

Technical and vocational education and training (TVET) is defined as having an occupational direction and an emphasis on practices required in industry and services. It is recognised as a driver of inclusion and labour force participation, thereby reducing the share of young people not in education, employment or training (NEETs). Malaysia's NEET rate increased from 8% in 2019 to 10% in 2025 amid post-pandemic adjustments, but it remains below the average of its ASEAN peers. However, the enrolment of young people in TVET in Malaysia is well below the ASEAN and OECD averages (Figure 4.18). As in some other countries, TVET was viewed as an option for poor-performing students, leading to low-paid, dirty, dangerous and difficult jobs. The *Malaysia Education Blueprint 2013-2025* stated that the government would "construct an education system less focused on traditional academic pathways and place an equal value on much-needed technical and vocational training". The government argues that TVET is no longer associated with preparing workers for low-paying jobs; it is now a priority to develop a skilled workforce by teaching science, technology, engineering and mathematics (STEM) subjects and digital skills.

TVET in Malaysia includes a large number of institutions and fields. As of 2024, there were 673 public TVET institutions owned and operated by 12 federal government ministries and various agencies, as well as 28 at the state government level (Table 4.5). In addition, there are 697 private TVET institutions, accredited by multiple government agencies, including the Ministries of Education and Human Resources. Together, 4 876 TVET courses are offered across a wide range of disciplines and skills, ranging from elementary skills to certificates and diplomas, including bachelor's degrees. In 2023, a total of 409 000 students were enrolled in the 1 345 TVET institutions.

Figure 4.18. The share of young people in TVET programmes is relatively low in Malaysia



Note: For youth between the ages of 15 and 24. The ASEAN average includes countries with available data. Data from 2000 are not available for Australia, Brunei Darussalam, Germany, and Singapore.
Source: World Bank (2020), Education Statistics - All Indicators, https://databank.worldbank.org/source/education-statistics-%5e-all-indicators

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Table 4.5. The number of public TVET institutions by ministry (2024)

Ministry	Types of institutions	Number of institutions
Ministry of Rural and Regional Development	13	280
Ministry of Higher Education	3	145
Ministry of Education	1	86
Ministry of Home Affairs	2	49
Ministry of Human Resources	4	33
Ministry of Youth and Sports	3	22
Ministry of Defence	2	16
Ministry of Agriculture and Food Security	1	16
Ministry of Works	2	13
Ministry of Plantation and Commodities	1	8
Ministry of Women, Family and Community Development	2	3
Ministry of Tourism, Arts and Culture	2	2
Federal government total	**37**	**673**
State government total		**28**
Private TVET institutions		**697**
TOTAL		**1 398**

Note: Individual ministries operate different types of TVET institutions. For example, the Ministry of Higher Education operates community colleges, polytechnics and the Malaysian Technical Universities Network.
Source: National TVET Council Secretariat (MTVET), *Brief Facts About TVET Malaysia*, faktamtvet.pdf.

At the end of Form 3 (grade 9), secondary students choose their path for upper secondary school based on their academic performance and interests. For those choosing TVET in Form 3, the Ministry of Education has provided Vocational Colleges (KV) since 2012 and Technical High Schools (SMT) since the early 21st century. The number of students choosing the TVET option more than doubled between 2022 and 2025 to nearly 69 000, accounting for about 18% of the Form Four (grade 10) cohort that year.

The participation of secondary school students in TVET increased from 6.3% in 2021 to 11.4% in 2025, according to the Ministry of Education. Moreover, the share of students entering TVET programmes at the end of secondary school increased from 31.3% in 2020 to 53.6% in 2024, reflecting greater recognition of the value of vocational education in the labour market. The *Thirteenth Malaysia Plan* aims to raise it to 60% by 2030 by strengthening the "TVET ecosystem" and increasing students' early exposure to TVET as an alternative learning pathway, making them better informed and prepared when making decisions on education. TVET has been included in the curricula of primary and lower secondary education to nurture curiosity and reduce the social stigma attached to TVET (Wan et al., 2018). At the tertiary level, the Ministry of Higher Education owns and operates two types of institutions: i) community colleges, established primarily in rural areas since 2001, offer certificate and diploma programmes in a range of TVET subjects to students with the SPM; and ii) polytechnics were first established in 1969 and now enrol 84 556 students. Certificate and diploma programmes are offered at the tertiary level by the other 11 ministries shown in Table 4.5.

The *National TVET Policy 2030* calls for making TVET a "premier career choice" for students. However, TVET is sometimes perceived as a second-choice pathway for academically weak students, thereby reducing its appeal to students and parents and discouraging the enrolment of high-performing students. Strengthening the progression from TVET in secondary schools to tertiary TVET, including diploma and degree-level programmes, would demonstrate long-term career prospects in TVET. Increasing interest in TVET is reflected in the polytechnics, which recorded the second-highest number of first-choice online applications behind only the Universiti Teknologi MARA in 2026. Expanding dual training/apprenticeships that combine classroom and workplace learning across more sectors should be a priority. Teachers and counsellors could better highlight opportunities in the labour force and TVET (OECD, 2023d). This may require increasing the number of guidance counsellors in schools. In public schools, the guideline for the counsellor-to-student ratio is one counsellor for every 350 pupils in primary schools and 500 in secondary schools (Wei, 2025).

Further raising the quality of TVET requires addressing a number of challenges:

- Skills mismatches: the TVET system is shifting from a supply-oriented approach focused on funding, enrolment of students and increasing the number of certificate holders to a demand-driven, industry-led model. Government agencies implement the National Occupational Skills Standard (NOSS), developed with industry experts, to ensure that training content aligns with occupational requirements. Employers participate through Sector Skills Committees and TVET curriculum review. While employers are involved in the design and review of TVET programmes, they play a consultative role rather than a decision-making role (Aziz and Subramaniam, 2023). The *National TVET Policy 2030*, introduced in 2024, calls for stronger and more institutionalised collaboration between TVET providers and employers by expanding incentives and establishing legal provisions to encourage industry involvement (Secretariat of the National TVET Council, 2024). The *Malaysia Higher Education Blueprint 2026-2035* calls for the creation of a TVET Chamber of Commerce to allow the private sector to directly influence training. Evidence from a large-scale vocational training programme in Brazil suggests that participants' odds of finding a job afterwards were only systematically higher in those training programmes whose content was closely coordinated with employers (OECD, 2020c).
- Adapting to technological change: rapid industrial change challenges the ability of TVET institutions to keep their training up to date. TVET courses in emerging sectors such as AI, the digital economy and renewable energy are being implemented. Encouraging the sharing of expertise and technology between industry and TVET providers is an objective of the *National TVET Policy 2030*.
- The competency of TVET instructors: Many instructors were hired based on academic achievements, while less attention was given to their industrial experience. Such a background is problematic as TVET focuses on hands-on experience (Azahar, 2023). Continuous Professional Development (CPD) programmes, industry experience and Train-the-Trainer initiatives are used to help instructors remain current with technological advancements.

- Inadequate funding: spending on TVET increased by 5.3% in the 2026 budget, exceeding the 3.3% increase in the overall education budget. Still, its share of education spending is less than 12%, which may be inadequate to achieve the goal of putting TVET on par with the academic pathway. Limited budgets may impede TVET institutions' ability to upgrade machinery and workshops, leading to obsolete training equipment that fails to align with current industry practices.

Another important issue to address is the fragmented TVET governance. The large number of ministries and agencies involved in TVET (Table 4.5) presents challenges for programme coordination and recognition, as well as fragmented data systems (OECD, 2024d). This results in the duplication of programmes, inconsistent standards and slow responsiveness to industry needs. The National TVET Council (MTVET) was established in 2020 to enhance coordination of TVET. The *Thirteenth Malaysia Plan* calls for the establishment of a TVET Commission (in addition to the MTVET) as a dedicated entity to supervise TVET institutions. It is unclear how the National TVET Commission will interact with MTVET and the planned National Education Council. Establishing more supervisory bodies may further complicate TVET policies (Wan, 2025b).

In 2024, the Parliamentary Special Select Committee on Nation-building, Education and Human Resources Development proposed limiting the TVET sector to only three ministries or agencies (Malay Mail, 2024). Given that the National TVET Council consists almost exclusively of ministries that supply TVET services, a better approach would be to rely on a ministry that does not provide TVET services. The end result would be to shift the government from a provider of TVET services to a coordinator responsive to the needs of workers and employers.

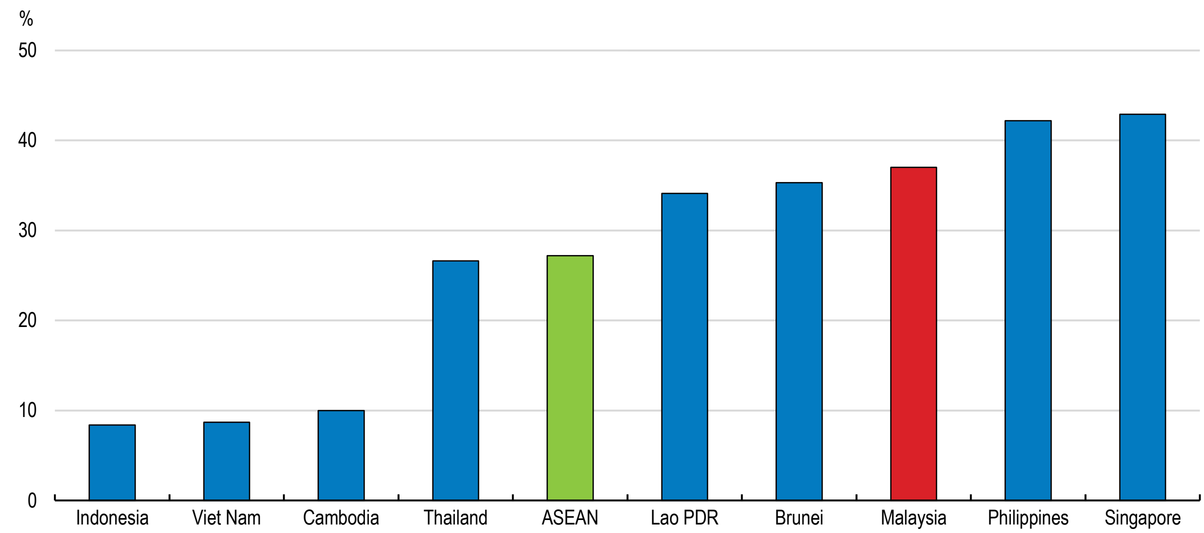
Fragmentation is also found in the multiple accreditation bodies. The Department of Skills Development (JPK) in the Ministry of Human Resources and the Malaysian Qualifications Agency (MQA) in the Ministry of Higher Education operate independently. Consequently, the same courses may be offered with different certifications and standards, confusing employers about the quality of graduates. Moreover, several TVET providers have their own certification systems (Azahar, 2023). The *National TVET Policy 2030* calls for standardising accreditation between the JPK and MQA. A TVET rating system (Penarafan Tunggal Program TVET) was introduced in 2024. It will determine funding for institutions based on a range of criteria, including graduate employability, wage levels, industry collaboration, and rural social initiatives.

4.4.2. Promoting lifelong learning

The *Malaysia Education Blueprint (Higher Education) 2015-2025* states that “Lifelong learning enables Malaysians to meet the changing skill needs of a high-income economy and maximise the potential of individuals who are currently outside the workforce through reskilling and upskilling opportunities”. As the majority of those affected by structural economic changes are already in the workforce, adult learning systems must play a key role in up- and re-skilling to respond to changing skill needs. A 2024 study by TalentCorp, an agency in the Ministry of Human Resources, examined 10 key sectors that employ 3.5 million workers. It estimates that 18% (620 000 employees) will be highly impacted by AI, digitalisation and the green economy over the next three to five years (TalentCorp, 2024). Skill mismatches create a need for lifelong learning. The TVET reforms to align skills with emerging industry demands will also provide the basis for lifelong learning. Increased opportunities for adult training may also make TVET more appealing to students. In today’s rapidly changing environment, lifelong learning programmes are attracting interest, as 61% of surveyed workers indicated an interest in upgrading their technical skills, but only 36% received training (Randstad, 2022). The *Malaysia Higher Education Blueprint 2026-2035* set a goal to “Institutionalise recognition of lifelong learning resources as valuable scholarly achievements” and is emphasising micro credentials, which have proven effective in some OECD countries (OECD, 2023h).

Little data exists on adult training opportunities in Malaysia. The 2020 *World Bank Enterprise Survey of Malaysia* reported that 37% of participant firms offered formal training to their employees, compared to the ASEAN average of 27% (Figure 4.19). Training is discouraged by its upfront costs, the loss of working time during training and the concern that employees receiving training will take their skills to rival firms. The government's Human Resource Development Corporation (HRD Corp) was established in 1993 to encourage employers to provide employee training. Employers with ten or more workers are required to pay a 1% levy on their total payroll. The system pools resources that are subsequently channelled back to firms in the form of training grants and incentives, thereby ensuring that skills development remains industry-driven and responsive to economic needs. The utilisation of the levy increased significantly from 71% in 2023 to 95% in 2025, reflecting the growing commitment of companies to invest in upskilling and reskilling their workforce.

Figure 4.19. The share of firms providing formal training in Malaysia exceeds the ASEAN average



Note: Only training with a structured, defined curriculum (e.g., classroom work, seminars, lectures, workshops, and audiovisual presentations and demonstrations) is included. Large firms have 100 or more workers and small firms have 5 to 19 workers.
Source: World Bank, *Enterprise Surveys*, https://www.enterprisesurveys.org/en/enterprisesurveys.

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The *Thirteenth Malaysia Plan* set a goal to "Empower lifelong learning through accessible programmes especially for senior citizens through the "Third Age University' concept". TVET institutions, notably the polytechnics and community colleges discussed above, offer lifelong learning courses in various fields. The *Plan* also calls for improving governance of lifelong learning to institutionalise it in the education system. The great diversity within adult learning systems suggests that strong coordination mechanisms are essential to prevent the duplication of training courses and ensure that policies are developed in a coherent manner and complement each other. To enhance flexible learning pathways for adults, the *Malaysia Higher Education Blueprint 2026–2035* calls for developing the Accreditation of Prior Experiential Learning (APEL).

4.5. Improving higher education in Malaysia

Malaysia's higher education sector has a diverse range of public and private institutions. Public higher education comprises 20 universities, in addition to the community colleges and polytechnics discussed above (Table 4.6). Private higher education includes universities, colleges, university colleges and branch campuses of foreign universities and accounted for 62% of the 1.1 million students in 2025. The student numbers include more than 140 000 international students, led by inflows from China and Indonesia, attracted, in part, by the rising quality of Malaysia's tertiary education. The number of Malaysian universities ranked in the top 200 of the QS World University Rankings rose from one in 2012 to five in 2025. All five are public universities. Malaysia saw substantial growth in research output, with publications increasing by 1.7 times and citations doubling between 2015 and 2022, led by Malaysia's five research universities (Ministry of Higher Education, 2026). In 2024, Malaysia ranked 25th globally in scientific output as measured by citations from the SCOPUS database (Scimago, 2024).

Higher education is an important source of income, given Malaysia's status as a top ten destination for international students (Ministry of Education, 2015). International students are encouraged, as they improve the dynamism of Malaysia's higher education sector and make it more responsive to the demands of a knowledge-driven world economy (Chassie et al., 2023). The *Malaysia Higher Education Blueprint 2026-2035* aims to transform Malaysia from a regional to a global educational hub.

Table 4.6. Malaysia's higher education sector

Sector	Institution	Number (as of 31 March 2026)
Public	Universities	20 (5 research, 11 subject-focused and 4 comprehensive)
Public	Community colleges	106
Public	Polytechnics	36
Private	Universities	65
Private	University colleges	38
Private	Colleges	251
Private	Branches of foreign universities	11

Source: Ministry of Higher Education.

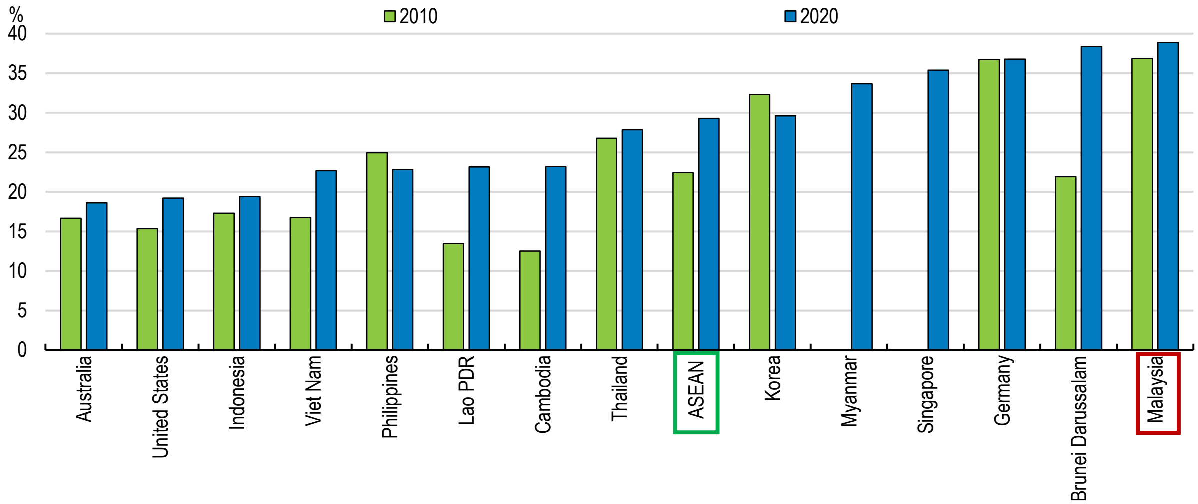
The share of Malaysia's tertiary graduates in STEM programmes is exceptionally high compared to other ASEAN countries and selected OECD countries (Figure 4.20), reflecting the longstanding objective of a 60:40 ratio of science to non-science students in higher education (Wan et al., 2018). STEM subjects have been introduced in primary and lower secondary school curricula and the government has launched initiatives, such as STEM4ALL, to increase interest. At the end of lower secondary school, students choose between STEM subjects and liberal arts for upper secondary school.

While the 60% target was not achieved, the share of tertiary students in STEM programmes has risen from 41% in 2021 to 51% in 2024. Further increasing the share is challenging given low interest among many students, who view STEM subjects as more difficult and less appealing and a lack of qualified STEM teachers, especially in rural areas. Women accounted for 53.2% of STEM graduates in 2021, compared with the United Nations' estimate that their global share is only 35% (Gong, 2023). As noted above, Malaysian girls outperform boys in science and mathematics in the PISA. Nevertheless, they are underrepresented in STEM, given that women account for 62% of undergraduate students and lag men in terms of employment. In 2021, the overall employment rate of male STEM graduates was 72% compared with 69% of female STEM graduates. However, the gap narrowed from 7 percentage points compared to 2015 (Hamid et al., 2023).

4.5.1. A declining share of young people is enrolling in tertiary education

Tertiary enrolment increased from only 3% of the relevant age group in 1979 to a peak of 45% in 2016 (Figure 4.21, Panel A). As in many countries, the increase in the enrolment rate was led by women, who surpassed men in 1994. In 2024, the gender enrolment gap in tertiary education reached 14 percentage points. Although the *Malaysia Education Blueprint (Higher Education) 2015-2025* set a target of a 53% overall tertiary enrolment rate by 2025, the share declined to 39% in 2024. The rate has fallen below Malaysia's ASEAN peers, except Viet Nam, and the 63% average for other upper-middle-income countries (Figure 4.21, Panel B). Some private higher education institutions, which do not receive direct government support, face serious financial problems and some have been forced to close (Ministry of Higher Education, 2026). An estimated 55% of private universities are suffering losses and 64% are in some form of financial stress (Williams, 2025).

Figure 4.20. The share of tertiary graduates in STEM programmes is exceptionally high



Note: Tertiary graduates in science, technology, engineering and mathematics as a share of total graduates.
Source: OECD (2023b).

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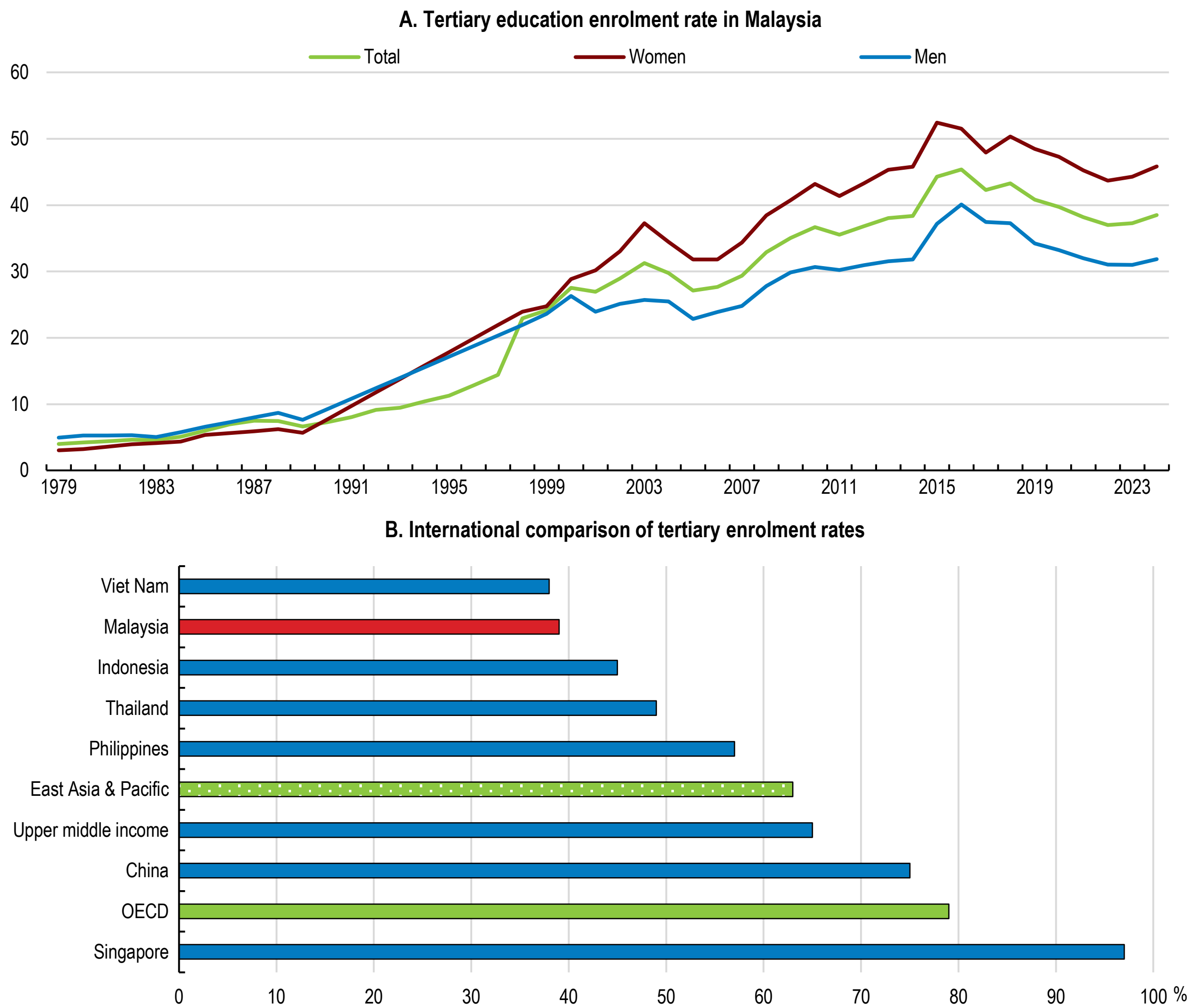
The *Malaysia Higher Education Blueprint 2026-2035* states, "The current gap in future-ready skills and practical, industry-relevant training is contributing to both unemployment, where graduates face challenges in securing jobs, and underemployment, where they are employed in roles that do not fully utilise their skills and qualifications". In other words, Malaysia faces a significant mismatch between the skills of graduates and labour market demands. One study reported that only 43.4% of degree holders in 2021 secured employment aligned with their academic qualifications (Gong, 2023). Typically, these workers take lower-skilled jobs. The 2025 Labour Force Survey reported that the skill-related underemployment rate among tertiary graduates is 36%. Another study found that 40% of university graduates work in low-skilled jobs that do not require university degrees (The Burning Glass Institute and the Strada Education Foundation, 2024).

The disappointing outcomes for many tertiary graduates tend to discourage youth from pursuing higher education. In 2021, two-thirds of new graduates earned less than MYR 2 000 (approximately USD 500) per month—a rate virtually unchanged since 2010 (Simamora, 2025).

From the employers' perspective, skill mismatches create skill shortages. A 2024 company survey found that 64% of firms faced moderate to extreme skill shortages (Quintos, 2025). Employers report "that graduates lack the requisite knowledge, skills and attitudes", according to the *Malaysia Education Blueprint (Higher Education) 2015-2025*.

The mismatch issue is connected to the lack of high-skilled jobs, which have not increased in line with the number of tertiary graduates, leading to the "overeducation dilemma" (Wei and Yew, 2024). In 2018, 60% of university graduates remained unemployed a year after graduation (Tee, 2024). One study found that 287 000 university graduates entered the labour market in 2023, but only 48 700 high-skilled jobs were available (World Bank, 2024b). The lack of high-skilled jobs is linked to weak innovation and technological advancement. R&D spending in Malaysia is less than 1% of GDP. This also contributes to Malaysia's brain drain; during the past 50 years, 1.86 million citizens, equivalent to 5.6% of today's population, have left the country, primarily to work in Singapore.

Figure 4.21. Malaysia's tertiary enrolment rate has fallen in recent years and is below its peers



Note: Data for missing years in Panel A are extrapolated.
Source: World Bank, School enrollment, tertiary (% gross) | Data, accessed 27 February.

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4.5.2. Directions for reform to improve higher education

To address skill mismatches, the *Malaysia Higher Education Blueprint 2026-2035* called for industry "to collaborate with higher learning institutions by co-developing curricula, supporting research and offering internships". Business leaders are matched with university programmes and, in some cases, offer internship opportunities to students. In addition, every new academic programme undergoes Ministry of Higher Education's screening process to assess whether the curriculum aligns with current and future industry needs to the extent possible. The Department of Skills Development (JPK) is also updating nearly 2 000 national skills standards (NOSS) to reflect emerging areas such as renewable energy, cybersecurity, automation, and digitalisation. Under the *Thirteenth Malaysia Plan*, the government aims to reduce skill-related underemployment among tertiary graduates to 30% by 2030 by introducing a mandatory paid internship scheme for students, encouraging SMEs to offer industrial training for university students and greater collaboration between public universities and the private sector. While some have voiced concerns that universities have become too industry-focused and less focused on academic objectives (Lee, 2019), this risk should be weighed against the benefits of reducing skill mismatches.

There may also be a case for more profound reforms of higher education institutions, both in funding and governance. Government financing accounted for 90% of public universities' funding in 2024, compared to an average of 73% across the OECD area (OECD, 2025). The remaining funding comes from tuition fees and other income generated by universities. The *Malaysia Higher Education Blueprint 2026-2035* calls for public universities to diversify their funding sources, in part by closer integration with the private sector through partnerships. This could also make course content more relevant for private employers, although some have raised concerns that it will divert attention from the main priorities of teaching and research. Income diversification by universities is a reasonable objective but has been difficult to implement in practice.

Tuition fees in public universities ranged from the equivalent of USD 2500 to USD 5000 in 2025. Scholarships provided by private companies and the government's loan schemes have greatly helped students from low-income households. The *Higher Education Student Loan Fund* (PTPTN) offers loans for tuition and living fees at an interest rate of 1%. In addition, the government's *Council of Trust For The People* (MARA) provides loans of up to MYR 2000 (USD 500) to households with a monthly income below MYR 4000 (USD 1000). Based on the national poverty line in 2020, more than half of the new graduates in a 2017 study came from households below the poverty line (Lim, 2020). These initiatives have created significant pathways to greater socioeconomic mobility, as the average monthly income of workers with tertiary education is more than double that of those with secondary education. However, the high non-payment rate for the PTPTN raises questions about its sustainability.

One option would be to allow universities to raise tuition fees for those who can contribute more. Means-tested tuition fees, combined with grants for students from low-income households, can help meet the demand for higher education, promote equity, while sharing the costs of higher education between the state and students. In Italy, for example, full-time undergraduates are required to contribute with an income-dependent annual tuition fee. Australia and Canada have study support mechanisms to help lower-income students cover fees.

Encouraging universities to raise more of their own resources could also go along with more autonomy and effective accountability mechanisms. The *Malaysia Economic Blueprint (Higher Education) 2015-25* stated that "many decision rights are still concentrated at the Ministry level rather than at higher learning institutions, creating supervisory burdens and potential inefficiencies. These constraints also make it difficult for higher learning institutions to move quickly in response to global and local trends". Reform could begin by allowing public universities to choose their management and board members through an independent committee, replacing the political process led by the Ministry of Higher Education. The independent leadership would then be responsible for meeting key performance indicators set by the government (Bajunid et al., 2018; Wan, 2025a). More autonomy in hiring and salary decisions would enable better resource allocation. Currently, the Ministry exercises broad regulatory and disciplinary powers over faculty, who are employed as civil servants. The *Malaysia Economic Blueprint (Higher Education) 2015-25* states that "rigid career development pathways restrict the degree to which higher learning institutions are able to attract, recruit, and retain the best talent". More autonomy would also enhance academic freedom (Lee, 2019), as the government's strong role can contribute to the politicisation of education policies (Tee, 2024). Reducing block grants and making more funding conditional on performance has the potential to improve higher education outcomes.

The *Malaysia Economic Blueprint (Higher Education)2015-25* set a goal to allow higher learning institutions to earn the autonomy to operate freely within the existing regulatory framework, but this remains a work in progress. The *Thirteenth Malaysia Plan* announced that a "pilot project to give autonomy to universities will also be implemented to improve financial sustainability and competitiveness of higher education institutions". This would entail outcome-based performance contracts between the Ministry of Higher Education and public universities and could provide interesting insights to feed into future reforms. Such reforms would bring the legal framework for public universities closer to that of private universities. A unified framework would reduce inconsistent practices, divergent priorities and variations in student rights between private and public universities (Ministry of Higher Education, 2026).

More autonomy could also be granted with respect to selecting prospective students. Bumiputera students accounted for 82% of students at public universities, even after excluding Universiti Teknologi MARA (UiTM), Malaysia's largest university with 190 000 students that is exclusively for Bumiputera students. While race-based quotas were ended in 2002, one path to public universities via the matriculation colleges favours Bumiputera applicants. The more difficult path to university for the non-Bumiputera population (30% of the total) may be one factor contributing to brain drain. Reconciling affirmative action objectives with better education outcomes may require expanding access to public universities for all students and giving stronger weight to academic merit in the selection process.

The government has encouraged more self-financing by public universities and aims for a gradual reduction in government financial support. Already, government spending per student in public institutions has edged down by 8% from MYR 20 700 in 2014 to MYR 19 000 (USD 4 700) in 2024 in nominal terms. Rebalancing the allocation of education spending will require whole-of-government coordination, including the Ministries of Finance, Education and Higher Education, under the 1966 Education Act. However, if university leaders are unable to meet the challenge to raise more own resources, Malaysia's public universities are at risk of regressing. Evidence suggests that the returns to public spending are higher at lower stages of the education system, including preschool, primary and secondary schools, and TVET. Moreover, the government currently spends only 68 cents per primary school student for each dollar spent on tertiary students (Figure 4.4) and only a fraction of that for preschool (Figure 4.7). This strengthens the case for some rebalancing of higher education spending towards earlier stages of education. The medium-term pace of budget spending on public universities could then be conditioned on whether labour-market relevance and governance of public universities can be improved, including through more autonomy and accountability, and additional fiscal space becomes available.

Table 4.7. Policy Recommendations

MAIN FINDINGS	RECOMMENDATIONS (Key ones in bold)
Increasing the capacity and quality of early childhood education and care	
Public and registered private childcare capacity amounts to only 3.5% of the number of children under the age of five.	Streamline licensing procedures for private childcare centres and increase subsidies to families using registered private childcare.
Government spending per preschool student is only 4.4% of Malaysia's per capita income, one-fifth of the OECD average.	Increase the share of education spending on preschools, given the high return on early childhood education (ECE).
The government has made preschool compulsory for 5-year-olds and aims to raise the enrolment rate to 98% by 2030.	**Make compulsory preschool education free for families and consider extending it to 3- and 4-year olds.**
Only about half of preschool teachers meet the government qualification target of holding at least a diploma in early childhood education (ECE).	Require all new teachers to have at least a diploma in ECE and offer incentives to existing teachers to upgrade their qualifications, including through effective continuing professional development.
Numerous ministries are involved in childcare and preschool, creating coordination challenges.	Centralise responsibility for childcare and preschool in one ministry.
Improving primary and secondary schools	
Students' scores in PISA and other international tests have fallen significantly and lag behind other countries with similar income levels.	**Establish a professional framework to specify what is expected of teachers and define a path for career progression.**
Malaysian teachers spend a relatively large amount of time on administrative tasks.	Hire more administrative staff in schools and make greater use of technology in administrative tasks.
More than one-fifth of upper-secondary-age youth are not in school. Mandatory education was extended from 6 years to 11 in 2025.	Enforce the new rules on mandatory education to lower the number of school dropouts.
The education system is highly centralised in international comparison, limiting scope for local initiatives to enhance efficiency or adapt to local needs.	Increase school autonomy and accountability to give teachers and principals more say in how to achieve educational objectives, while setting appropriate guidelines.
The post of school principal is typically a brief, pre-retirement posting with limited preparation or training.	Choose principals based on capability rather than tenure and provide them with job-specific training.
Education results lag behind for students from lower socio-economic status and rural areas. The gap between boys and girls in school is widening.	Further focus resources on students from lagging groups and attract high-performing teachers to under-performing schools.
After-school tutoring has become widespread in Malaysia, as in many Asian economies, with adverse equity implications.	Broaden the criteria for university admission beyond standardised tests to reduce reliance on after-school tutoring.
Placing equal value on technical and vocational education and training (TVET) and academic pathways	
The supply-oriented approach of TVET focuses on funding, enrolment of students and increasing the number of certificate holders.	Further enhance the private sector's role in developing TVET curricula to ensure better alignment with skills demand.
Malaysia's fragmented TVET sector comprises 683 federal public, 28 state public and 697 private institutions, but in the absence of evaluations of TVET institutions, funding allocations are not systematically related to performance.	**Use the new TVET rating system to evaluate institutions based on graduate employability, wage levels and coordination with the private sector.**
Twelve federal government ministries operate TVET programmes, leading to programme duplication, inconsistent standards and confusion for firms.	Consolidate the public TVET sector in a few ministries to promote coordination and harmonisation.
A 2020 enterprise survey reported that 39% of large firms offer formal training to their employees, compared to the ASEAN average of 49%.	Enforce firm compliance with the Human Resource Development Fund, which provides funding for firm-based training.
Enhancing the quality and autonomy of higher education	
Skills mismatches have become increasingly evident on the labour market. Skill-related underemployment among tertiary graduates was 35.6% in 2025. Tertiary enrolment fell from 45% of youth in 2016 to 39% in 2024.	**Reinforce linkages between the business sector and higher education, including in curriculum design.**
The government appoints the leaders of public universities. The *Thirteenth Malaysia Plan* includes a "pilot project" to give autonomy to universities.	Allow public universities to choose their leadership and make them responsible for achieving government targets while enhancing their financial autonomy.

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Strong growth and resilience to shocks have helped Malaysia achieve sizeable improvements in material living standards. Further progress will now hinge on new policy approaches to boost productivity and provide better opportunities for wider parts of the population, including through reforms in the education system. Fiscal consolidation should be stepped up to reduce Malaysia's vulnerability to economic shocks and anticipate rising spending pressures from social protection, education and investment. This will require reducing fossil fuel subsidies and re-introducing a broad value-added tax while protecting low-income households with targeted transfers. The effects of climate change are becoming increasingly visible, calling for more coordinated adaptation efforts and further emission reductions. Boosting productivity will require stronger human-capital investment and regulations that are simpler and more conducive to dynamic firm entry and growth. Deteriorating education outcomes and skill mismatches require fundamental reforms of the education system, including more and better spending on pre-school, primary and secondary education, stronger incentives and more autonomy and accountability for educational institutions.

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PRINT ISBN 978-92-64-90122-3
PDF ISBN 978-92-64-73410-4

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